New Issue/Book-Entry-Only

Ratings: **Moody's: Aa2**
S&P: AA
(See "RATINGS" herein)

$50,625,000
CITY OF ASHEVILLE, NORTH CAROLINA
Water System Revenue Refunding Bonds
Series 2015
(Green Bonds)

Dated: Date of Delivery **Due: August 1, as shown on the inside cover**

This Official Statement has been prepared by the North Carolina Local Government Commission and the City of Asheville, North Carolina (the "City") to provide information in connection with the sale and issuance of the bonds offered hereby (the "2015 Bonds"). Selected information is presented on this cover page for convenience of the user. To make an informed decision regarding the purchase of the 2015 Bonds, prospective investors should read this Official Statement in its entirety. Unless indicated, capitalized terms used on this cover page have the meanings given in this Official Statement.

Security: The 2015 Bonds will be special obligations of the City secured by and payable from the Net Revenues of the City's Water System and, under certain circumstances, the proceeds of the 2015 Bonds, investment earnings and certain net insurance and other proceeds. **The credit and taxing power of the City is not pledged for payment of the 2015 Bonds, and no owner of the 2015 Bonds has the right to compel the exercise of the taxing power of the City or the forfeiture of any of its property in connection with any default thereon or to apply any funds other than the Net Revenues for the payment of the 2015 Bonds.** See "SECURITY AND SOURCES OF PAYMENT FOR THE 2015 BONDS" herein.

Tax Treatment: In the opinion of Parker Poe Adams & Bernstein LLP, Bond Counsel, under existing law, (1) assuming compliance by the City with certain requirements of the Internal Revenue Code of 1986, as amended (the "Code"), interest on the 2015 Bonds is (1) excludable from gross income for federal income tax purposes, (2) not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations and (3) exempt from State of North Carolina income taxation. See "TAX TREATMENT" herein.

Redemption: The 2015 Bonds are subject to optional redemption as described herein.

Purpose: The 2015 Bonds are being issued for the purpose of providing funds, together with other available funds, to (a) refund a portion of the outstanding 2005 Bonds and the 2007 Bonds and (b) pay the fees and expenses incurred in connection with the sale and issuance of the 2015 Bonds. The 2015 Bonds constitute Green Bonds within the framework of the Green Bond Principles as more particularly described in "THE PLAN OF REFUNDING – Green Projects" herein.

Interest Payment Date: February 1 and August 1, commencing August 1, 2015.

Denominations: $5,000 or any integral multiple thereof. The 2015 Bonds initially will be issued as fully registered bonds and when delivered will be registered in the name of Cede & Co., as registered owner and nominee for The Depository Trust Company, New York, New York. See Appendix F hereto.

Expected Closing: June 11, 2015.

Bond Counsel: Parker Poe Adams & Bernstein LLP, Charlotte, North Carolina.

City Attorney: Robin Currin, Esq., Asheville, North Carolina.

Underwriters' Counsel: Womble Carlyle Sandridge & Rice, LLP, Raleigh, North Carolina.

Financial Advisor: DEC Associates, Inc., Charlotte, North Carolina.

BofA Merrill Lynch

PNC Capital Markets, LLC **Wells Fargo Securities**

May 12, 2015

MATURITY SCHEDULE

$50,625,000 Serial 2015 Bonds

Due August 1	Principal Amount	Interest Rate	Yield	CUSIP®*
2016	$1,900,000	2.00 %	0.23%	044074 DH2
2017	1,945,000	3.00	0.71	044074 DJ8
2018	3,340,000	4.00	1.12	044074 DK5
2019	3,490,000	5.00	1.38	044074 DL3
2020	3,650,000	4.00	1.59	044074 DM1
2021	3,800,000	4.00	1.81	044074 DN9
2022	3,970,000	5.00	2.01	044074 DP4
2023	4,170,000	5.00	2.20	044074 DQ2
2024	4,375,000	5.00	2.36	044074 DR0
2025	4,600,000	5.00	2.45	044074 DS8
2026	1,940,000	5.00	2.59 [C]	044074 DT6
2027	2,035,000	5.00	2.73 [C]	044074 DU3
2028	2,130,000	4.00	2.91 [C]	044074 DV1
2029	2,205,000	3.125	3.27	044074 DW9
2030	2,280,000	3.25	3.40	044074 DX7
2031	2,355,000	3.375	3.51	044074 DY5
2032	2,440,000	3.50	3.57	044074 DZ2

[C] **Yield to August 1, 2025 call date at 100%.**

* CUSIP® is a registered trademark of the American Bankers Association. CUSIP Global Services is managed on behalf of the American Bankers Association by S&P Capital IQ. Copyright©2014 CUSIP Global Services. All rights reserved. CUSIP data herein is provided by S&P Capital IQ, a division of McGraw Hill Financial, Inc. The CUSIP data herein is provided solely for the convenience of reference only, and neither the City nor the Underwriters take responsibility for the accuracy of such data.

The Underwriters reserve the right to change such prices or yields as they may deem necessary or desirable in connection with the offering and sale of the 2015 Bonds and to sell the 2015 Bonds to dealers (including dealer banks and dealers depositing 2015 Bonds into investment trusts) and others at prices lower than the public offering prices. The Underwriters also reserve the right to over-allot or effect transactions that stabilize or maintain the market price of the 2015 Bonds at a level above that which might otherwise prevail in the open market and to discontinue such stabilizing, if commenced, at any time.

No dealer, broker, salesman or other person has been authorized to give any information or to make any representation other than as contained in this Official Statement, and if given or made, such other information or representation must not be relied upon. This Official Statement does not constitute an offer to sell or the solicitation of any offer to buy, nor shall there be any sale of the 2015 Bonds by any person in any jurisdiction in which it is not lawful for such person to make such offer, solicitation or sale. The information set forth herein has been obtained from the City and other sources that are deemed to be reliable.

None of the 2015 Bonds, the General Indenture, as hereinafter defined, or the Series Indenture, as hereinafter defined, have been registered or qualified with the Securities and Exchange Commission by reason of the provisions of Section 3(a)(2) of the Securities Act of 1933, as amended. The registration or qualification of the 2015 Bonds, the General Indenture and the Series Indenture in accordance with applicable provisions of securities laws of the states in which the 2015 Bonds, the General Indenture and the Series Indenture have been registered or qualified, and the exemption from registration or qualification in other states, shall not be regarded as a recommendation thereof.

In making an investment decision with respect to the 2015 Bonds, investors must rely on their own examination of the terms of the offering, including the merits and risks involved. These securities have not been recommended by any federal or state securities commission or regulatory authority. Furthermore, the foregoing authorities have not confirmed the accuracy or determined the adequacy of this document. Any representation to the contrary is a criminal offense.

All quotations from and summaries and explanations of laws and documents herein do not purport to be complete, and reference is made to such laws and documents for full and complete statements of their provisions. Any statements made in this Official Statement involving estimates or matters of opinion, whether or not expressly so stated, are intended merely as estimates or opinions and not as representations of fact. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the 2015 Bonds shall under any circumstances create any implication that there has been no change in the affairs of the City since the date hereof.

The Underwriters have provided the following sentence for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

TABLE OF CONTENTS

INTRODUCTION 1

THE 2015 BONDS 2

General 2
Authorization 2
Book-Entry System 3
Optional Redemption 3
Notice of Redemption 3
Selection of 2015 Bonds to be Redeemed 4

SECURITY AND SOURCES OF PAYMENT FOR THE 2015 BONDS 4

General 4
Funds and Accounts Held Under General Indenture 4

CERTAIN PROVISIONS OF THE GENERAL INDENTURE 5

Revenues 5
Rate Covenant 6
Issuance of Additional Bonds 7
Other Covenants 8
Enforceability of Remedies 9

THE PLAN OF REFUNDING 9

General 9
Green Projects 9

VERIFICATION OF MATHEMATICAL COMPUTATIONS 10

ESIMATED SOURCES AND USES OF FUNDS 11

WATER SYSTEM DEBT SERVICE REQUIREMENTS 12

THE WATER SYSTEM 12

General Information 12
Organization and Operation 12
General Description 14
Billing and Water Rates 15
Other Water System Statistics 17
Regulation and Certification 17
Competition and Expansion 18
Capital Improvement Program 18
Historical Operating Data 20
Management Discussion and Matters in Contention 21

FINANCIAL INFORMATION 22

LEGAL MATTERS 22

TAX TREATMENT 22

General 22
Original Issue Discount 24
Original Issue Premium 25

LITIGATION 25

BANKRUPTCY 26

LEGALITY FOR INVESTMENT 26

UNDERWRITING 26

RATINGS 27

CONTINUING DISCLOSURE 28

MISCELLANEOUS 30

THE CITY OF ASHEVILLE ..... Appendix A
CERTAIN FINANCIAL INFORMATION CONCERNING THE CITY ..... Appendix B
DEFINITIONS OF CERTAIN TERMS AND SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE ..... Appendix C
THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION ..... Appendix D
PROPOSED FORM OF OPINION OF BOND COUNSEL ..... Appendix E
BOOK-ENTRY-ONLY SYSTEM ..... Appendix F

This page intentionally left blank.

State Of North Carolina
Department of State Treasurer

Janet Cowell TREASURER	*State and Local Government Finance Division and the Local Government Commission*	Gregory C. Gaskins SECRETARY

$50,625,000
CITY OF ASHEVILLE, NORTH CAROLINA
Water System Revenue Refunding Bonds,
Series 2015

INTRODUCTION

This Official Statement, including the cover page and the Appendices, is intended to furnish information in connection with the issuance by the City of Asheville, North Carolina (the "City"), of $50,625,000 aggregate principal amount of its Water System Revenue Refunding Bonds, Series 2015 (the "2015 Bonds").

The 2015 Bonds are being issued pursuant to the laws of the State of North Carolina (the "State"), including the State and Local Government Revenue Bond Act, as amended (the "Act"). Capitalized terms used herein, unless otherwise defined herein, shall have the same meaning set forth in "DEFINITION OF CERTAIN TERMS" in Appendix C hereto and in the Indenture (as defined below).

The City owns and currently operates a water system (the "Water System") which provides water resources for the City, Buncombe County, North Carolina (the "County") and a portion of Henderson County, North Carolina.

The 2015 Bonds are being issued by the City for the purpose of providing funds, together with other funds, to (a) refund $25,640,000 of the City's Water System Refunding Revenue Bonds, Series 2005 (the "2005 Bonds") maturing August 1, 2016 through August 1, 2025 and $28,340,000 of the City's Water System Revenue Bonds, Series 2007 (the "2007 Bonds") maturing August 1, 2018 through 2032 (the 2005 Bonds and 2007 Bonds being so refunded are herein referred to as the "Refunded Bonds") and (b) pay the fees and expenses incurred in connection with the sale and issuance of the 2015 Bonds.

The 2015 Bonds will be issued and secured pursuant to the Act and by a bond order and resolution adopted by the City Council of the City and pursuant to (1) a General Trust Indenture, dated as of December 1, 2005 (as amended, the "General Indenture"), between the City and The Bank of New York Mellon Trust Company, N.A., as trustee (the "Trustee"), and (2) a Series Indenture, Number 3, dated as of June 1, 2015 (the "Series Indenture"), between the City and the Trustee. The General Indenture and the Series Indenture are sometimes collectively referred to herein as the "Indenture". The Indenture requires the City to make payments sufficient to pay principal of, premium, if any, and interest on the 2015 Bonds to the Trustee as the same become due and payable in accordance with their terms and provisions and the terms and provisions of the Indenture. Pursuant to the Indenture, the City has pledged to the Trustee the Net Revenues from the operation of the Water System for the benefit of the Owners of the 2015 Bonds.

The pledge of Net Revenues securing the 2015 Bonds is on parity with the pledge securing the remaining 2005 Bonds and 2007 Bonds not refunded by the 2015 Bonds (the "Existing Bonds"). Additional Bonds secured as to the lien on Net Revenues on a parity basis with the Existing Bonds and the 2015 Bonds may be issued on terms as provided in the Indenture. The Existing Bonds, the 2015

Bonds and any Additional Bonds are hereinafter referred to collectively as the "Bonds." The City also has two outstanding loans from the State (the "State Loans") payable from and secured by revenues of the Water System which, as of the date of this Official Statement, have an outstanding balance of $458,555.20. The State Loans constitute Subordinate Indebtedness pursuant to the Indenture. For more information on the debt service requirements on the State Loans, see "WATER SYSTEM DEBT SERVICE REQUIREMENTS" herein.

A brief description of the 2015 Bonds is included herein. Such description and information does not purport to be comprehensive or definitive. All statements made herein with respect to the Indenture and the 2015 Bonds are qualified in their entirety by reference to such documents and, in particular, statements made herein regarding 2015 Bonds are qualified in their entirety by reference to the forms thereof included in the Indenture and the information with respect thereto included in the aforementioned documents, copies of which are available for inspection at the designated corporate trust office of the Trustee, 10161 Centurion Parkway, Jacksonville, Florida 32256, Attention: Corporate Trust Department. Copies of annual financial statements of the City are available upon request from the Chief Financial Officer of the City, Barbara Whitehorn, 70 Court Plaza, Asheville, North Carolina 28801, or Post Office Box 7148, Asheville, North Carolina 28802, telephone (828) 259-5598.

The City has undertaken in the Series Indenture to assist the Underwriters in complying with the provisions of Rule 15c2-12 (the "Rule"), promulgated by the Securities and Exchange Commission (the "SEC") and as in effect on the date hereof, by providing annual financial information and material event notices required by the Rule. See "CONTINUING DISCLOSURE."

Merrill Lynch, Pierce, Fenner & Smith Incorporated, Charlotte, North Carolina, PNC Capital Markets LLC, Charlotte, North Carolina and Wells Fargo Bank, National Association, Charlotte, North Carolina (collectively, the "Underwriters") are underwriting the 2015 Bonds. Parker Poe Adams & Bernstein LLP, Charlotte, North Carolina, is serving as Bond Counsel, Womble Carlyle Sandridge & Rice, LLP, Raleigh, North Carolina is serving as counsel to the Underwriters, and the City is represented by Robin Currin, Esquire, City Attorney. The Bank of New York Mellon Trust Company, N.A., Jacksonville, Florida, is serving as Trustee under the Indenture and the Escrow Agent (as defined herein). The City's general purpose financial statements for the year ended June 30, 2014 have been audited by its independent auditors. See Appendix B.

THE 2015 BONDS

General

The 2015 Bonds will be dated the date of their issuance, will be issued in denominations of $5,000 or integral multiples thereof, and will bear interest from their date, payable semi-annually on each February 1 and August 1, commencing August 1, 2015, at the rates and will mature on the dates and in the amounts set forth on the cover of this Official Statement.

Authorization

The 2015 Bonds will be issued pursuant to the Act and by a bond order and resolution adopted by the City Council of the City on April 14, 2015, and in accordance with the General Indenture and the Series Indenture.

The issuance of the 2015 Bonds received the required approval of the North Carolina Local Government Commission (the "LGC") on May 5, 2015. The LGC is a division of the State Treasurer's

office charged with general oversight of local government finance in North Carolina. Its approval is required for substantially all bond issues and substantially all other local government financing arrangements in North Carolina. In determining whether to allow bonds to be issued under the Act, the LGC has been given broad discretion to consider the need for and feasibility of the projects to be financed and the local government's general compliance with State budget and finance laws. Under the Act, the LGC is also responsible, with the issuing unit's approval, for selling bonds issued pursuant to the Act. See Appendix D for additional information on the LGC and its powers and duties.

Book-Entry System

The 2015 Bonds will be delivered in book-entry form only, without physical delivery of definitive 2015 Bonds. Payments to beneficial owners of the 2015 Bonds will be made by the Trustee through The Depository Trust Company, New York, New York ("DTC") and its participants. See Appendix F hereto.

Optional Redemption

The 2015 Bonds maturing on or before August 1, 2025 are not subject to redemption at the option of the City prior to maturity. The 2015 Bonds maturing on and after August 1, 2026 are subject to redemption by the City, at its option, on or after August 1, 2025, in whole or in part on any date, at a redemption price of 100% of the principal amount thereof plus accrued interest to the redemption date.

Notice of Redemption

The Trustee shall cause notice of the call for any redemption identifying the 2015 Bonds to be redeemed to be sent not less than thirty (30) days nor more than sixty (60) days prior to the redemption date, (a) by first class mail or electronic transmission, to the LGC, (b) to DTC or its nominee by mail at the address provided to the Trustee by DTC or as otherwise permitted by DTC's rules and procedures, or (c) if DTC or its nominee is no longer the Owner of the 2015 Bonds, by first class mail, to the then registered owner of each 2015 Bond to be redeemed at his address as it appears on the registration books of the Registrar if the 2015 Bonds are not held under a book-entry system and (d) to the Municipal Rulemaking Securities Board (the "MSRB") in an electronic format as prescribed by the MSRB.

Neither the failure to mail the notice nor any defect in any notice mailed will affect the sufficiency of the proceeding for the redemption of any 2015 Bonds as to which no such defect or failure occurred. Such notice must (1) specify the 2015 Bonds to be redeemed, the redemption date, the redemption price and the place or places where amounts due on such redemption must be payable and if less than all of the 2015 Bonds are to be redeemed, the numbers of the 2015 Bonds and the portions of the 2015 Bonds to be redeemed, (2) if sufficient moneys are not then a deposit in the Debt Service Fund to pay the full redemption price of the 2015 Bonds, state that the proposed redemption is conditional on there being sufficient moneys on deposit in the Debt Service Fund to pay the redemption price of the 2015 Bonds called for redemption, and (3) state that on the redemption date, the 2015 Bonds to be redeemed will cease to bear interest.

The City may revoke any redemption for which notice has been given on written instruction to the Trustee delivered in sufficient time for the Trustee to give notice thereof at least five days before the redemption date (or if DTC or its nominee is the registered Owner of the 2015 Bonds, such shorter time as permitted by DTC's rules and procedures) to the persons to whom and in the manner in which the notice of redemption was given.

If money is on deposit in the Debt Service Fund to pay the redemption price of the 2015 Bonds called for redemption on a redemption date, the 2015 Bonds or portions thereof thus called and provided for as hereinabove specified will not bear interest after the date set for redemption and will not be considered to be outstanding or to have any other rights under the Indenture other than the right to receive payment.

Selection of 2015 Bonds to be Redeemed

In the case of any partial redemption of 2015 Bonds, the City will select the maturity or maturities of the 2015 Bonds to be redeemed, if necessary, and DTC will select the 2015 Bonds within the same maturity pursuant to its rules and procedures, or, if the book-entry system with DTC or any other security depository has been discontinued, the Trustee will select the 2015 Bonds to be redeemed by lot in such manner as the Trustee in its discretion may deem proper. Each Authorized Denomination of principal amount represented by a 2007 Bond will be considered a separate 2007 Bond for purposes of selecting the 2015 Bonds to be redeemed.

SECURITY AND SOURCES OF PAYMENT FOR THE 2015 BONDS

General

The 2015 Bonds are payable solely from and secured by a lien upon and pledge of the Net Revenues from the operation of the Water System and certain money and securities held in certain funds and accounts created by the Indenture. Net Revenues for any period shall mean the excess, if any, of Revenues for such period over the Current Expenses for such period. "Revenues," "Net Revenues" and "Current Expenses" are defined in "DEFINITIONS OF CERTAIN TERMS" in Appendix C hereto.

The lien of the 2015 Bonds will be *pari passu* with that securing the Existing Bonds and any hereafter issued Additional Bonds.

The pledge of the Net Revenues does not constitute a lien upon the Water System or any part thereof or any other property of the City. The credit and taxing power of the City is not pledged for payment of the 2015 Bonds, and no owner of the 2015 Bonds has the right to compel the exercise of the taxing power of the City or the forfeiture of any of its property in connection with any default thereon or to apply any funds other than the Net Revenues for the payment of the 2015 Bonds.

Funds and Accounts Held Under General Indenture

The General Indenture establishes several separate funds and accounts for the custody and application of the proceeds of Bonds and other funds. The Debt Service Fund, the Construction Fund, the Reserve Fund and the Rebate Fund will be held by the Trustee. The Debt Service Fund and the Construction Fund may be held by the Trustee or another financial institution having trust powers with the approval of the City and the North Carolina Local Government Commission. The Revenue Fund, the Water Operations Fund, the Water Major Capital Improvements Fund and the Surplus Account will be held by the City.

If the City fails to meet the Rate Covenant (as described below) and any Revenues continue to be insufficient to meet the Rate Covenant by the following fiscal year beginning July 1 twelve months after the beginning of the fiscal year during which the City failed to meet such Rate Covenant, the Trustee may in its sole discretion take possession of any moneys in the Revenue Fund and administer the application

thereof or a majority of the registered Owners of the Bonds may instruct the Trustee to require that an Event of Default under the Indenture has occurred and require the Trustee to take possession of any moneys in the Revenue Fund. If the Trustee does so, it may disburse money in the Revenue Fund in such manner as it may determine. If the City fails to meet the Rate Covenant and Revenues continue to be insufficient to meet the Rate Covenant by the end of the second fiscal year beginning July 1 twenty-four months after the beginning of the fiscal year during which the City failed to meet such Rate Covenant, the Trustee shall take possession of any moneys in the Revenue Fund and administer the application thereof.

The 2015 Bonds will not be secured by the Reserve Fund.

CERTAIN PROVISIONS OF THE GENERAL INDENTURE

Revenues

In the Indenture, the City has covenanted to cause all Revenues to be deposited in the Revenue Fund. There will also be deposited in the Revenue Fund any other amounts required to be deposited therein pursuant to the Indenture and any other amounts the City may elect to deposit therein from sources other than the Fund and Accounts described herein. All amounts collected by the City as (1) sales and use taxes and (2) refundable deposits made by customers of the Water System, which have been deposited in the Revenue Fund, may be paid out of the Revenue Fund in the amounts and at the times determined by the City Representative.

The City will cause disbursements to be made from the Revenue Fund to the Water Operation Fund at such times as may be required to pay Current Expenses as shown on the Annual Budget for the current Fiscal Year. Thereafter, the City will cause disbursements to be made from the Revenue Fund on or before the 20th day of each month from moneys on hand as of the last day of the preceding month in the following order of priority:

> FIRST: To the Trustee for deposit in the Debt Service Fund, an amount such that (after taking into consideration amounts then on deposit in the Debt Service Fund allocated to pay Interest due with respect to the Bonds), if the same amount is transferred thereto on the first day of each succeeding month, there will be in the Debt Service Fund an amount equal to the Interest due on the next Interest Payment Date;
>
> SECOND: To the Trustee for deposit in the Debt Service Fund, an amount such that (after taking into consideration amounts then on deposit in the Debt Service Fund allocated to pay principal due with respect to the Bonds), if the same amount is transferred thereto on or before the first day of each succeeding month, there will be in the Debt Service Fund an amount equal to the Principal Installment due on the next succeeding Principal Payment Date;
>
> THIRD: To the provider of any Qualified Reserve Fund Substitute in satisfaction of the then current obligations of the City incurred in connection therewith;
>
> FOURTH: To the Trustee for deposit in the Reserve Fund (i) the amount necessary for the balance therein to equal the Reserve Requirement, but if the Revenues are insufficient therefor, to each account of the Reserve Fund pro rata or (ii) if the Reserve Fund is less than 90% of the Reserve Requirement as a result of a valuation of investments therein, the amount necessary for the balance therein to equal the Reserve Requirements; but the City is not required to transfer in any month more than an amount such that if the same

amount were deposited in equal monthly installments over the subsequent 11 months, the Reserve Fund would equal the Reserve Requirement;

FIFTH: To the Debt Service Fund, the amount necessary to make up any deficiency therein in accordance with the priorities established in the Indenture;

SIXTH: To the Persons entitled to payment of any principal, premium, if any, or interest on any Subordinate Indebtedness, an amount equal to the principal, premium or interest then due and owing;

SEVENTH: To the paying agent or directly to the registered owners of General Obligation Indebtedness in an amount necessary to pay when due the principal of, premium, if any, and interest on the General Obligation Indebtedness;

EIGHTH: To the Persons entitled to payment with respect to any Other Indebtedness, an amount equal to the payment then due and owing;

NINTH: To the Water Major Capital Improvements Fund, 1/12th of the amount, if any, shown in the Annual Budget; and

TENTH: To the Surplus Account, the balance remaining after the transfers described in FIRST through NINTH above.

Moneys held in the Surplus Account shall be applied in the following order of priority: (1) first, to pay a termination payment under a derivative agreement; (2) second, to pay Current Expenses; (3) third, to pay for any other purpose related to the Water System from time to time authorized by the City; and (4) fourth, to pay for any lawful purpose from time to time authorized by the City. Notwithstanding the provisions of the Indenture described above, there are additional statutory limitations on the City's use of certain amounts derived from Revenues. See "THE WATER SYSTEM – Billing and Water Rates" herein.

The Series Indenture contains an amendment to the General Indenture that will become effective on August 1, 2017 when all of the Bonds Outstanding prior to the issuance of the 2015 Bonds will cease to be Outstanding. The amendment eliminates the requirement that the City make monthly deposits to the Debt Service Fund for principal and interest on the Bonds such that there will be sufficient money available to pay principal and interest on the Bonds on the next Interest Payment Date and Principal Payment Date, as the case may be, and replaces it with a requirement that the City make sufficient money available in the Debt Service Fund on the 25th day of the month prior to each Interest Payment Date and Principal Payment Date to pay principal and interest on the Bonds, as the case may be. **By purchasing a 2015 Bond, the Owner is deemed to consent to such amendment and will be taking such 2015 Bond subject to the terms of the General Indenture, as amended by the Series Indenture as described above.**

Rate Covenant

Under the General Indenture, it has been covenanted that before the commencement of each Fiscal Year, the City will fix, establish or maintain or cause to be fixed, established and maintained such rates and charges for the provision of services of the Water System, and revise or cause to be revised the same, as necessary, as will produce Revenues from the Water System at least equal in such Fiscal Year to the total of (a) the Current Expenses for the Water System budgeted for such Fiscal Year, as may be amended from time to time, plus (b) 120% of (1.20 times) the Principal and Interest Requirements on the

Bonds attributable to the Water System to become due during that Fiscal Year plus (c) 100% of (1.00 times) the Principal and Interest Requirements for Subordinated Indebtedness due in such Fiscal Year, plus (d) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Year plus (e) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Year plus (f) 100% of (1.00 times) the amount required to reimburse the provider of a Qualified Reserve Fund Substitute for any amounts owing thereunder; but no less than an amount sufficient to produce Revenues in such Fiscal Year at least equal to 100% of (1.00 times) the amount necessary to fully fund accounts and funds described under "Revenues" above.

Issuance of Additional Bonds

The City has covenanted not to issue any other obligations payable from the Revenues and having a priority senior to the lien of the Bonds, nor will the City voluntarily create or cause to be or suffer to be created any debt, lien, pledge, assignment, encumbrance or any other charge having a priority senior to the lien of the Bonds. In addition, the City has covenanted not to issue any other obligations payable from the Revenues and being on a parity with the lien of the Bonds, nor will the City voluntarily create or cause to be or suffer to be created any debt, lien, pledge, assignment, encumbrance or any other charge on a parity with the lien of the Bonds, other than on the conditions and in the manner provided in the General Indenture.

If the City has issued a Series of Bonds, the proceeds of which were used to acquire or construct any portion of the Water System, and such proceeds are insufficient to pay the Costs of Construction, the City may issue a Series of Bonds (the "Completion Bonds") in an amount equal to (a) the insufficiency, (b) any required deposit to the Reserve Fund with respect to such Series and (c) the Costs of Issuance related thereto. Before the issuance of any Completion Bonds under this paragraph, the City shall deliver to the Trustee a Certificate of a Consulting Engineer stating that the proceeds from the Bonds together with other available funds will be sufficient to pay the Costs of Construction of the portion of the Water System for which such Series of Bonds are being issued.

No Series of Bonds, other than Completion Bonds and refunding bonds that meet certain other requirements of the Indenture, may be issued unless either:

(1) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available, adjusted in the manner hereinafter provided, were at least equal to (i) 120% of (1.20 times) the maximum Principal and Interest Requirements, including the Series of Bonds to be issued, (ii) 100% of (1.00) times the Principal and Interest Requirements for Subordinate Indebtedness in that Fiscal Year, (iii) 100% of (1.00 times) the Principal and Interest Requirement for General Obligation Indebtedness in that Fiscal Year, and (iv) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in that Fiscal Year; or

(2) (i) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available were at least equal to (A) 120% (1.20 times) the Principal and Interest Requirements on the Bonds for such Fiscal Year, excluding the Series of Bonds to be issued, (B) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness in such Fiscal Year, (C) 100% of (1.00) times the Principal and Interest Requirements for General Obligation Indebtedness in such Fiscal Year and (D) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in such Fiscal Year; and

(ii) the Net Revenues, as projected by a report of a Financial Consultant filed with the Trustee, for the first two Fiscal Years following (A) the date capitalized interest, if any, provided

from the proceeds of the proposed Series of Bonds is expended in the case of the acquisition of assets for or construction of improvements to the Water System or (B) the date the proposed Series of Bonds is incurred in any other case, are at least equal to (I) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds, including the Series of Bonds to be issued, for such Fiscal Years, (II) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness to become due in such Fiscal Years, (III) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Years and (IV) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Years; and

(3) no Event of Default under the Indenture has occurred and is continuing; and

(4) a Consulting Engineer certifies that the amounts to be on deposit in the Construction Fund after the issue of the Series of the Bonds is sufficient to pay the Costs of Construction related to such Series.

Other Covenants

Insurance. The City will carry or cause to be carried such insurance with a reputable insurance carrier or carriers, such as is maintained or carried by similar municipal systems as the Water System, including, public liability insurance against loss or damage by fire, explosion, hurricane, flood, cyclone, occupancy or other hazards and risks, and said property loss and damage insurance will at all times be in an amount sufficient to indemnify in amounts sufficient to repair the Water System for loss, but not less than the principal amount of the Bonds Outstanding, to the extent that such insurance is obtainable.

The City may provide for and maintain the insurance partially or wholly by means of an adequate self-insurance fund maintained by the City. Reserves for a self-insurance fund will be determined by using actuarial principles and the portion allocable to the Water System will be payable from Revenues as a Current Expense. Any self-insurance fund will be reviewed annually by the City's risk manager or an Independent Insurance Consultant. The Trustee may rely on a letter of the City's risk manager or an Independent Insurance Consultant (dated as of the first day of the fiscal year) as to the adequacy of any self-insurance fund as measured against standards in the industry for the risks being assumed.

Construction; Maintenance. The City will complete or cause to be completed the additions, extensions and improvements of the Water System provided for in the Indenture in accordance with plans and specifications approved by a Consulting Engineer and in an economical and efficient manner with all practicable dispatch and thereafter will maintain or cause to be maintained the Water System in good condition and will continuously operate or cause to be operated the same in an efficient manner and at a reasonable cost as a municipal revenue-producing enterprise.

Enforceability of Remedies

The actual realization of amounts to be derived upon the enforcement of any pledge or security interest securing the 2015 Bonds will depend upon the exercise of various remedies set forth in the Indenture. These remedies may, in many respects, require judicial action of a nature which is often subject to discretion and delay and specific remedies which may not be readily available or may be limited. For example, a court may decide not to order the specific performance of a covenant contained in the Indenture. The various legal opinions to be delivered concurrently with the delivery of the 2015 Bonds will be qualified as to the enforceability of various legal instruments by limitations imposed by State and federal laws, rulings, and decisions affecting remedies and by bankruptcy, reorganization or laws affecting the enforcement of creditors' rights generally.

THE PLAN OF REFUNDING

General

A portion of the proceeds of the 2015 Bonds, together with other available funds of the City, will be used to refund all of the Refunded Bonds. To accomplish the refunding of the Refunded Bonds, a portion of the proceeds from the sale of the 2015 Bonds, together with other available funds of the City, will be deposited with The Bank of New York Mellon Trust Company, N.A., as escrow agent (the "Escrow Agent"), in trust pursuant to the terms and conditions of an Escrow Agreement, to be dated as of June 1, 2015 (the "Escrow Agreement"), between the City and the Escrow Agent. Funds on deposit with the Escrow Agent will be used to purchase certain Federal Securities (as defined in the Escrow Agreement) maturing at times and in amounts sufficient to provide funds, together with funds deposited with the Escrow Agent and remaining uninvested, to (a) pay the interest on the Refunded Bonds to their respective redemption dates, (b) redeem on August 1, 2015 all of the 2005 Bonds constituting Refunded Bonds maturing on and after August 1, 2016 at a redemption price equal to 100% of the principal amount of such Refunded Bonds and (c) redeem on August 1, 2017 all of the 2007 Bonds constituting Refunded Bonds maturing on and after August 1, 2018 at a redemption price equal to 100% of the principal amount of such Refunded Bonds. Upon the execution of the Escrow Agreement and the deposit of funds with the Escrow Agent as described above, the Refunded Bonds will no longer be Outstanding or secured by the Indenture, but will be payable solely from, and secured solely by, such Federal Securities, cash and other monies which are deposited, or may be deposited from time to time, in the escrow fund held under the Escrow Agreement.

Green Projects

The Refunded Bonds financed and refinanced certain water projects (the "Green Projects") the City has deemed to serve an environmental benefit within the framework of the Green Bond Principles, a set of voluntary process guidelines developed by a consortium of investment banks, issuers and investors relating to the issuance of obligations that finance or refinance projects that serve environmentally beneficial purposes. The total amount of the Refunded Bonds originally dedicated to the Green Projects was approximately $74,605,000. All of the proceeds of the 2015 Bonds (except for proceeds used to pay costs of issuance) will be used to refinance the Green Projects.

The Green Projects financed and refinanced by the Refunded Bonds are highlighted by category below:

Limit/Eliminate System Water Loss. Galvanized and asbestos water pipes have been replaced with ductile iron pipes throughout the Water System. Ductile iron pipe is made from 100% recycled

ferritic scrap, itself a 100% recyclable material, and is designed to last well over 100 years. Ductile iron pipe resists damage during handling and installation, is strong enough to withstand severe conditions such as high pressure or a heavy load, and is resistant to corrosion – which combine to limit leaks and reduce water loss. The metallic nature of the pipe limits catastrophic leaks and makes the pipe easier to find. Rare leaks can be repaired in-place using an adhesive sleeve and without removing an entire section or length of pipe.

Increase Water Transmission Efficiency. Storage tanks, energy efficient pump stations, and correctly-sized water lines were installed or upgraded throughout the Water System to enhance water transmission efficiency. The City also replaced old and installed additional new valves to more efficiently control and route water flow. These upgrades have both increased flow capacity and lowered pumping costs leading to significant energy savings. In addition, the new water tanks were constructed using the glass-fused-to-steel process. These tanks require significantly less maintenance, never require painting, have a longer lifetime than welded or concrete tanks, and resist corrosion.

Limit/Reduce Contaminants via Water Treatment Process. The Mills River Regional Water Treatment Facility was constructed and uses ozone in the treatment process. The many environmental benefits to ozone systems include disinfection at rates faster than chlorine, inactivation of viruses, removal of iron and manganese, and control of tastes and odors.

Enhance Watershed Management. A new spillway at the William DeBruhl Treatment Plant was constructed to serve as a combined principal and emergency spillway. It was constructed to dissipate water energy that can lead to scouring and erosion along the spillway and at the base of the dam. This spillway provides for the ability to regulate allowable discharge, enhance dam integrity and prevent downstream flooding.

Improve Water Emergency Response Plans. Power generators were purchased and installed throughout the Water System to ensure the system is fully functional in the event of a power loss. In addition, redundant major transmission lines were constructed and/or buried at convergance points to limit potential system impairment due to weather, sabotage and/or other destructive events.

The purpose of designating the 2015 Bonds as "Green Bonds" is to allow investors to invest directly in bonds which finance or refinance environmentally-sustainable projects. The proceeds of the Refunded Bonds used to finance or refinance the Green Projects have been spent and construction of the Green Projects has been completed. On a voluntary basis, the City plans to post periodic updates on its website, http://www.ashevillenc.gov, regarding the environmental sustainability of the Water System.

The holders of the 2015 Bonds do not assume any specific risk related to any of the Green Projects. The terms "Green Projects" and "Green Bonds" are neither defined in, nor related to the Indenture or the Series Indenture, and their use in this Official Statement is for identification purposes only and is not intended to provide or to imply that any holder of the 2015 Bonds is entitled to any additional security other than as provided in the Indenture and the Series Indenture.

VERIFICATION OF MATHEMATICAL COMPUTATIONS

The arithmetical accuracy of certain computations included in the schedules provided by Underwriters on behalf of the City relating to computation of the forecasted receipts of principal and interest on the Federal Securities held by the Escrow Agent and the forecasted payments of the principal of, premium and interest on the Refunded Bonds was examined by Bingham Arbitrage Rebate Services, Inc. Such computations were based solely upon assumptions and information supplied by Underwriters

on behalf of the City. Bond Counsel will rely on the verification in rendering their opinion as to the exclusion of interest on the 2015 Bonds from gross income of the owners thereof for federal income tax purposes.

ESTIMATED SOURCES AND USES OF FUNDS

The proceeds to be received from the sale of the 2015 Bonds will be applied as shown below:

Sources	
Par amount of 2015 Bonds	$50,625,000
Net Original Issue Premium	6,377,939
City Contribution	940,270
TOTAL SOURCES OF FUNDS	$57,943,209
Uses	
Refunding of Refunded Bonds	$57,477,355
Costs of Issuance*	465,854
TOTAL USES OF FUNDS	$57,943,209

* Includes Underwriters' discount, attorneys' fees, rating agency and financial advisor fees and other miscellaneous costs of issuance.

WATER SYSTEM DEBT SERVICE REQUIREMENTS

The following table sets forth, for each fiscal year ending June 30, the amounts required in such fiscal year for the payment of the principal of and interest on (1) the Existing Bonds, (2) the 2015 Bonds and (3) all other obligations of the City payable from Net Revenues of the Water System, including the State Loans which constitute Subordinate Indebtedness.

Fiscal Year Ending June 30,	Existing Bonds[1, 2]	Subordinate Indebtedness[1]	2015 Bonds Principal	2015 Bonds Interest	Total[3]
2016	$3,319,800	$170,200		$1,373,635	$4,863,635
2017	1,327,200	165,055	$1,900,000	2,131,038	5,523,293
2018	1,331,100	9,910	1,945,000	2,082,863	5,368,873
2019		9,910	3,340,000	1,986,888	5,336,798
2020		9,910	3,490,000	1,832,838	5,332,748
2021		9,910	3,650,000	1,672,588	5,332,498
2022		9,910	3,800,000	1,523,588	5,333,498
2023		9,910	3,970,000	1,348,338	5,328,248
2024		9,910	4,170,000	1,144,838	5,324,748
2025		9,910	4,375,000	931,213	5,316,123
2026		9,910	4,600,000	706,838	5,316,748
2027		9,910	1,940,000	543,338	2,493,248
2028		9,910	2,035,000	443,963	2,488,873
2029		9,910	2,130,000	350,488	2,490,398
2030		9,910	2,205,000	273,434	2,488,344
2031		9,910	2,280,000	201,931	2,491,841
2032			2,355,000	125,141	2,480,141
2033			2,440,000	42,700	2,482,700
Total[3]	$5,978,100	$473,995	$50,625,000	$18,715,654	$75,792,749

[1] Includes principal and interest.

[2] Excludes debt service on the Refunded Bonds.

[3] Totals may not foot due to rounding.

THE WATER SYSTEM

General Information

The City owns the Water System and is the entity responsible for managing the Water System and for issuing debt obligations for the Water System's capital needs. Prior to June 30, 2005, the Water System was administrated by a joint agency created by agreement of the City, the County and certain water and sewer districts.

See Appendix A hereto for certain information regarding the City.

Organization and Operation

The City operates under the council-manager form of government. Policy-making and legislative authority are vested in a governing Council consisting of the Mayor and six other members. The Council is responsible for the budget approval and appointing the City Manager, City Attorney and City Clerk.

The City Manager is responsible for implementing Council policies, City ordinances and managing daily operations and appointing department directors.

The City of Asheville Water Resources Department (the "Department") is run by the Director, who is administratively responsible to the City Manager. Water revenues and expenditures are accounted for by the City through its Water Enterprise Funds. The annual budget for the Department is prepared by the City (specifically, the Director and other City staff) and presented to the City Council for consideration and approval by June 30th of each fiscal year. The adopted budget or any part thereof may be amended upon recommendation by the Director or City Manager and upon review, consideration and approval of City Council.

The professional backgrounds of certain management officials of the City and the Department follow:

Gary W. Jackson, City Manager. Mr. Jackson became City Manager on June 27, 2005. Mr. Jackson's previous experience included being a private business consultant for municipalities, non-profits and political action groups, City Manager of Fort Worth, Texas where he managed 5,500 employees and a $700 million budget and City Manager of Carrollton, Texas. Mr. Jackson has a Bachelor of Science degree in Business from Miami University of Ohio and a Master of Public Administration degree from the University of Kansas.

Paul Fetherston, Assistant City Manager. Prior to accepting the Assistant City Manager position in March 2014, Mr. Fetherston was the Deputy City Manager of Boulder, Colorado since 2008. Mr. Fetherston also served as the Chief Administrative Officer of the Town of Canton, Connecticut and the Town Manager of Newington, Connecticut. Mr. Fetherston received a Bachelor of Science degree in Political Science from Trinity College and a Juris Doctor degree from the Western New England School of Law.

Barbara Whitehorn, Chief Financial Officer. Prior to her appointment in December 2013, Ms. Whitehorn worked in financial management and accounting for over ten years, including non-profit, for profit and government experience. Ms. Whitehorn is a Certified Government Finance Officer with the Government Finance Officers Association of Texas. She was the Controller of the City of Arlington, Texas from 2010 to her appointment as the Chief Financial Officer of the City in December 2013. Ms. Whitehorn holds a Bachelor of Arts degree in the History of Art from Bryn Mawr College and a Master of Business Administration degree from the University of Texas at Dallas. As Chief Financial Officer, Ms. Whitehorn is responsible for managing both the City's budget process and financial operations in the Finance Department and reports to the Assistant City Manager.

Steve Shoaf, Director of the Department. Mr. Shoaf has been with the Department since May of 2009. Mr. Shoaf previously worked for 20 years as the Director of Utilities for the City of Burlington, North Carolina. He received his Bachelor of Arts degree in Zoology and a Master of Science degree in Public Health, both from the University of North Carolina at Chapel Hill.

Ivan Thomas, Operations Manager. Mr. Thomas has been with the Department for over 18 years and has a wide range of knowledge pertaining to the operations of the Department and the Water System. Mr. Thomas has a Bachelor of Science degree in Management and a Master of Science degree in Management and Leadership, both from Montreat College.

Mike Brookshire, Civil Engineer. Mr. Brookshire is a licensed professional Civil Engineer in the State of North Carolina. He has nearly 30 years of experience in the design and operation of water systems, more than 26 of which have been with the City. Mr. Brookshire received a Bachelor of

Engineering Technology degree with a concentration in Civil Engineering from the University of North Carolina at Charlotte.

Audran Stephens, Water Services Administrator. Ms. Stephens has 16 years of experience in operating and managing the Water System with experience in water quality, water treatment plant operations and project management. Ms. Stephens has a Bachelor of Science degree in Environmental Health and a Master of Public Affairs degree, both from Western Carolina University.

Approximately 146 staff members of the Department function in a non-union work environment.

General Description

The major water supply for the Asheville/Buncombe/Henderson County area is the City's watershed, which is comprised of 22,000 acres of mountainous forestland. It is one of the largest municipally-owned watersheds in the United States. The Burnett Reservoir, the larger of two impoundment reservoirs, stores 6 billion gallons of water. It has a surface area of 355 acres with over five miles of shoreline. Bee Tree Lake, the other impoundment reservoir, stores 520 million gallons of water and has a surface area of 55 acres.

The North Fork Treatment Plant was constructed in 1978 at the Burnett Reservoir. In 1993, the plant was upgraded and expanded from a treatment capacity of 22 MGD to 31 MGD. The maximum safe yield of the North Fork Reservoir is 24.5 MGD, one of the largest in North Carolina. "Maximum safe yield" generally means the quantity of water that can be provided continuously during the worst historic drought. The William DeBruhl Treatment Plant was constructed in 1986 at Bee Tree Lake with a treatment capacity of 5 MGD. The DeBruhl Treatment Plant was completely refurbished in 2008. The maximum safe yield of the reservoir is 3.3 MGD.

Additional water supply outside of the City's watershed is available from an intake on the Mills River south of the City in Henderson County. The Mills River Treatment Plant was constructed in 1999 at the confluence of the Mills River and French Broad River and has a treatment capacity of 7.5 MGD. The Mills River Treatment Plant is built to allow for modular expansion up to a future capacity of 20-30 MGD on the current site of 327 acres. The maximum safe yield of the Mills River source is limited by treatment capacity and is currently 7.5 MGD.

After treatment, water is stored in 34 reservoirs or tanks throughout the distribution system, which range in capacity from ten thousand to five million gallons of water for a total storage capacity of 26.3 million gallons. The combined safe yield of all three water sources is 35.3 MGD. The total treatment capacity of the plants is 43.5 MGD. Current average consumption is approximately 20.13 MGD (less than one-half treatment capacity) with 23.82 MGD as the highest single day of finished production. The total finished water flow in the fiscal year ended June 30, 2014 was 7.35 billion gallons for all plants.

Considering population trends and assuming a normal level of maintenance as well as regular long term capital improvements (see "Capital Improvement Plan" hereafter in this section), the City estimates the Water System's existing capacity will be adequate for its current service area for at least the next 30 years. However, expansion of the service area with the related addition of new water customers may require an increase in capacity before the end of that period. See "Competition and Expansion" below in this section.

Billing and Water Rates

City staff recommends the rates to be charged for water service, which must then be approved by the City Council. The City's user charge structure for water service includes (i) an administrative charge that recovers direct billing and collection cost and is equal for all customers and (ii) volume charges based on the cost of providing service to different classes of customers. There is no variation in water rates between City customers located inside and outside of the corporate limits of the City. Residential single-family, multi-family and small commercial customers receive bills for water services every two months. Large commercial, manufacturing and wholesale customers are billed monthly.

Water Revenues are accounted for by the City through its Water Resources Fund. Currently, the average bi-monthly bill (17 CCF) for a residential single-family customer is $79.63, including the administrative charge and the CIP Fee discussed below (see "Capital Improvement Plan" below in this section). The existing water rates for consumption, which have been in effect since July 1, 2014, are as follows:

Existing Monthly Water Rates

Base Charge	$3.00
Volume Charge (per CCF):	
Single-Family	$3.87
Irrigation	$4.08
Multi-Family	$3.27
Commercial:	
0-1000 CCF	$3.27
Above 1000 CCF	$1.80
Manufacturer:	
0-1000 CCF	$3.27
Above 1000 CCF	$1.75
Wholesale Charges:	
Consumption (per CCF)	$1.03
Capacity Charge	$184.00 per 10,000 gallons/day

The above rates do not include the CIP Fee, which is $3.92 per month ($7.84 per bill) for residential single-family customers, so long as such use is for domestic purposes only. For residential single-family irrigation, residential multi-family, commercial or manufacturing customers, the CIP fee is based on meter size as set forth in the following table.

Meter Size (Inches)	CIP Fee
5/8	$ 3.92
3/4	4.48
1	53.74
1½	89.56
2	156.72
3	492.56
4	861.99
6	1,108.27
8	1,354.55
10	1,600.83

The table below identifies the actual monthly rates (not including the CIP Fee) for the fiscal years ended or ending June 30, 2012 to 2015 and the City's projected rates for the fiscal years ending June 30, 2016 to 2018.

Monthly Estimated Rates

	FY 2012	FY 2013	FY 2014	FY 2015	FY 2016	FY 2017	FY 2018
Base Charge	$3.00	$3.00	$3.00	$3.00	$3.00	$3.00	$3.09
Volume Charge (per CCF):							
Single-Family	$3.77	$3.77	$3.81	$3.87	$3.93	$3.99	$4.05
Multi-Family	$3.19	$3.19	$3.22	$3.27	$3.32	$3.37	$3.42
Commercial:							
0-1000 CCF	$3.19	$3.19	$3.22	$3.27	$3.32	$3.37	$3.42
Above 1000 CCF	$1.69	$1.69	$1.74	$1.80	$1.86	$1.93	$2.00
Manufacturer:							
0-1000 CCF	$3.19	$3.19	$3.22	$3.27	$3.32	$3.37	$3.42
Above 1000 CCF	$1.69	$1.69	$1.69	$1.75	$1.81	$1.88	$1.95
Wholesale Charges:							
Consumption (per CCF)	$ .95	$ .95	$ .99	$1.03	$1.08	$1.13	$1.19
Capacity Charge (per 10,000 gallons/day)	$184.00	$184.00	$184.00	$184.00	$184.00	$184.00	$184.00

The City and the Water System are subject to certain statutory limitations enacted by the North Carolina General Assembly which directly impact the City's operation of the Water System. The provisions thereof require that: (a) City provide water to users in the County if capacity exists, (b) rates for water customers in the County not exceed the rates for comparable customers in the City, (c) revenues of the Water System available after payment of expenses not be transferred for any City purpose not related to the Water System and (d) water line extensions are required if capacity exists.

Other Water System Statistics

The following table displays the number of accounts for the Water System for the past five years.

Water System Customers
Fiscal Year Ended June 30,

	2010	2011	2012	2013	2014
Single Family Residential	46,329	46,683	47,149	47,589	47,810
Multi-Family Residential	1,576	1,580	1,537	1,487	1,451
Commercial/Industrial	4,573	4,633	4,712	4,763	4,860
Total	52,478	52,896	53,398	53,839	54,121

The 15 largest customers by revenues of the Water System for the fiscal year ended June 30, 2014 included seven governmental agencies and two hospitals. These 15 customers represent 8.6% of total water operating revenues. For such fiscal year, no one customer accounted for more than 1.4% of the total water operating revenue.

As discussed below under "THE CITY – Commerce, Industry and Employment," New Belgium Brewing Co. plans to open a large brewery in 2015 and use the Water System as its main source of supply. The water consumption requirement is estimated at 378,000 gallons per day (at build out) representing about 1.87% of the City's average daily production of 20.13 MGD.

Historical Demand

	Fiscal Year Ended June 30,			
	2011	2012	2013	2014
Residential - Single Family				
Total Number of Accounts	46,683	47,149	47,589	47,810
Total Number of Bills	282,423	282,330	290,669	288,535
Annual Usage Volume (CCF)	2,699,304	2,757,400	2,774,177	2,746,714
Residential – Multi-Family				
Total Number of Accounts	1,580	1,537	1,487	1,451
Total Number of Bills	10,242	9,562	9,474	8,692
Annual Usage Volume (CCF)	983,663	936,952	946,852	958,903
Non-Residential				
Total Number of Accounts	4,633	4,712	4,763	4,860
Total Number of Bills	28,572	28,104	28,757	29,907
Annual Usage Volume (CCF)	2,669,466	2,669,541	2,691,711	2,722,144

Regulation and Certification

North Carolina municipalities such as the City are statutorily empowered to construct and operate water systems and have the right to set the rates for such services and revise such rates from time to time. Municipalities by statute also have the right to extend water services outside of their corporate limits within reasonable limitations established by the North Carolina General Assembly and State courts.

The City is subject to regulation by federal and State authorities with respect to water quality. All new capital projects are designed to comply with environmental criteria and standards as promulgated by

the United States Environmental Protection Agency and the North Carolina Department of Environment and Natural Resources (the "DENR"). Necessary measures are being taken in an effort to ensure that the maximum contaminant levels for treated drinking water and the North Carolina Division of Water Resources standards for rivers and streams are met.

The Department has held an ISO 14001 certification for ten years. The ISO 14001 registration has been an important part of the Department's commitment to the environmental aspects of its operations on a daily basis. All employees in the Department are trained on the ISO 14001 standard which includes four core values to the program: Continuous Improvement, Communication, Compliance, and Commitment to Prevent Pollution

Competition and Expansion

There is currently no significant competition inside the City's corporate limits for new water customers. As of June 30, 2014, the existing water service is provided to 54,121 accounts and currently serves in excess of 125,000 people or approximately 50% of the 2013 estimated population of the County. In addition to serving the City and the County, the Water System also serves a portion of Henderson County. The remaining population is served by: three municipal water systems in the Towns of Woodfin, Biltmore Forest, and Black Mountain; a private utility, Carolina Water; and private wells. The watershed, treatment plants, 1,674 miles of transmission and service lines, pumping stations and reservoir storage system combine to make the system one of the largest in North Carolina. The stated goal of the City is to provide water services to 80% of the County's population by the year 2040, with the other systems in the County continuing to operate independently of the City.

Capital Improvement Program

The Capital Improvement Program (the "CIP") is a five-year financing program intended to fund infrastructure improvements, facility construction and improvement, and the acquisition of equipment. The CIP is updated annually in accordance with guidance from the City Council, public comment, and input from City staff. The CIP for the Department for fiscal years 2016-2020 includes water line relocations mandated by the North Carolina Department of Transportation, distribution system projects including the construction of a new pumping station to improve pressures and water supply reliability in certain distribution areas at a cost of $17.6 million, water production projects including a $40 million dam repair, neighborhood water line replacements, and additional projects in line with the Water System master plan.

The CIP is funded through various sources, including the Water Resources Enterprise Fund and debt financing. For example, long-term water system improvements are partially funded by the CIP Fee that appears on every bill as a separate line called "Capital Fee." The actual charge for the fee is based on a flat fee for single-family residential customers for domestic use and a fee based on meter size for multi-family residential, irrigation, commercial and manufacturing customers.

The five-year CIP for the Water System provides for $103.7 million in project expenses along with $52 million in new debt before factoring in existing debt maturity. The prior five-year period (2011-2015) had project expenses totaling approximately $30 million. The following chart shows the City's estimated expenditures for its capital improvement program for fiscal years 2016 through 2020 and the estimated sources of funding:

	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020
Sources of Funds					
Debt Financing:					
Revenue Bond Proceeds	$ -	$12,000,000	$40,000,000	$ -	$ -
Pay-As-Go:					
Operating Transfer	8,069,253	4,966,010	6,409,277	6,248,115	5,482,349
CIP Fee Operating Transfer	3,916,247	4,015,490	4,116,223	4,184,385	4,287,651
Total Sources	**$11,985,500**	**$20,981,500**	**$50,525,500**	**$10,432,500**	**$ 9,770,000**
Uses of Funds					
Mandatory NCDOT Projects	65,000	80,000	-	-	-
Distribution System Improvements	2,680,000	14,180,000[1]	3,805,000	4,005,000	5,230,000
Water Production Projects	3,600,000	1,900,000	40,900,000[1]	200,000	2,540,000
Neighborhood Water Line Projects	5,640,500	4,301,500	5,098,000	2,780,000	2,000,000
Master Plan Projects	-	520,000	722,500	3,447,500	-
Total Uses	**$11,985,500**	**$20,981,500**	**$50,525,500**	**$10,432,500**	**$ 9,770,000**

[1] Large projects will be implemented over several years.

Historical Operating Data

Selected information on the financial performance of the Water System for the fiscal years ended June 30, 2010 to 2014 is presented below. Information for the fiscal year ended June 30, 2014 should be read in conjunction with the audited financial statements and notes thereto in Appendix B.

	Fiscal Year Ended June 30, (in thousands)				
	2010	2011	2012	2013	2014
Operating revenues	$31,276	$33,617	$34,354	$33,634	$34,186
Operation and Maintenance Expense	(16,993)	(20,652)	(20,022)	(21,091)	(17,795)
Operating Income Before Depreciation	14,283	12,965	14,332	12,543	16,391
Depreciation	(7,744)	(7,206)	(7,584)	(7,448)	(7,386)
Operating Income	$ 6,539	$ 5,759	$ 6,748	$ 5,095	$ 9,005
Non-Operating Revenues/Expenses:					
Investment Income	$ 310	$ 143	$ 191	$ 73	$ 177
Non-operating Income/Expenses	(95)	48	93	174	31
Bond Interest Expense	(2,624)	(3,187)	(3,204)	(3,000)	(2,926)
Net Income	$4,130	$2,763	$3,828	$2,342	$6,287
Adjustment to Net Income:					
Depreciation	$7,744	$7,206	$7,584	$7,448	$7,386
Non-operating Expenses	2,624	3,187	3,204	3,000	2,926
Net Revenues	$14,498	$13,156	$14,616	$12,790	$16,599
Debt Service on Senior Lien Indebtedness[1]	$5,947	$5,939	$5,939	$5,933	$5,933
Debt Service Coverage Ratio for Senior Lien Indebtedness	2.44	2.22	2.46	2.16	2.80
Debt Service on Subordinate Indebtedness[2]	$1,702	$1,170	$254	$492	$487
Debt Service Coverage Ratio for Subordinate Indebtedness[3]	4.33	5.15	29.49	11.53	19.47
Debt Service on all Indebtedness	$7,649	$7,109	$6,193	$6,425	$6,420
Debt Service Coverage Ratio for all Indebtedness[1]	1.90	1.85	2.36	1.99	2.59

[1] Includes debt service on Existing Bonds.
[2] Includes debt service on State Loans.
[3] Calculated as the ratio of the sum of Net Revenues less 1.20 times Senior Lien Indebtedness Debt Service, divided by Subordinated Indebtedness Debt Service.

Management Discussion and Matters in Contention

Management Discussion of Operations. The Water System has historically experienced positive operating results as reflected in the financial position shown in the City's Comprehensive Annual Financial Report. For instance, the Water System's net income as of June 30, 2014 was $6,873,307, an increase of $4,081,818 (or approximately 268%) over the fiscal year ended June 30, 2013.

For the unaudited eight month period ended February 28, 2015, the Water System's operating revenues increased by approximately 3% over the same period in fiscal year 2014 and operating expenses increased by approximately 1%. The year over year differences are primarily related to rate changes and a slight increase in operating costs. Based on current projections, revenues are expected to slightly exceed expenditures at the end of fiscal year 2015.

There are two major capital projects planned for the Water System in the next five years that will require debt financing: construction of a pumping station on Charlotte Highway and related expenditures at an estimated cost of $17.6 million and major repairs to the North Fork Water Treatment Plant Dam at a projected cost of $40 million. In order to assist with funding these projects, the City expects to issue water revenue bonds of $12 million in fiscal year 2017 and $40 million in fiscal year 2018.

Matters in Contention. In May, 2013, the North Carolina General Assembly enacted Session Law 2013-50, "The Water System Act," which was intended to directly impact the City's operation of the Water System. On August 23, 2013, the North Carolina General Assembly enacted Session Law 2013-388, which amended The Water System Act. In general, the Water System Act, as amended, permits any two or more North Carolina local governments to create a new political subdivision to combine the water systems and sewerage systems of the respective governments, including all assets and debts. For other North Carolina cities and towns, the use of the Water System Act is optional. In the case of the City's Water System, however, the Water System Act required that the City immediately transfer the City Water System to the Metropolitan Sewerage District of Buncombe County, without the consent of the City or its citizens. If completed, such a transfer of the City's Water System would also require the assignment of the revenue bonds issued by the City to upgrade the Water System.

The City filed a lawsuit against the State of North Carolina and the Metropolitan Sewerage District of Buncombe County, seeking, among other things, a declaratory judgment that the Water System Act was unconstitutional and an injunction preventing the implementation of the Water System Act. In June 2014, the Wake County Superior Court decided in favor of the City holding that the Water System Act violated the North Carolina Constitution and that the compulsory transfer of the City's Water System was not a valid exercise of the sovereign power to take or condemn property for public use. Accordingly, the Court enjoined the State from implementing or attempting to implement the Water System Act's requirement that the City transfer its ownership of the Water System. The Court also decided that, in the event that the Water System Act was determined to be valid on appeal, then the compulsory transfer of the Water System constituted a taking of the Water System by the State for which the City should be compensated in an amount greater than $100,000,000.

The State has appealed the ruling by the Superior Court and the case is currently before the North Carolina Court of Appeals. The State and the City have filed their briefs with the Court. Although the City is unable to predict when the Court of Appeals will decide the case, no decision is expected until the fall of 2015. Thereafter, either party could appeal the decision by the Court of Appeals to the North Carolina Supreme Court. Such a further appeal would add more time to the litigation and the ultimate resolution of the matter.

In the event the Water System Act is ultimately held to be constitutional and the City is required to transfer the Water System to another entity, the Water System Act provides that the new owner would become liable by operation of law for all debts and obligations of the City associated with the Water System and, further, that the new owner would be required to indemnify the City from any loss on account of such transferred debts and obligations. The Water System Act does not, however, address the other pre-conditions that are required by the General Indenture to be met for the transfer of the Water System to a new owner. See "DEFINITIONS OF CERTAIN TERMS AND SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE – The Indenture – Adding to or Removing from the System" in Appendix C hereto. The City is unable to predict if the new owner can meet such pre-conditions required by the General Indenture if the Water System assets were to be transferred as required by the Water System Act or if an Event of Default would occur under the General Indenture as a result.

Other than as described above, the City is not a party to any litigation, the outcome of which, in the opinion of the City Attorney, would materially affect the City's ability to meet its obligations with respect to the Bonds.

FINANCIAL INFORMATION

The financial statements of the City have been audited by certified public accountants through the fiscal year ended June 30, 2014. Copies of these financial statements containing the unqualified report of the independent certified public accountants are available in the office of Barbara Whitehorn, Chief Financial Officer, Post Office Box 7148, Asheville, North Carolina 28802, telephone (828) 259-5598.

The financial statements attached as Appendix B hereto are the General Purpose Financial Statements of the City and the notes thereto, lifted from the audited Comprehensive Annual Financial Report of the City for the fiscal year ended June 30, 2014.

LEGAL MATTERS

Certain legal matters relating to the authorization and validity of the 2015 Bonds are subject to the approving opinion of Parker Poe Adams & Bernstein LLP, Charlotte, North Carolina, Bond Counsel, which will be furnished upon delivery of the 2015 Bonds. Certain legal matters will be passed upon for the City of Asheville by Robin Currin, Esquire, City Attorney, and by Womble Carlyle Sandridge & Rice, LLP, Raleigh, North Carolina, as counsel to the Underwriters, none of whom will pass upon the validity of the 2015 Bonds.

Parker Poe Adams & Bernstein LLP serves as Bond Counsel for the City and it has represented or is representing the Underwriters as counsel in other financing transactions. Neither the City nor the Underwriters have conditioned the future employment of Parker Poe Adams & Bernstein LLP in connection with any proposed financings for the City or for the Underwriters on the successful execution and delivery of the 2015 Bonds.

TAX TREATMENT

General

On the date of issuance of the 2015 Bonds, Parker Poe Adams & Bernstein LLP, Charlotte, North Carolina ("Bond Counsel"), will render an opinion that, under existing law (1) assuming compliance by the City with certain provisions of the Internal Revenue Code of 1986, as amended (the "Code"), interest

on the 2015 Bonds (a) is excludable from gross income for federal income tax purposes, and (b) is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and (2) interest on the 2015 Bonds is exempt from State of North Carolina income taxation.

The interest on the 2015 Bonds will be taken into account in determining adjusted current earnings of certain corporations (as defined for federal income tax purposes), and such corporations are required to include in the calculation of federal alternative minimum taxable income 75% of the excess of such corporation's adjusted current earnings over its federal alternative minimum taxable income (determined without regard to this adjustment and prior to reduction for certain net operating losses).

The Code imposes various restrictions, conditions and requirements relating to the exclusion of interest on obligations, such as the 2015 Bonds, from gross income for federal income tax purposes, including, but not limited to, the requirement that the City rebate certain excess earnings on proceeds and amounts treated as proceeds of the 2015 Bonds to the United States Treasury, restrictions on the investment of such proceeds and other amounts, and restrictions on the ownership and use of the facilities financed or refinanced with proceeds of the 2015 Bonds. The foregoing is not intended to be an exhaustive listing of the post-issuance tax compliance requirements of the Code, but is illustrative of the requirements that must be satisfied by the City subsequent to issuance of the 2015 Bonds to maintain the excludability of the interest on the 2015 Bonds from gross income for federal income tax purposes. Bond Counsel's opinion is given in reliance on certifications by representatives of the City as to certain facts material to the opinion and the requirements of the Code.

The City has covenanted to comply with all requirements of the Code that must be satisfied subsequent to the issuance of the 2015 Bonds in order that the interest on the 2015 Bonds be, or continue to be, excludable from gross income for federal income tax purposes. The opinion of Bond Counsel assumes compliance by the City with such covenants, and Bond Counsel has not been retained to monitor compliance by the City with such covenants subsequent to the date of issuance of the 2015 Bonds. Failure to comply with certain of such requirements may cause the interest on the 2015 Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the 2015 Bonds. No other opinion is expressed by Bond Counsel regarding the federal tax consequences of the ownership of or the receipt or accrual of interest on the 2015 Bonds.

If the interest on the 2015 Bonds subsequently becomes included in gross income for federal income tax purposes due to a failure by the City to comply with any requirements described above, the City is not required to redeem the 2015 Bonds or to pay any additional interest or penalty.

The Internal Revenue Service has established an ongoing program to audit tax-exempt obligations to determine whether interest on such obligations is includible in gross income for federal income tax purposes. Bond Counsel cannot predict whether the Internal Revenue Service will commence an audit of the 2015 Bonds. Prospective purchasers of the 2015 Bonds are advised that, if the Internal Revenue Service does audit the 2015 Bonds, under current Internal Revenue Service procedures, at least during the early stages of an audit, the Internal Revenue Service will treat the City as the taxpayer, and the owners of the 2015 Bonds may have limited rights, if any, to participate in such audit. The commencement of an audit could adversely affect the market value and liquidity of the 2015 Bonds until the audit is concluded, regardless of the ultimate outcome.

Prospective purchasers of the 2015 Bonds should be aware that ownership of the 2015 Bonds and the accrual or receipt of interest on the 2015 Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, financial institutions, property or casualty insurance companies, individual recipients of Social Security or Railroad Retirement benefits, certain Subchapter S Corporations with "excess net passive income," foreign corporations subject to the

branch profits tax, life insurance companies and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry the 2015 Bonds. Bond Counsel does not express any opinion as to any such collateral tax consequences. Prospective purchasers of the 2015 Bonds should consult their own tax advisors as to the collateral tax consequences.

Proposed legislation is considered from time to time by the United States Congress that, if enacted, would affect the tax consequences of owning the 2015 Bonds. No assurance can be given that any future legislation, or clarifications or amendments to the Code, if enacted into law, will not contain provisions which could cause the interest on the 2015 Bonds to be subject directly or indirectly to federal or State of North Carolina income taxation, adversely affect the market price or marketability of the 2015 Bonds or otherwise prevent the owners of the 2015 Bonds from realizing the full current benefit of the status of the interest on the 2015 Bonds.

Bond Counsel's opinion is based on existing law, which is subject to change. Such opinion is further based on factual representations made to Bond Counsel as of the date thereof. Bond Counsel assumes no duty to update or supplement its opinion to reflect any facts or circumstances that may thereafter come to Bond Counsel's attention, or to reflect any changes in law that may thereafter occur or become effective. Moreover, Bond Counsel's opinion is not a guarantee of a particular result, and is not binding on the Internal Revenue Service or the courts; rather, such opinion represents Bond Counsel's professional judgment based on its review of existing law, and in reliance on the representations and covenants that Bond Counsel deems relevant to such opinion. Bond Counsel's opinion expresses the professional judgment of the attorneys rendering the opinion regarding the legal issues expressly addressed therein. By rendering its opinion, Bond Counsel does not become an insurer or guarantor of the result indicated by that expression of professional judgment, of the transaction on which the opinion is rendered, or of the future performance of the City, nor does the rendering of such opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

Original Issue Discount

As indicated on the inside cover page, the 2015 Bonds maturing on August 1, 2029 to 2032, inclusive (the "OID Bonds"), are being sold at initial offering prices which are less than the principal amount payable at maturity. Under the Code, the difference between (a) the initial offering prices to the public (excluding bond houses and brokers) at which a substantial amount of each maturity of the OID Bonds is sold and (b) the principal amount payable at maturity of such OID Bonds, constitutes original issue discount treated as interest which will be excluded from the gross income of the owners of such OID Bonds for federal income tax purposes.

In the case of an owner of an OID Bond, the amount of original issue discount on such OID Bond is treated as having accrued daily over the term of such OID Bond on the basis of a constant yield compounded at the end of each accrual period and is added to the owner's cost basis of such OID Bond in determining, for federal income tax purposes, the gain or loss upon the sale, redemption or other disposition of such OID Bond (including its sale, redemption or payment at maturity). Amounts received upon the sale, redemption or other disposition of an OID Bond which are attributable to accrued original issue discount on such OID Bonds will be treated as interest exempt from gross income, rather than as a taxable gain, for federal income tax purposes, and will not be a specific item of tax preference for purposes of the federal alternative minimum tax imposed on corporations and individuals. However, it should be noted that with respect to certain corporations (as defined for federal income tax purposes), a portion of the original issue discount that accrues to such corporate owners of OID Bonds in each year will be taken into account in determining the adjusted current earnings for the purpose of computing the federal alternative minimum tax imposed on such corporations and may result in other collateral federal income tax consequences for certain taxpayers in the year of accrual. Consequently, corporate owners of

an OID Bond should be aware that the accrual of original issue discount on any OID Bond in each year may result in a federal alternative minimum tax liability or other collateral federal income tax consequences, even though such corporate owners may not have received any cash payments attributable to such original issue discount in such year.

Original issue discount is treated as compounding semiannually at a rate determined by reference to the yield to maturity of each individual OID Bond. The amount treated as original issue discount on an OID Bond for a particular semiannual accrual period is equal to (a) the product of (i) the yield to maturity for such OID Bond (determined by compounding at the close of each accrual period) and (ii) the amount which would have been the tax basis of such OID Bond at the beginning of the particular accrual period if held by the original purchaser, less (b) the amount of interest payable on such OID Bond during the particular accrual period. The tax basis is determined by adding to the initial public offering price on such OID Bond the sum of the amounts which have been treated as original issue discount for such purposes during all prior accrual periods. If an OID Bond is sold between semiannual compounding dates, original issue discount which would have accrued for that semiannual compounding period for federal income tax purposes is to be appointed in equal amounts among the days in such compounding period.

The Code contains additional provisions relating to the accrual of original issue discount in the case of owners of the OID Bonds who subsequently purchase any OID Bonds after the initial offering or at a price different from the initial offering price during the initial offering of the 2015 Bonds. Owners of OID Bonds should consult their own tax advisors with respect to the precise determination for federal and state income tax purposes of the amount of original issue discount accrued upon the sale, redemption or other disposition of an OID Bond as of any date and with respect to other federal, state and local tax consequences of owning and disposing of an OID Bond. It is possible that under the applicable provisions governing the determination of state or local taxes, accrued original issue discount on an OID Bond may be deemed to be received in the year of accrual even though there will not be a corresponding cash payment attributable to such original issue discount until a later year.

Original Issue Premium

As indicated on the inside cover page, the 2015 Bonds maturing on August 1, 2016 to 2028, inclusive (the "Premium Bonds"), are being sold at initial offering prices which are in excess of the principal amount payable at maturity. The difference between (a) the initial offering prices to the public (excluding Bond houses and brokers) at which a substantial amount of the Premium Bonds is sold and (b) the principal amount payable at maturity of such Premium Bonds constitutes original issue premium, which original issue premium is not deductible for federal income tax purposes. In the case of an owner of a Premium Bond, however, the amount of the original issue premium which is treated as having accrued over the term of such Premium Bond is reduced from the owner's cost basis of such Premium Bond in determining, for federal income tax purposes, the taxable gain or loss upon the sale, redemption or other disposition of such Premium Bond (whether upon its sale, redemption or payment at maturity). Owners of Premium Bonds should consult their tax advisors with respect to the determination, for federal income tax purposes, of the "adjusted basis" of such Premium Bonds upon any sale or disposition and with respect to any state or local tax consequences of owning a Premium Bond.

LITIGATION

There is no pending or threatened litigation seeking to restrain or enjoin the issuance, sale, execution or delivery of the 2015 Bonds, or questioning or affecting the validity of the 2015 Bonds or any proceedings of the City or the Local Government Commission taken with respect to the issuance or sale

thereof, or questioning or affecting the validity of the pledge or application of any security pledged for the payment of the 2015 Bonds or the existence or powers of the City or the Local Government Commission to issue and approve the 2015 Bonds, or questioning the right of the City to adopt and comply with the Indenture or to finance or operate its facilities in accordance therewith. For a discussion of litigation affecting the Water System, see "THE WATER SYSTEM - Management Discussion and Matters in Contention – Matters in Contention" above.

BANKRUPTCY

Under North Carolina law, a local governmental unit may not file for bankruptcy protection without the consent of the LGC. If bankruptcy proceedings were initiated by the City with the consent of the LGC, the bankruptcy proceedings could have adverse effects on the owners of the 2015 Bonds, including (a) delay in enforcement of their remedies, (b) subordination of their claims to claims of those supplying goods and services to the City after the initiation of bankruptcy proceedings and to the administrative expenses of bankruptcy proceedings and (c) imposition without their consent of a plan of reorganization reducing or delaying payment of the 2015 Bonds. The effect of the provisions of the United States Bankruptcy Code on the rights and remedies of the owners of the 2015 Bonds cannot be predicted and may be affected significantly by judicial interpretation, general principles of equity (regardless of whether considered in a proceeding in equity or at law) and considerations of public policy.

In addition to its consent to bankruptcy filings by local government units, North Carolina law vests authority in the LGC to intervene in the financial affairs, including taking full control of the financial affairs, of local government units, including the City, if the unit defaults, or in the opinion of the LGC will default, on a future debt service payment if financial policies and practices are not improved.

LEGALITY FOR INVESTMENT

Section 159-140 of the General Statutes of North Carolina, as amended, provides that bonds issued under the Act are securities in which all public officers and public bodies of the State of North Carolina and its political subdivisions and agencies and all insurance companies, trust companies, investment companies, bank, savings banks, building and loan associations, savings and loan associations, credit unions, pension or retirement funds, other financial institutions engaged in business in the State of North Carolina, executors, administrators, trustees and other fiduciaries may properly and legally invest funds, including capital in their control or belonging to them. Such section also provides that such bonds are securities and may properly and legally be deposited with and received by any State of North Carolina or municipal officer or any agency or political subdivision of the State of North Carolina for any purpose for which the deposit of bonds, notes or obligations of the State of North Carolina is now or may hereafter be authorized by law. No representation is made as to the eligibility of 2015 Bonds for investments or any other purpose under any law of any other state.

UNDERWRITING

The Underwriters have entered into a Bond Purchase Agreement to purchase all of the 2015 Bonds, if any of the 2015 Bonds are to be purchased, at a purchase price equal to 100% of the principal amount thereof, plus a net original issue premium of $6,377,939.05 and less an underwriters' discount of $211,835.00. The obligation of the Underwriters to pay for the 2015 Bonds is subject to certain terms and conditions set forth in the Bond Purchase Agreement.

The Underwriters may offer and sell the 2015 Bonds to certain dealers (including dealers depositing the 2015 Bonds into investment trusts) and others at prices lower than the initial public offering prices stated on the inside cover page hereof. The public offering prices may be changed from time to time by the Underwriters.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriters and their respective affiliates may have certain creditor and/or other rights against the City and their respective affiliates in connection with such activities. In the various course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the City (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the City. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association ("WFBNA"). WFBNA, an underwriter of the 2015 Bonds, has entered into an agreement (the "Distribution Agreement") with its affiliate, Wells Fargo Advisors, LLC ("WFA"), for the distribution of certain municipal securities offerings, including the 2015 Bonds. Pursuant to the Distribution Agreement, WFBNA will share a portion of its underwriting compensation with respect to the 2015 Bonds with WFA. WFBNA also utilizes the distribution capabilities of its affiliate, Wells Fargo Securities, LLC ("WFSLLC"), for the distribution of municipal securities offerings, including the 2015 Bonds. In connection with utilizing the distribution capabilities of WFSLLC, WFBNA pays a portion of WFSLLC's expenses based on its municipal securities transactions. WFBNA, WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

RATINGS

Moody's Investors Service, Inc. ("Moody's") has given the 2015 Bonds the rating of "Aa2" with no outlook assigned. Standard & Poor's Ratings Services ("S&P") has given the 2015 Bonds the rating of "AA" with a positive outlook assigned. Further explanation of the significance of such ratings and statement of outlook may be obtained from Moody's and S&P. The City has provided to Moody's and S&P certain information that has not been included in this Official Statement. The ratings are not a recommendation to buy, sell or hold the 2015 Bonds and should be evaluated independently. There is no assurance that such ratings will not be withdrawn or revised downward by Moody's or S&P. Such action may have an adverse effect on the market price of the 2015 Bonds. Neither the City nor the Underwriters have undertaken any responsibility after the issuance of the 2015 Bonds to assure maintenance of the ratings or to oppose any such revision or withdrawal.

CONTINUING DISCLOSURE

In the Series Indenture, the City will undertake, for the benefit of the Owners and the Beneficial Owners of the 2015 Bonds, to provide to the MSRB:

(a) by not later than seven months after the end of each Fiscal Year, beginning with the Fiscal Year ending June 30, 2015, the audited financial statements of the City for such Fiscal Year, if available, prepared in accordance with Section 159-34 of the General Statutes of North Carolina, as it may be amended from time to time, or any successor statute, or, if such audited financial statements of the City are not then available, unaudited financial statements of the City for such Fiscal Year to be replaced subsequently by audited financial statements of the City to be delivered within 15 days after such audited financial statements become available for distribution;

(b) by not later than seven months after the end of each Fiscal Year, beginning with the Fiscal Year ending June 30, 2015, the financial and statistical data in (i) the tables labeled "Existing Monthly Water Rates" and "Historical Demand" under the heading "THE WATER SYSTEM" and (ii) under the heading "THE WATER SYSTEM – Historical Operating Data" included in this Official Statement dated May 12, 2015 relating to the 2015 Bonds;

(c) in a timely manner, notice of the occurrence of any of the following events with respect to the 2015 Bonds, if material:

(i) principal and interest payment delinquencies;

(ii) non-payment related defaults, if material;

(iii) unscheduled draws on any debt service reserves reflecting financial difficulties;

(iv) unscheduled draws on any credit enhancements reflecting financial difficulties;

(v) substitution of any credit or liquidity providers, or their failure to perform;

(vi) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the 2015 Bonds or other material events affecting the tax status of the 2015 Bonds;

(vii) modification to the rights of the Beneficial Owners of the 2015 Bonds, if material;

(viii) call of any of the 2015 Bonds, if material, and tender offers;

(ix) defeasance of any of the 2015 Bonds;

(x) release, substitution or sale of any property securing repayment of the 2015 Bonds, if material;

(xi) rating changes;

(xii) bankruptcy, insolvency, receivership or similar event of the City;

(xiii) the consummation of a merger, consolidation, or acquisition involving the City or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to such actions, other than pursuant to its terms, if material;

(xiv) the appointment of a successor or additional trustee, or the change in the name of a trustee, if material; and

(d) in a timely manner, notice of a failure of the City to provide required annual financial information described in (a) or (b) above on or before the date specified.

The City agrees to provide all documents described in this section in an electronic format as prescribed by the MSRB and accompanied by identifying information as prescribed by the MSRB.

At present, Section 159-34 of the General Statutes of North Carolina requires the City's financial statements to be prepared ,in accordance with generally accepted accounting principles and to be audited in accordance with generally accepted auditing standards.

The Series Indenture will also provide that if the City fails to comply with the undertaking described above, the Trustee or any of the Beneficial Owners of the 2015 Bonds may take action to protect and enforce the rights of all Owners and Beneficial Owners with respect to such undertaking, including an action for specific performance; provided, however, that failure to comply with such undertaking shall not be an event of default and shall not result in any acceleration of payment of the 2015 Bonds. All actions shall be instituted, had and maintained in the manner provided in this paragraph for the benefit of all Owners and Beneficial Owners of the 2015 Bonds.

Pursuant to the Series Indenture, the City will reserve the right to modify from time to time the information to be provided to the extent necessary or appropriate in the judgment of the City, provided that:

(a) any such modification may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in identity, nature, or status of the City;

(b) the information to be provided, as modified, would have complied with the requirements of Rule 15c2-12 issued under the Securities Exchange Act of 1934 ("Rule 15c2-12") as of the date of this Official Statement, after taking into account any amendments or interpretations of Rule 15c2-12, as well as any changes in circumstances; and

(c) any such modification does not materially impair the interests of the Owners or the Beneficial Owners of the 2015 Bonds, as determined by Bond Counsel or by the approving vote of the Owners of a majority in principal amount of the 2015 Bonds pursuant to the terms of the General Indenture, as it may be amended from time to time, at the time of the amendment.

Any annual financial information containing modified operating data or financial information is required to explain, in narrative form, the reasons for the modification and the impact of the change in the type of operating data or financial information being provided.

The undertaking described above will terminate upon payment, or provisions having been made for payment in a manner consistent with Rule 15c2-12, in full of the principal and interest on all of the 2015 Bonds.

The City may discharge its undertakings described above by transmitting the documents or notices referred to above in a manner subsequently authorized or required by the SEC in lieu of the manner described above.

The City has issued publically offered securities that were insured by municipal bond insurers whose ratings have been downgraded at various times over the last five years. The City was not informed of such rating changes by either the bond insurer or the rating agencies. The City did learn of some rating changes through general sources and, when it did so, filed the appropriate material event notice related to such ratings change to the extent they were applicable; however, the City did not learn of all the rating changes as they occurred and therefore did not file notices of all such downgrades with the MSRB during the last five years. Other than as describe above, during the last five years, the City has not failed to comply in any material respect with any previous continuing disclosure undertaking pursuant to Rule 15c2-12.

MISCELLANEOUS

The references herein to the 2015 Bonds and the Indenture are brief outlines of certain provisions thereof. Such outlines do not purport to be complete, and for full and complete statements of such provisions reference is made to such documents, copies of which are available for inspection at the principal office of the City and the principal corporate trust office of the Trustee. Any statements involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact.

The execution and distribution of this Official Statement have been duly authorized by the Local Government Commission. The Local Government Commission and its staff assume no responsibility for the accuracy or completeness of any representation or statement herein except for material with respect to them included under the caption "THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION" in Appendix D.

The City has supplied the information contained herein relating to the City and has supplied or reviewed the summaries of all documents to which the City is a party, and the City has duly approved the execution and delivery of this Official Statement.

NORTH CAROLINA LOCAL GOVERNMENT COMMISSION

By: /s/ Greg C. Gaskins
Secretary

CITY OF ASHEVILLE, NORTH CAROLINA

By: /s/ Gary W. Jackson
City Manager

APPENDIX A

THE CITY OF ASHEVILLE

This page intentionally left blank.

APPENDIX A

THE CITY OF ASHEVILLE

General Description

The City is located in western North Carolina, one of the top growth areas of North Carolina and the United States. It is situated on a high plateau between the Blue Ridge and Great Smoky Mountains, occupying a land area of approximately 44.2 square miles. The City is 240 miles west of Raleigh, North Carolina, the State's capital, and 204 miles north of Atlanta, Georgia. It serves as the county seat of Buncombe County (the "County"), is the largest city in western North Carolina and the tenth largest city in the State. The City is also the center of the Asheville Metropolitan Statistical Area (the "Asheville MSA"), which is comprised of Buncombe, Madison, Henderson and Haywood Counties. According to the U.S. Census Bureau, Asheville had a population of 83,393 as of April 1, 2010. The approximate population of the County was 238,318 in 2010.

Known as Morristown in 1792, the community later became the village of Ashville (without the first "e"). The Town of Asheville, named in honor of Governor Samuel Ashe, was incorporated January 27, 1798 and was reincorporated in 1883 as the City of Asheville.

As the largest city in western North Carolina, the City is the center for government, commercial, financial, medical, recreational and entertainment activities for the region. The National Climatic Data Center (a part of the United States Department of Commerce), the Governor's Western Residence, the United States Department of Agriculture Forest Service Southern Research Station and the National Park Service are located in the City. The Western North Carolina Farmers Market and the Western North Carolina Regional Livestock Center centralize commerce for regional farmers.

According to the National Climatic Data Center, the annual average temperature is 55.4 degrees with the average January daily temperature at 37.3 degrees and the average July daily temperature at 73.5 degrees. Average annual rainfall is 46.67 inches and an average annual snowfall is 11.4 inches.

Demographic Characteristics

The United States Department of Commerce, Bureau of the Census, has recorded the population of the City to be as follows:

1990	2000	2010
61,855	68,889	83,393

The Office of State Budget and Management has estimated the population of the City to be as follows:

2010	2011	2012	2013
83,393	85,173	86,497	88,003

Per capita personal income figures for the County and the State are presented in the following table:

Year	County[1]	State
2010	$33,973	$35,435
2011	35,106	36,508
2012	37,363	38,538
2013	37,443	38,683

[1] Separate data for the City are not available.

Source: United States Department of Commerce, Bureau of Economic Analysis.

Commerce, Industry and Employment

General. The City is the regional center of health care, manufacturing, transportation, banking, professional services and retail trade. Other leading industry sectors include tourism, government, hospitality and food services. In November 2014, *Forbes* ranked the City number 34 on its list of Best Places for Business and Careers and number 8 on its list of the smartest cities in the "Small Smart Set" category.

Manufacturing. The manufacture of consumer products plays a significant role in the City's economy. According to the U.S. Bureau of Labor Statistics 2013 data statistics for the Asheville MSA, manufacturing establishments provided approximately 18,700 jobs in the MSA. The diverse products manufactured in the Asheville MSA include machinery, computer and electronics, aerospace and automotive, plastics and rubber. Major manufacturers include BorgWarner Turbo Systems and Thermo Fisher Scientific Inc. The BorgWarner Turbo Systems plant in the City manufactures turbochargers and crankshaft vibration dampers for customers including Caterpillar, Mack Truck and John Deere. In May of 2014, BorgWarner announced plans to expand its current facility, creating 154 new jobs and investing $55 million in the project's facilities and equipment.

In January 2014, Thermo Fisher Scientific Inc. announced that its manufacturing plant in the City won *IndustryWeek* Magazine's 2013 Best Plants award, given to North American facilities for manufacturing excellence. The Asheville site was also awarded the 2013 North Carolina E3 (Economy, Energy, Environment) award. The company manufactures lab equipment including cold storage, separations and temperature control products, among other products, supplied to pharmaceutical, biotech, and research labs.

In October 2014, Linamar Corporation, a leading supplier of engine, transmission and driveline components, announced that it will invest $115 million to expand its manufacturing facility in Arden, within the Asheville MSA. The plant introduces a new product line to Linamar Asheville and will be manufacturing high-technology transmission gears for the automotive industry. Linamar Corporation plans to create 400 jobs at the Arden campus. Headquartered in Guelph, Ontario, Canada, Linamar Corporation is a world-class designer and diversified manufacturer of precision metallic components and systems for the automotive, energy and mobile industrial markets.

In November 2013, GE Aviation began development of a $125 million facility near the City to produce jet propulsion products. Just under one year later, in October 2014, GE Aviation opened the new, 170,000-square-foot composites facility. The facility produces engine components comprised of ceramic matric composite (CMC) materials, specifically high-pressure turbine shrouds. GE Aviation anticipates the workforce at the plant to reach more than 340 people within 5 years.

In 2012, New Belgium Brewing Co. selected the former WNC Livestock Market, located in the City's River District, as its location for an east coast brewery. According to the Brewers Association 2014 List of the Top 50 Craft Breweries in the United States, New Belgium Brewing Co. was the nation's fourth-largest craft brewer based on 2014 sales. The company is investing $150 million in transforming the former stockyards into a brewery, distribution warehouse, hospitality tasting room and rooftop beer garden. New Belgium Brewing began its Asheville hiring process at the Asheville Area Chamber of Commerce's 9th Annual Homecoming Job Fair in January, 2015. The brewery is planning to do the bulk of its hiring in late 2015, when production is expected to begin. In total, the brewery expects to create approximately 140 jobs between the tasting room, brewery, and distribution center. Also in the field of craft beer, Sierra Nevada Brewing Co., the nation's third-largest craft brewery according to the Brewers Association 2014 List, is located about 20 miles south of the City in Henderson County. Sierra Nevada's brewery, taproom and restaurant have created nearly 260 jobs in the area. Upon completion of development at the 185-acre location, the brewery will be an approximately $100 million dollar campus.

Travel and Tourism. One of the largest sectors in the service industry in the Asheville MSA is the leisure and hospitality industry that, according to the U.S. Bureau of Labor Statistic, boasts 24,700 jobs. According to the North Carolina Department of Commerce, tourism had an economic impact of over $901 million in the County and was responsible for 9,790 jobs in the County in 2013. The North Carolina Department of Commerce divides the state into "prosperity zone[s]" to examine monthly lodging data for the state. For example, the Western Region of North Carolina, a prosperity zone comprised of 13 counties, including the County, showed a 13.7% increase in occupancy rates for January 2015 from January 2014. This was the highest occupancy rate increase among the state's eight prosperity zones for the period.

On their annual list of the world's top destinations, Frommer's named Asheville among their 15 Best Places to Go in 2015, and the City was featured in the National Geographic "World's Best Cities" book published in the fall of 2014. Also in 2014, USA Today ranked Asheville on its "The Brightest Fall Foliage Around the USA" list and its "Southern Literary Destinations" list. That same year, the readers of Conde Nast Traveler voted Asheville one of the "Friendliest Cities in the US" and Outside Magazine readers chose the City as one of the "Best Towns Ever". Every year since 2007 when Topretirements.com published its first list of the best places to retire, the City has been named #1.

The U.S. Cellular Center Asheville (the "Center"), formerly the Asheville Civic Center, has been providing facilities for entertainment, convention, commercial, cultural and sports activities for the City and surrounding community since 1974. The Center includes a 7,200-seat arena, a banquet hall, a performing arts auditorium with seating capacity of 2,431, and an exhibition hall. Events at the Center attracted approximately 193,000 people to 110 events in 2014. The Southern Conference league's men's and women's basketball tournament was held in the City in 2013, 2014, and 2015 and is slated to return through 2017. The economic impact of holding the 2015 tournament in the City is estimated to be over $4.0 million, with 4,000 room-nights generated for local hotels. The 2014 tournament had combined attendance for men's and women's sessions of over 34,000 people.

The 469-mile scenic Blue Ridge Parkway winds along the Blue Ridge Mountains, through the City and enters the Great Smoky Mountains National Park. Overlooks, hiking trails and the headquarters of the Southern Highland Craft Guild make scenic drives along the Blue Ridge Parkway popular for locals and tourists alike. Chimney Rock State Park, with hiking trails for all ages and a 404-foot waterfall, is located just 25 miles southeast of the City.

The half million acre Pisgah National Forest surrounds the City with rugged mountain scenery. It is divided into three ranger districts. The Pisgah Ranger District, dominated by Mount Pisgah, is located roughly between the Towns of Brevard and Waynesville and the City. This district is home to both the

Cradle of Forestry in America and the North Carolina Arboretum. The Cradle of Forestry in America is a 6,500-acre historic site set aside by Congress to commemorate the beginning of forestry conservation in the United States. The North Carolina Arboretum is a 434-acre public garden operated under a special use permit issued by the National Forests in North Carolina. The Grandfather Ranger District lies southeast of the Blue Ridge Parkway from north of the City to Blowing Rock, North Carolina. Linville Gorge is the predominant feature of the area with very rugged terrain to challenge even experienced hikers. The Appalachian Ranger District lies from the Great Smoky Mountain National Park's eastern boundary to Craggy Gardens on the Blue Ridge Parkway to near the Tennessee state line at Roan Mountain. This area contains some of the most beautiful mountain scenery in the east including important wildflower habitats at Craggy Gardens and Roan Mountain. Also included in this district are Mt. Mitchell - the highest point in eastern America - and Grandfather Mountain - an international biosphere preserve - although neither of these are actually National Forest property. The peak of Mt. Mitchell and neighboring Mt. Craig are a North Carolina State Park, as is a portion of Grandfather Mountain. The remainder of Grandfather Mountain is privately-owned, but open to the public with an admission charge.

The Biltmore Estate, a home built by George Washington Vanderbilt II between 1889 and 1895, is a large tourist attraction located in the City. At 250 rooms, it is the largest privately-owned home in the United States. In 1964, it was designated a National Historic Landmark. The estate today covers over 8,000 acres. The grounds include over 80 acres of formal gardens, a winery and the Inn on Biltmore Estate, which is an AAA four-diamond 213-room hotel. In December 2015, the Village Hotel on Biltmore Estate will open with 209 guest rooms near the Winery in Antler Hill Village.

The Omni Grove Park Inn (the "Inn") is a resort in the City with 513 rooms, a 43,000 square-foot spa, nine dining outlets, an 18-hole Donald Ross-designed golf course, a 50,000 square-foot sports complex and 55,000 square feet of meeting space with 28 meeting rooms. The Inn opened in July 1913 and is listed on the National Register of Historic Places. It recently received a $25 million renovation, completed just prior to the celebration of the Inn's 100th anniversary in 2013. The Inn is operated by Omni Hotels & Resorts and boasts an AAA four-diamond rating. In 2014, the Omni Grove Park Inn was featured by *USA Today* on its "10 Best Places: Have a Heart-to-Hearth at These Hotels" list.

In August of 2012, Aloft Hotel opened downtown in the City. The hotel features 115 loft-style rooms (including four suites). It is part of a mixed-use development including a Diamond Brand Outdoors adventure boutique, which opened in November 2014, and the Blackbird Restaurant, Asheville.

The Botanical Gardens of Asheville, located on a ten-acre site next to the UNC Asheville campus, is home to more than 600 plant species that are native to the southern Appalachian Mountains. Other tourist attractions in or near the City include the Thomas Wolfe Memorial, the Zebulon Vance birthplace and Biltmore Village.

Economic Development & Regional Trade. As a regional urban center, the Asheville MSA is the primary trade center for western North Carolina. According to the North Carolina Department of Commerce, the County had 2,519 retail businesses posting total retail sales in 2014 of approximately $3.8 billion. The North Carolina Department of Revenue indicated that gross state sales tax collections for the fiscal year 2013-2014 were $181,363,146 for the County.

Total taxable sales in the County for the past five fiscal years are shown in the following table:

Fiscal Year Ended June 30,	Total Taxable Sales	Increase (Decrease) Over Prior Year
2010	$2,954,277,382	N/A
2011	3,125,296,879	5.79%
2012	3,308,421,583	5.86
2013	3,632,106,651	9.78
2014	3,789,896,675	4.34

Source: North Carolina Department of Revenue, Sales and Use Tax Division.

Construction activity in the City is evidenced by the following table that summarizes the number and value of new construction building permits issued in the City for the five calendar years ended December 31, 2014:

	Commercial		Residential		
Calendar Year	Building Permits Issued	Building Permit Values	Building Permits Issued	Building Permit Values	Total Value
2010	219	$ 78,578,459	514	$40,659,131	$119,237,590
2011	77	62,271,491	187	35,817,692	98,089,183
2012	50	32,380,285	226	44,947,732	77,328,017
2013	77	105,454,488	304	50,692,132	156,149,620
2014	170	193,261,696	351	59,187,481	252,449,177

Source: City of Asheville Building Safety Department.

Health Services. Health Services is the largest industry in the Asheville MSA, accounting for approximately 20% of jobs. The City serves as the regional referral service for the western part of the state. Mission Health, which is based in the City, is the sixth-largest health system in North Carolina. Mission Hospital is Mission Health's flagship hospital, with a 795 bed capacity. The Asheville location also includes the Mission Children's Hospital, the sole children's hospital in the region. Mission Hospital is a significant employer in the region, employing approximately 6,800 people, 1,800 of which are registered nurses. Truven Health Analytics has ranked Mission Hospital one of the Top 15 Health Systems in the nation in 2012, 2013, and 2014.

CarePartners Health Services ("CarePartners") is a private, nonprofit healthcare organization located in the City that offers a full continuum of post-acute care in four areas: Rehabilitation, Home Health, Adult Care, and Hospice and Palliative. CarePartners includes CarePartners Rehabilitation Hospital, an 80-bed regional referral center with rehabilitation programs for a multitude of illnesses, injuries and conditions. CarePartners also offers (1) outpatient rehabilitation services at eight convenient locations in Asheville and the surrounding region, (2) home health nursing, therapy, and private duty services, (3) hospice and palliative care services in the home, assisted living facilities, rest homes, and the John F. Keever, Jr. Solace Center, a 27-bed, facility in the City for those nearing the end of life, (4) adult day health/day care services, (5) private duty personal and companion care services and (6) orthotics and prosthetics services.

Charles George Veterans Administration Medical Center ("VAMC"), located in the City, serves the health care needs of more than 100,000 veterans living in a 19-county area of western North Carolina. VAMC is a tertiary care, 119-bed acute care facility. It also operates a separate transitional care unit, a 120-bed community living center providing extended care rehabilitation services. In addition to these services, VAMC provides primary care, extended care and rehabilitation, hospice and palliative care, mental health, pharmacy and specialty care services on an in-patient and outpatient basis at the facility in the City and two outpatient clinics in Franklin and Rutherfordton, North Carolina. With a staff of approximately 1,500, VAMC serves as a teaching hospital with programs in education and research.

Financial Institutions. The City is served by many commercial banking institutions and savings banks, including: Wells Fargo Bank, N.A.; Bank of America, N.A.; First-Citizens Bank & Trust Company; Branch Banking and Trust Company; TD Bank, N.A.; Sun Trust Banks, Inc.; First Bank; Fifth Third Bank; Capital Bank, N.A.; Asheville Savings Bank; Bank of North Carolina; PNC Bank, N.A. and HomeTrust Bank.

Employment. The following table shows major employers in the County:

Company/Institution	Type of Enterprise	Approximate Number of Employees
Buncombe County Public Schools	Educational Services	3,000+
Mission Health System and Hospital	Hospitals	3,000+
City of Asheville	Executive, Legislative & Other General Government Support	1,000 – 2,999
The Biltmore Company	Museums, Historical Sites & Similar Institutions	1,000 – 2,999
Buncombe County Government	Executive, Legislative & Other General Government Support	1,000 – 2,999
The Omni Grove Park Inn	Accommodation	1,000 – 2,999
Ingles Markets, Inc. (Home Office Buncombe County)	Food & Beverage Stores	1,000 – 2,999
Asheville Buncombe Community College (AB-Tech)	Educational Services	1,000 – 2,999
VA Medical Center – Asheville Department of Veterans Affairs	Hospitals	1,000 – 2,999
CarePartners	Nursing & Residential Care Facilities	750 – 999
Eaton Corporation – Electrical Division	Electrical Equip., Appliances & component Mfg.	750 – 999
Asheville City Schools	Educational Services	500 – 749
Arvato Digital Services	Computer & Electronic Product Mfg.	500 – 749
BorgWarner Turbo Systems	Transportation Equip. Mfg.	500 – 749
Guthy Renker Fulfillment Services, LLC	Administrative & Support Services	500 – 749
MB Haynes Corp. (Division Offices)	Construction of Buildings	500- 749

Sitel, A subsidiary of Onex Corp.	Administrative & Support Services	500 – 749
Thermo Fischer Scientific, Inc.	Machinery Mfg.	500 – 749
The University of North Carolina Asheville	Educational Services	500 - 749

Source: Asheville Area Chamber of Commerce as of April 2014.

The Division of Economic Security of the North Carolina Department of Commerce has estimated the percentage of unemployment in the City to be as follows:

	2011	2012	2013	2014	2015
January	7.6%	7.1%	7.0%	4.8%	4.2%
February	7.6	7.2	6.6	4.8	N/A
March	7.0	6.7	6.0	4.6	N/A
April	6.8	6.3	5.4	3.9	N/A
May	7.1	6.7	5.6	4.4	
June	7.6	7.1	6.1	4.4	
July	7.5	6.9	5.7	4.7	
August	7.9	6.8	5.3	4.7	
September	7.2	6.1	5.0	4.0	
October	6.9	6.0	4.9	3.8	
November	6.6	6.0	4.6	3.8	
December	6.4	6.2	4.4	3.5	

Government and Major Services

Government Structure. Pursuant to the City's charter, the City has a council-manager form of government. The City Council is composed of six council members and a mayor elected at large, for staggered four-year terms on a non-partisan basis. The mayor is directly elected by the citizens by a separate ballot. The City Council appoints the vice-mayor.

The City Council acts as the City's legislative body. The major duties of the City Council include: adoption of an annual budget; establishing taxes; enactment of policies concerning the operation of the City; enacting local ordinances; and appointment of the City Manager and of members of various boards and commissions. The City Council also has authority to issue bonds by a bond ordinance.

The City Manager is the chief administrator of the City, appointed by the City Council to serve at the Council's discretion for an indefinite term. The major duties of the City Manager include: supervising and coordinating the activities of the City departments; attending City Council meetings and making recommendations on appropriate matters of business; ascertaining that all orders and policies of the City Council are implemented; recommending the annual budget; advising the City Council on the financial condition of the City; and representing the City in business with other agencies.

Transportation. The City is served by three interstate highways, I-26, I-40 and I-240. Access to the County, surrounding counties, Tennessee, Virginia, and South Carolina is obtained via Appalachian Corridors, including three interstates and Federal highways: U. S. 25, 25A, 70, 74, 19 and 23. The Asheville area is served by over 30 motor freight carriers.

Asheville Regional Airport offers direct service to Atlanta, Charlotte, Chicago, New York, Newark, Detroit, Ft. Lauderdale, Ft. Myers/Punta Gorda, Orlando and Tampa/St. Petersburg. Enplanements in calendar year 2014 totaled 378,124 passengers and approximately 625,000 passengers utilize the Asheville Regional Airport annually. In season, the airport provides 25 non-stop flights daily, with flights provided by Allegiant, Delta, United, and US Airways. In a November 2013 study, the Massachusetts Institute of Technology International Center for Transportation named Asheville Regional Airport the best connected non-hub airport in the United States. The City is also served by the Norfolk Southern Railroad Corporation providing rail lines through Knoxville, Tennessee to the west and Greenville, South Carolina to the south. Passenger rail service is available in Greenville, South Carolina. Local facilities offer loading and unloading.

Public Enterprise Services

As described above, the City furnishes water treatment and distribution services to the area. Wastewater treatment is provided by the Metropolitan Sewerage District of Buncombe County. Progress Energy provides electric service while PSNC Energy distributes natural gas.

Wastewater System. The Metropolitan Sewerage District (the "District") is a public body organized under the provisions of the North Carolina Metropolitan Sewerage Districts Act, being Article 5, Chapter 162A of the General Statutes of North Carolina, as amended. The District was created and established in 1962 by the North Carolina State Stream Sanitation Committee for the purpose of constructing and operating facilities for the treatment and disposal of the sewage and industrial wastewater generated within the political subdivisions comprising the District. In 1964, the City, pursuant to the creation of the District entered into an agreement with that agency for the treatment and disposal of sewerage. On July 2, 1990, the City and all of the other public entities in the County conveyed their collector sewer systems to the District. Pursuant to the terms of transfer, the District assumed the responsibility of maintaining, rehabilitating and reconstructing, where necessary, all of the collector sewer systems in the County that were previously owned and maintained by the City and other public entities.

The District is comprised of the following political subdivisions located within the County:

City of Asheville
Town of Biltmore Forest
Town of Weaverville
Town of Black Mountain
Town of Montreat
Woodfin Sanitary Water and Sewer District
Busbee Sanitary Sewer District
Crescent Hill Sanitary District
Skyland Sanitary Sewer District
Fairview Sanitary Sewer District
Caney Valley Sanitary Sewer District
Swannanoa Water and Sewer District
Beaverdam Water and Sewer District
Venable Sanitary District
Enka-Candler Water and Sewer District
Town of Woodfin

The District owns, operates and maintains a wastewater treatment plant (rated at 40 million gallons per day) to treat raw sewage and industrial wastewater collected in an extensive 900 mile network of collector sewers owned, operated and maintained by the District. The District averages 16 million gallons of wastewater through the plant daily. The District charges individual users of the system directly and the City provides a billing process for this purpose as part of its water billing process

Other Major Services

Fire. The Asheville Fire Department is accredited and has a Class 3 public protection classification from the Insurance Services Office. This high rating entitles homeowners and businesses in

the City to lower fire insurance premiums. There are twelve fire stations located throughout the City, staffed by 258 people. The stations are strategically located so that all areas of the City are within an average three-mile radius of the nearest fire station. The City has also signed mutual-aid agreements with volunteer fire departments in the County to provide help when it is needed. In addition, the City has signed agreements with volunteer fire departments to assist with the provision of fire protection service to recent annexation areas, pursuant to State annexation statutes enacted to protect income sources of volunteer fire departments.

Police. The City's Police Department is made up of 223 sworn and 55 non-sworn positions. The department also utilizes a volunteer Chaplaincy Corp of over 15 along with other volunteers. The department also collaborates with federal agencies and other local law enforcement agencies to staff various task force teams. The Police Department is a nationally accredited police department through the Commission on Accreditation for Law Enforcement Agencies.

Parks & Recreation. The City's Parks and Recreation Department is accredited by the National Recreation and Parks Association demonstrating excellence in municipal parks and recreation services and operations. There are over 70 parks, greenways and facilities located throughout the city managed by a team of 93 employees. Parks and facilities are located throughout the City so that all citizens are located within an average of approximately three miles of a park or recreation facility. The City has signed agreements with 20 community organizations to assist with maintenance, beautification and improvements in parks, greenways and facilities.

Sanitation. The City's Public Works Department is responsible for weekly residential solid waste collection and recycling for City residents. Beginning July 1, 2013, residential recycling services are provided by the City, with residents charged a $7.00 per month solid waste fee, which applies to all customers utilizing the solid waste collection services provided by the City. The Public Works Department also performs street and sidewalk construction/maintenance for 404 miles of City system streets, snow and ice removal, storm damage abatement, street marking, signage and traffic signal system, and maintenance of the organization's motorized equipment (more than 700 vehicles).

Stormwater System. The City maintains a Stormwater Fund which is used to account for revenues and expenses associated with the installation, maintenance, repair and revitalization of the City's storm drainage, catch basins and pipes within the City's streets and rights-of-way. The Stormwater Fund also provides funding for program resources to comply with a Federal Stormwater Quality Permit. This utility is primarily funded by stormwater fees based upon the amount of impervious surface area that is on a property and is billed as part of the City's utility bill.

Pension Plans and Other Post-Employment Benefits

The City participates in the following four pension benefit plans: the North Carolina Local Governmental Employees' Retirement System, the Law Enforcement Officers Special Separation Allowance for full-time law enforcement officers, the Supplemental Retirement Income Plan for all employees and Firefighters Governmental Money Purchase Plan.

The North Carolina Local Governmental Employees' Retirement System ("LGERS") is a cost-sharing multiple-employer defined benefit pension plan administered through a board of trustees by the State for public employees of counties, cities, boards, commissions and other similar governmental entities. The North Carolina Department of State Treasurer is the custodian of LGERS funds with administrative costs borne by the participating employer governmental entities. The State makes no contributions to LGERS.

LGERS provides, on a uniform system-wide basis, retirement and, at each employer's option, death benefits from contributions made by employers and employees. Employee members contribute six percent of their annual covered salary. Each employer makes a normal contribution plus, where applicable, a contribution toward any unfunded liability. The City has no unfunded liability. The normal contribution rate, uniform for all employers, is currently 7.07% of eligible payroll for general employees and 7.41% of eligible payroll for law enforcement officers. Contributions to the system are determined on an actuarial basis. The City has made all required contributions. At December 31, 2013 (most recent actuarial evaluation), LGERS actuarial value of assets was $21.498 billion, the actuarial accrued liability was $21.538 billion with an unfunded liability of $40 million, reflecting a funded ratio of 99.8%.

Members qualify for a vested deferred benefit at age 50 with at least 20 years of creditable service or at age 60 after at least five years of creditable service. Unreduced benefits are available as follows: at age 65, with at least five years of service, at age 60, with at least 25 years of creditable service, or after 30 years of creditable service, regardless of age. Benefit payments are computed by taking an average of the annual compensation for the four consecutive years of membership service yielding the highest average. This average is then adjusted by a percentage formula, by a total years of service factor, and by an age service factor if the individual is not eligible for unreduced benefits.

The City administers a single-employer defined benefit pension plan ("Separation Allowance") that provides retirement benefits to the City's qualified sworn law enforcement officers. The Separation Allowance is equal to 0.85% of the annual equivalent of the base rate of compensation most recently applicable to the officer for each year of creditable service. The retirement benefits are not subject to any increases in salary or retirement allowances that may be authorized by the General Assembly.

Employee members do not make contributions to the Separation Allowance plan. The City has elected to fund the benefit payments on a pay as you go basis through appropriations made in the General Fund operating budget. The City's actuarial Annual Pension Cost for the fiscal year 2014 was $515,413; the City paid $577,655 in separation allowance benefits during that period. At June 30, 2014, the unfunded pension obligation was $1.12 million.

The City contributes to the Supplemental Retirement Income Plan (the "Plan"), a Section 401(k) defined contribution pension plan administered by the Department of State Treasurer and a board of trustees. The Plan provides retirement benefits to law enforcement officers employed by the City. City Council has agreed to extend this benefit to all regular full-time and regular part-time non-law enforcement employees. The employer's contribution rate to the Plan is five percent of eligible payroll. Employee members make voluntary contributions to the Plan.

The City contributes to the Firefighters Governmental Money Purchase Plan ("GMPP"), a section 401(a) defined contribution pension plan administered by ICMA-RC. The GMPP provides retirement benefits to full-time City employees engaged in fire protection services who collectively have chosen to not participate in benefits provided by Title II of the Social Security Act. Eligible employees who voluntarily participate in the GMPP contribute amounts equal to two percent of eligible payroll. The employer's contribution rate to the GMPP is two percent of participating employees' eligible payroll. Employees who have completed five years of services are fully vested.

For additional information concerning the City's participation in the four pension benefit plans see the Notes to the City's audited financial statements in Appendix B hereto.

The City funds its Other Post Employment Benefits (“OPEB”) benefits on an actuarial basis and is accounting and reporting its related expenses and liabilities in accordance with requirements of Governmental Accounting Standards Board (GASB) Statement No. 45, "Accounting and Financial

Reporting by Employers for Postemployment Benefits Other Than Pensions." The approximate cost of OPEB for the Water System in fiscal year 2014 was $190,000. The City has established an irrevocable trust for managing its OPEB assets consistent with investment authority provided by legislation enacted by the North Carolina General Assembly. Such authority allows the City to invest its OPEB funds in securities that mirror the State of North Carolina's eligible investments used for statewide pension funds. For additional information see the Notes to the City's audited financial statements in Appendix B hereto.

This page intentionally left blank.

APPENDIX B

CERTAIN FINANCIAL INFORMATION CONCERNING THE CITY

This page intentionally left blank.

APPENDIX B

Management's Discussion and Analysis of the Financial Activities of the City

The following is Management's Discussion and Analysis of the financial activities of the City, lifted from the Comprehensive Annual Financial Report for the City for the fiscal year ended June 30, 2014. Management's Discussion and Analysis provides an objective and easily readable short and long-term analysis of the City's financial activities based on currently known facts, decisions or conditions. Management's Discussion and Analysis is not a required part of the basic financial statements but is supplementary information required by the Governmental Accounting Standards Board. The independent auditors of the City have applied certain limited procedures, which consist primarily of inquiries of management regarding the methods of measurement and presentation of the required supplementary information. However, they did not audit this information and did not express an opinion on it.

CITY OF ASHEVILLE
MANAGEMENT'S DISCUSSION AND ANALYSIS
JUNE 30, 2014

As management of the City of Asheville (the "City"), we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2014. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in the City's Notes to the Financial Statements, which follow this narrative.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by $369.3 million (net position). Of this amount, $80 million (unrestricted net position) may be used to meet the government's ongoing obligations to its citizens and creditors.
- The City's total net position of $369.3 million represents an increase of $9.4 million over fiscal year 2013's net position of $359.9 million.
- At the close of the current fiscal year, the City's governmental funds reported combined ending fund balances of $39.6 million, an increase of $747,000 in comparison with the prior year's amount of $38.8 million. The unassigned portion of the General Fund balance is $15 million; this amount is available to spend at the City's discretion.
- At the end of the current fiscal year, the non-spendable, restricted, committed and assigned portions of fund balance for all governmental funds was $24.5 million.
- The City's total long-term liabilities decreased by $5.4 million during the current fiscal year. This decrease is primarily attributable to the payment of principal on the City's debt in conformance with the applicable maturity schedules net of new installment financing contracts in the amount of $1.8 million The City holds the following general obligation bond ratings:

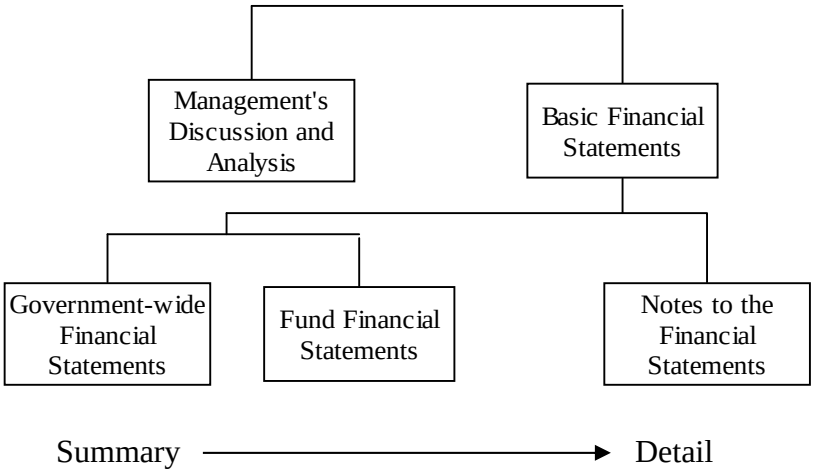
Moody's	Aaa
Standard & Poor's	AA+

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The financial statements include two kinds of statements that present different views of the City: 1) Government-Wide Financial Statements and 2) Fund Financial Statements. Both perspectives are essential and complementary components that allow the user to address relevant questions, broaden a basis for comparison, and enhance the City's accountability. Another element of the basic financial statements is the notes to the financial statements. In addition to the basic financial statements, the report contains other supplemental information that will enhance the reader's understanding of the financial condition of the City as well as compliance issues that are addressed by Government Auditing Standards, Office of Management and Budget (OMB) Circular A-133 and the North Carolina Single Audit Implementation Act (Figure 1).

Required Components of Annual Financial Report

Figure 1



Basic Financial Statements

The first two statements (Exhibits A and B) in the basic financial statements are the **Government-wide Financial Statements**. They provide both short and long-term information about the City's financial status.

The next statements (Exhibits C through L) are **Fund Financial Statements**. These statements focus on the activities of the individual parts of the City's government. These statements provide more detail than the government-wide statements. There are four parts to the Fund Financial Statements: 1) the governmental funds statements; 2) the budgetary comparison statements; 3) the proprietary fund statements; and 4) the fiduciary fund statements.

The next section of the basic financial statements is the **notes**. The notes to the financial statements explain in detail some of the data contained in those statements. After the notes, **supplemental information** is provided to show details about the City's non-major governmental funds, all of which are added together in one column on the basic financial statements. Budgetary information required by the General Statutes also can be found in this part of the statements. The supplemental section also contains funding information about the City's pension plans and postemployment healthcare and dental benefits plans.

Government-wide Financial Statements

The government-wide financial statements are designed to provide the reader with a broad overview of the City's finances, similar in format to a financial statement of a private-sector business. The government-wide statements provide short- and long-term information about the City's financial status as a whole.

The *statement of net position* presents information on the City's assets and deferred outflows of resources, and liabilities and deferred inflows of resources, with the difference between the two reported as the *net position*. Over time, increases or decreases in net position may serve as a useful way to gauge the City's financial condition.

The *statement of activities* presents information on how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of related cash flows. Therefore, revenues and expenses are reported in this statement, which result in cash flows in future fiscal periods, such as uncollected taxes and earned but unused vacation leave.

Government-wide statements are divided into governmental and business-type activities. The governmental activities include most of the City's basic services such as Public Safety, Recreation, Transportation, Community and Economic Development, and General Government. Property taxes, sales tax, and other local taxes finance about 65 percent of the costs of these activities. Business-type activities include Water Utility, Stormwater Management, Parking, Street Cut, U.S. Cellular Center, and Mass Transit services. These activities are primarily paid from charges to customers, with the exception of mass transit, which receives federal grants and transfers from General Fund as its primary source of funding.

The government-wide financial statements are on Exhibits A and B of this report.

Fund Financial Statements

The **Fund Financial Statements** (Exhibits C through L) provide a more detailed look at the City's most significant activities. A fund is used to maintain control over resources that have been segregated for specific activities or objectives. Fund accounting ensures and reflects compliance, or non-compliance, with related legal requirements, such as General Statutes, grantor provisions, or the City's budget ordinance. The funds of the City are divided into three categories: 1) the governmental fund statements, 2) the proprietary fund statements, and 3) the fiduciary fund statements.

Governmental Funds – Governmental funds are used to account for those functions reported as governmental activities in the government-wide financial statements. Unlike the government-wide financial statements, governmental fund financial statements focus on how assets can readily be converted into cash flow in/out and what monies are left at year-end that will be available for spending in the next year. Most of the City's basic services are accounted for in

governmental funds. Governmental funds are reported using an accounting method called *modified accrual accounting,* which provides a current financial resources focus. As a result, the governmental fund financial statements give the reader a detailed short-term view that helps him or her determine if there are more or less financial resources available to finance the City's programs. The relationship between government activities (reported in the Statement of Net Position and the Statement of Activities) and governmental funds is described in a reconciliation that is a part of the fund financial statements.

The City maintains seven individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures, and changes in fund balances for the General Fund and the General Capital Projects Fund. Data from the other five governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these non-major governmental funds is provided in the form of *combining statements* elsewhere in this report.

The City adopts an annual budget for its General Fund, as required by North Carolina General Statutes. The budget is a legally adopted document that incorporates input from Asheville citizens, city management, and decisions of the City Council about which services to provide and how to pay for them. It also authorizes the City to obtain funds from identified sources to finance current period activities. The budgetary statement provided for the General Fund demonstrates how well the City complied with the budget ordinance and whether or not the City succeeded in providing the services as planned when the budget was adopted. The General Fund budgetary comparison statement uses the budgetary basis of accounting – modified accrual – and is presented with modifications to the format, language, and classifications from the legal budget document. The statement shows four columns: 1) the original budget as adopted by the City Council, 2) the final budget as amended by the City Council, 3) the actual resources, charges to appropriations, and ending balances in the General Fund, and 4) the difference or variance between the final budget and the actual resources and charges.

The basic governmental fund financial statements are Exhibits C through G of this report.

Proprietary Funds – The City maintains two types of proprietary funds. *Enterprise funds* are used to report the same functions presented as *business-type activities* in the entity-wide financial statements. The City uses enterprise funds to account for its Water Resources, U.S. Cellular Center, Parking Services, Stormwater Management, Street Cut Utility, and Mass Transit Operations. *Internal Service funds* are an accounting mechanism used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for the financing of goods and services provided by the Health Insurance, Workers' Compensation, and Property and Casualty Funds on a cost reimbursement basis. Additionally, the City uses an internal service fund entitled General for the purpose of accumulating net assets not specifically assigned to any of the other internal service funds. As each of these services predominantly benefits governmental rather than business-type functions, they have been included within governmental activities in the government-wide financial statements.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water Resources Fund, Parking Services Fund, and Mass Transit Fund, which are considered to be major funds of the City. The basic proprietary fund financial statements can be found in Exhibit H through J of this report.

Fiduciary Funds – Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are *not* reflected in the government-wide financial statement because the resources of those funds are *not* available to support the City's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds. The City maintains three fiduciary funds: one pension trust fund and two agency funds. The basic fiduciary fund financial statements can be found on Exhibits K and L of this report.

Notes to the Basic Financial Statements – The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements are on Pages 37-79 of this report.

Other Information – In addition to the basic financial statements and accompanying notes, this report also presents certain *required supplementary information* concerning the City's progress in funding its obligation to provide pension benefits to its employees. Required supplementary information can be found on Pages 80-83 of this report. The combining statements, referred to earlier in connection with non-major governmental funds, are presented immediately following the required supplementary information on pensions. The other supplemental information shows details about the City's individual funds, including budgetary information required by the North Carolina General Statutes as well as other data the City considers helpful to the reader.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

The Government-wide financial statements are designed to provide the reader with a broad overview of the City's finances, similar in format to a financial statement of a private-sector business. The government-wide statements provide short and long-term information about the City's financial status as a whole. The two government-wide statements report the City's net position and how it has changed. Net position is the difference between the City's total assets and deferred outflows of resources, and total liabilities and deferred inflows of resources. Measuring net position is one way to gauge the City's financial condition. As noted earlier, net position may serve over time as a useful indicator of a government's financial condition. In the case of the City, assets and deferred outflows exceeded liabilities and deferred inflows by $369.3 million as of June 30, 2014 (Figure 2).

By far the largest portion of the City's net position ($272.9 million or 73.9 percent) reflects the City's net investment in capital assets (e.g., land, buildings, infrastructure, machinery, and equipment) less any related debt that is still outstanding that was issued to acquire those assets. The City uses these capital assets to provide services to citizens; consequently, these assets are *not* available for future spending. Although the City's investment in its capital assets is reported -

net of the outstanding related debt, it should be noted that the resources needed to repay this debt must be provided from other sources since the capital assets are committed to the continued provision of service and cannot be used to liquidate these liabilities. Restricted net assets, 4.3 percent of the City's net assets, represent resources that are subject to external restrictions. These restrictions consist of state statute, community development activities, and cemetery maintenance. In addition, total unrestricted net assets amounted to 21.8 percent of total net position. Unrestricted net assets may be used to meet the government's ongoing obligation to citizens and creditors.

Government-Wide Financial Analysis
The City of Asheville's Net Position
(amounts expressed in thousands)
Figure 2

	Governmental Activities		Business-Type Activities		Total	
	2014	2013	2014	2013	2014	2013
Current and other assets	$ 66,669	$ 65,223	$ 65,192	$ 59,579	$ 131,861	$ 124,802
Capital assets	159,586	162,857	212,105	212,684	371,691	375,541
Deferred outflows of resources	22	28	52	58	74	86
Total assets and deferred outflows of resources	226,277	228,108	277,349	272,321	503,626	500,429
Non-current liabilities	31,032	36,196	74,641	78,342	105,673	114,538
Other liabilities	19,605	15,565	9,037	10,247	28,642	25,812
Deferred inflows of resources	7	143	-	-	7	143
Total liabilities and deferred inflows of resources	50,644	51,904	83,678	88,589	134,322	140,493
Net Position:						
Net Investment in capital assets, net of related debt	134,534	139,093	138,358	130,733	272,892	269,826
Restricted	15,968	13,044	-	-	15,968	13,044
Unrestricted	25,131	24,067	55,313	52,999	80,444	77,066
Total net position	$ 175,633	$ 176,204	$ 193,671	$ 183,732	$ 369,304	$ 359,936

City of Asheville Changes in Net Position
(amounts expressed in thousands)
Figure 3

	Governmental Activities		Business-Type Activities		Total	
	2014	2013	2014	2013	2014	2013
Revenues:						
Program revenues:						
Charges for services	$ 18,286	$ 16,371	$ 46,769	$ 45,823	$ 65,055	$ 62,194
Operating grants and contributions	6,092	7,275	2,504	2,840	8,596	10,115
Capital grants and contributions	3,240	4,474	4,973	6,199	8,213	10,673
General revenues:						
Property taxes	52,053	46,836	-	-	52,053	46,836
Other taxes	18,140	17,310	-	-	18,140	17,310
Grants and contributions not restricted to specific programs	8,682	10,415	-	-	8,682	10,415
Investment earnings	190	95	194	83	384	178
Miscellaneous	1,147	680	104	171	1,251	851
Total revenues	107,830	103,456	54,544	55,116	162,374	158,572
Expenses:						
General government	17,909	15,049	-	-	17,909	15,049
Public safety	45,206	49,988	-	-	45,206	49,988
Environmental services	6,083	9,869	-	-	6,083	9,869
Community development	8,682	5,389	-	-	8,682	5,389
Transportation	17,456	14,693	-	-	17,456	14,693
Culture and recreation	9,923	10,665	-	-	9,923	10,665
Interest on long-term debt	856	662	-	-	856	662
Water resources	-	-	28,107	31,539	28,107	31,539
Parking services	-	-	3,121	2,446	3,121	2,446
Street Cut Utility	-	-	1,417	1,337	1,417	1,337
Stormwater	-	-	3,318	2,596	3,318	2,596
U.S. Cellular Center	-	-	3,635	3,137	3,635	3,137
Mass transit	-	-	7,293	7,654	7,293	7,654
Golf course	-	-	-	2,081	-	2,081
Total expenses	106,115	106,315	46,891	50,790	153,006	157,105
Increase (decrease) in net position before transfers	1,715	(2,859)	7,653	4,326	9,368	1,467
Transfers	(2,286)	(2,434)	2,286	2,434	-	-
Increase (decrease) in net position	(571)	(5,293)	9,939	6,760	9,368	1,467
Net position, beginning of year	176,204	181,497	183,732	176,972	359,936	358,469
Net position, end of year	$ 175,633	$ 176,204	$ 193,671	$ 183,732	$ 369,304	$ 359,936

Governmental activities – In fiscal year 2014, the net position for the governmental activities declined by approximately $571,000 (Figure 3). Key elements of this decrease are as follows:

- Current and other assets, consisting mainly of cash and investments, increased by $1.4 million year-over-year. The majority of the increase is attributable to an increase in receivables due from other governments, to include sales taxes and federal and state grants, and an increase in interfund receivables from the Mass Transit Fund.
- Depreciation expenses exceeded capital additions by approximately $2.3 million as well as $900,000 in capital asset retirements.
- Governmental liabilities decreased by $1.3 million with the majority of the decrease attributable to a $1.2 million decrease in long term liabilities, which is attributable to the net effect of retirement and acquisition of debt.

Total governmental assets and deferred outflows decreased by approximately $1.8 million and liabilities and deferred inflows decreased by approximately $1.3 million. Net investments in capital assets, net of related debt, reflected a decrease of $4.6 million. This decrease is due to a $3.3 million decline in the value of capital assets, net of depreciation as well as a $1.3 million decline in unexpended debt proceeds, net of debt retirement.

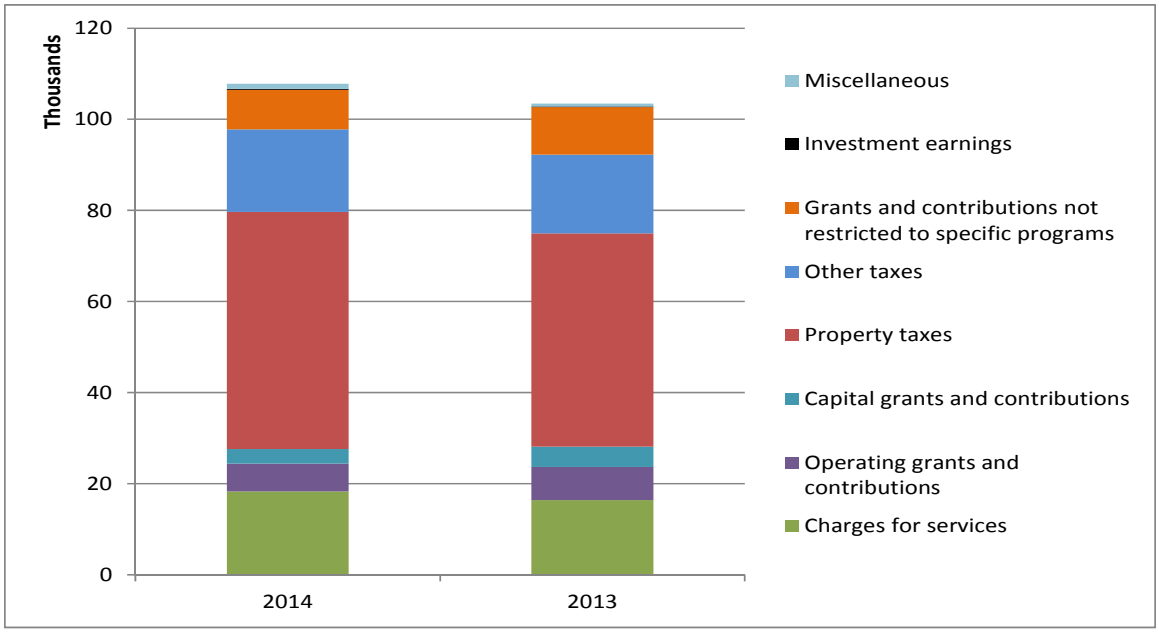
Total revenues reported (Figure 4) in the governmental activities for fiscal year 2014 were $107.8 million as compared to fiscal year 2013's $103.5 million, an increase of $4.3 million or 4.2 percent. Charges for services revenue increased by $1.9 million; this is primarily as a result of increased revenue from building permits and fee changes in the City's solid waste program.

Property and other taxes improved by approximately $6.0 million, year-over-year. Property tax revenue increased by approximately $5.2 million due to the three-cent tax rate increase that City Council approved in June 2013 for capital improvements and overall growth in the tax base. Other taxes principally comprised of sales taxes, increased year-over-year by approximately $830,000, representing an improvement in economic activity and retail sales.

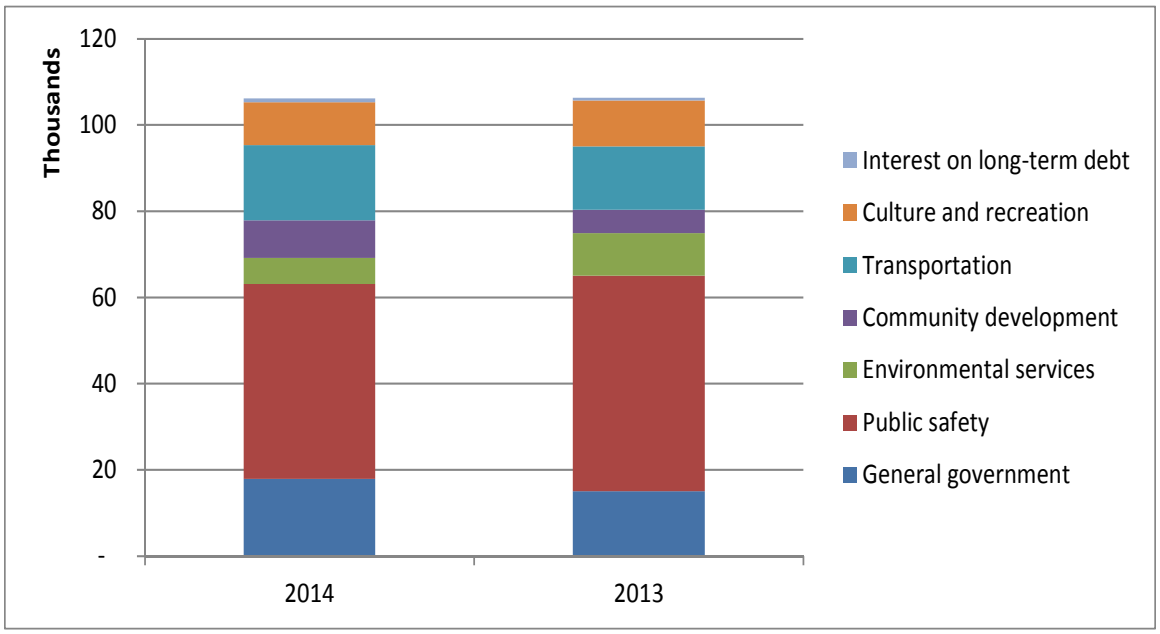
Total expenses reported (Figure 5) in the governmental activities for fiscal year 2014 were $106.1 million as compared to fiscal year 2013's $106.3 million, essentially remaining flat year-over-year. The year-over-year changes in General Government and Public Safety expenses were primarily due to organizational restructuring that moved certain city functions out of the public safety service area and into the general government service area. Community Development expenses reflected an increase of $3.3 million over the prior period with the majority of the increase attributable to capital spending associated with the City's new Community and Economic Development CIP program. Specific project expenses included demolition of City property downtown, payments to the Eagle-Market Place development, and grant-funded design work for the East of the Riverway project. Year-over-year changes in transportation and environmental expenses were mainly due to the reclassification of Powell Bill expenses between the two service areas.

Government-wide Analysis

Governmental Activities Revenues
Figure 4



Governmental Activities Expenses
Figure 5

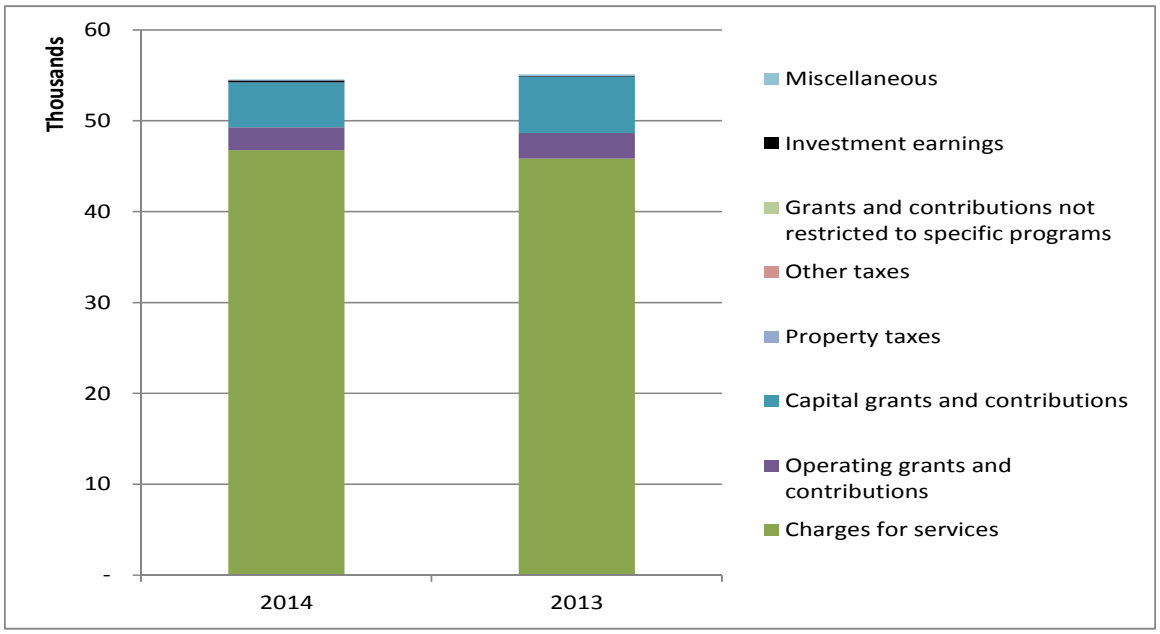


Business-type activities – The City's Net Position for business-type activities increased approximately $9.9 million with $6.8 million occurring in the Water Resources Fund and $3.1 million occurring in the other enterprise funds. This increase is primarily attributable to favorable operational results (revenues generated from operations were greater than operational expenses) for overall business-type activities.

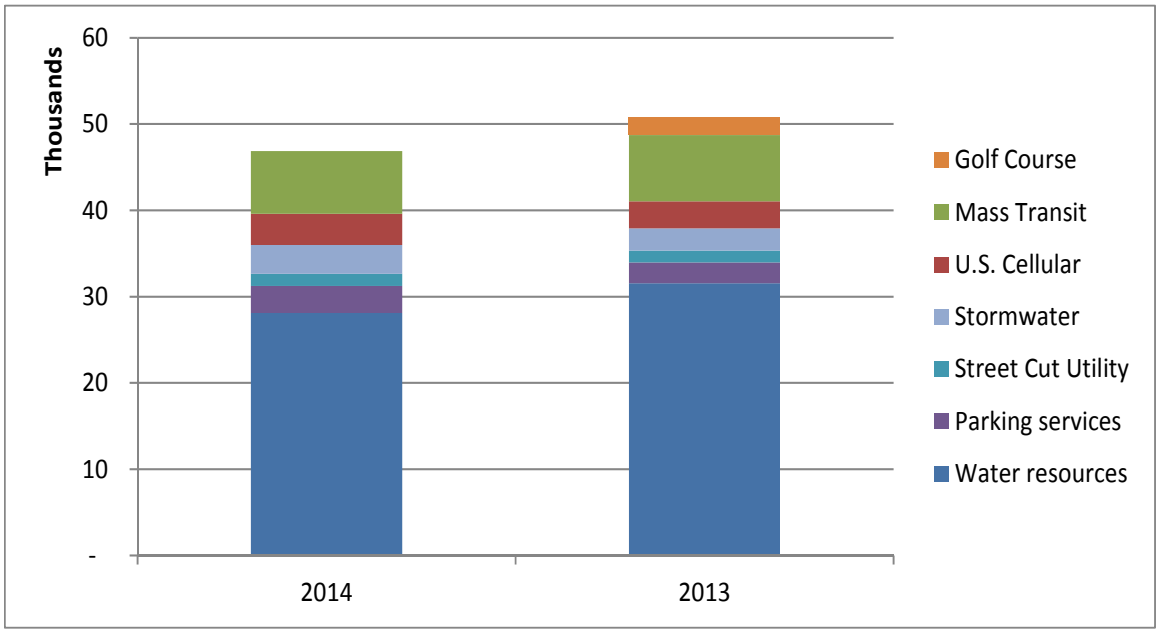
Revenues for all business-type activities, year-over-year, increased by $572,000 (Figure 6). Expenses were down by $3.9 million and transfers decreased by $148,000 (Figure 7). Key elements of these changes are as follows:

- Charges for services increased by $946,000 from fiscal year 2013 to fiscal year 2014 with the majority of the increase occurring in the Water Resources and Parking Services funds as a result of Council-approved fee increases.
- Operating grants and contributions decreased by $336,000 primarily due to a decrease in grant funding for Mass Transit.
- Capital grants and contributions decreased year-over-year by $1.2 million, which is attributable to grant funding for bus purchases in Mass Transit that were received in fiscal year 2013.
- Revenues and expenses in business-type activities in fiscal year 2014 were both impacted by the City's decision to contract out the operation of its municipal golf course after the start of fiscal year 2013. As a result, fiscal year 2014 is the first fiscal year in which the golf course is not reflected in the City's financial statements.
- Expenses in Water Resources decreased by $3.4 million year-over-year mainly as a result of decreases in capital spending. This decrease is partly due to the completion of the automated meter installation project.

Business-type Activities Revenues
Figure 6



Business-type Activities Expenses
Figure 7



Governmental Funds – The general fund is the chief operating fund of the City. At the end of the current fiscal year, the City's fund balance available in the General Fund was $15.0 million, while total fund balance reached $32 million. The Governing Body of the City has determined that the City should maintain an available fund balance of 15 percent of general fund expenditures in case of unforeseen needs or opportunities, in addition to meeting the cash flow needs of the City. The City currently has an available fund balance of 16.8 percent of general fund expenditures, while total fund balance represents 35.7 percent of the same amount.

Capital Asset and Debt Administration

Capital assets – The City's investment in capital assets (Figure 8) for the governmental and business-type activities as of June 30, 2014, totals $371.7 million (net of accumulated depreciation). These assets include land, buildings, improvements other than buildings, infrastructure, such as streets, sidewalks, and water lines, machinery and equipment, intangibles (right of way and easements) and construction in progress.

City of Asheville Capital Assets
(amount expressed in thousands)
Figure 8

	Governmental Activities		Business-Type Activities		Total	
	2014	2013	2014	2013	2014	2013
Land	$ 35,675	$ 34,490	$ 15,801	$ 15,695	$ 51,476	$ 50,185
Buildings and Improvements	30,029	31,433	54,134	56,725	84,163	88,158
Improvements Other than Buildings	2,513	1,774	637	662	3,150	2,436
Machinery and Equipment	14,156	12,956	16,664	18,360	30,820	31,316
Infrastructure	65,989	75,130	114,286	116,262	180,275	191,392
Construction in Progress	7,247	3,454	9,756	4,832	17,003	8,286
Intangibles	3,961	3,620	810	148	4,771	3,768
Other Capital Assets	15	-	17	-	32	-
Net Capital Assets	$ 159,585	$ 162,857	$ 212,105	$ 212,684	$ 371,690	$ 375,541

Major capital expenditures in fiscal year 2014 included:

- Purchase of replacement buses and vehicles for various departments
- Improvements to the City's streets and sidewalks, in addition to newly constructed sidewalks
- The construction of Azalea Road improvements
- The design of the Craven Street improvements
- The City Hall renovations
- Replacement and maintenance of water-lines
- Continuation of renovations of the U.S. Cellular Center in conjunction with the hosting of the Southern Conference Men's and Women's Basketball Champions

Additional information regarding the City's capital assets is found in Note IV on Pages 54 through 58 of this report.

Long-term Debt – As of June 30, 2014, the City had total debt outstanding of $102.1 million (Figure 9). Of this total indebtedness, $670,000 is backed by the full faith and credit of the City. The remainder of the City's debt, totaling $101.4 million, represents bonds secured solely by specified revenue sources (revenue bonds) or contracts collateralized by the financed project – often real or personal property (installment financing contracts). In June 2014, the City entered into an installment financing contract, in the amount of $1.81 million, to provide funding for the purchase of certain capital assets including vehicles, computers, and equipment.

The City's total net debt at June 30, 2014, decreased by approximately $5.8 million when compared to 2013 fiscal year end. This is the result of annual payments made in accordance with regularly scheduled maturity dates on the existing debt and the effect of the current year's additional debt discussed above. The City has no bonds authorized and unissued at June 30, 2014.

The City maintains an "AA+" rating from Standard & Poor's and an "Aaa" rating from Moody's for general obligation debt.

State statutes limit the amount of general obligation debt a governmental entity may issue to eight percent of its total assessed value of taxable property located within that government's boundaries. The legal debt margin for the City is approximately $858.7 million which is significantly in excess of the City's outstanding general obligation debt. Additional information regarding the City's long-term debt can be found in Note VI on Pages 60-67 of this report.

City of Asheville
General Obligation Bonds, Revenue Bonds, Installment Financing and Other Notes
(amounts expressed in thousands)
Figure 9

	Governmental Activities		Business-Type Activities		Total	
	2014	2013	2014	2013	2014	2013
General obligation bonds	$ 670	$ 770	$ -	$ -	$ 670	$ 770
Installment financing contracts	25,309	27,070	12,064	12,575	37,373	39,645
Revenue bonds	-	-	62,685	65,570	62,685	65,570
Other long-term indebtedness	783	847	618	1,085	1,401	1,932
Total bonds	$ 26,762	$ 28,687	$ 75,367	$ 79,230	$ 102,129	$ 107,917

General Fund Budgetary Highlights

During fiscal year 2014, there was a $3.4 million net increase in appropriations between the original and final amended General Fund budget. The largest component of this budget increase was for the prior year's encumbrances in the amount of $2.78 million. Other items contributing to this increase include: 1) $300,453 (that was held in contingency at the end of fiscal year 2013) appropriated from unassigned fund balance for building maintenance and traffic safety projects, 2) $150,000 appropriated from unassigned fund balance to increase the storm control budget due to a harsher than anticipated winter season.

Actual General Fund revenues exceeded final budget estimates by approximately $1.86 million or two percent. Ad valorem tax revenues, the City's largest General Fund revenue source, finished the year at 100.4 percent of budget. Fiscal year 2014 revenue from ad valorem taxes was approximately $5.2 million higher than fiscal year 2013 revenue partly due to the three-cent tax rate increase that City Council approved in June 2013 for capital improvements. Other (sales) taxes, the second largest General Fund revenue, finished the year at 99 percent of budget. Other tax revenue in fiscal year 2014 increased $830,000 or 4.8 percent over fiscal year 2013 revenue. Intergovernmental revenue finished the year at 98.4 percent of budget. Revenue from licenses and permits exceeded final budget estimates by $1.0 million due to a substantial increase in building permit activity. In the miscellaneous category, the City's share of local ABC Board profits exceeded budget estimates by $273,000. General Fund revenues for fiscal year 2014 totaled $97.4 million compared to fiscal year 2013 revenues of $89.2 million, an increase of $8.2 million or 9.2 percent.

General Fund expenditures were under budget by $9.4 million. Favorable expenditure budget variances occurred in every category of expenditure. Approximately $3.0 million in contracts and purchase orders were encumbered against the fiscal year 2014 budget but not spent during the year, which contributed to the favorable expenditure budget variance. The largest of these unspent contracts was in the transportation category where $1.6 million from the annual paving contract was not spent and thus rolled forward to fiscal year 2015. In addition, the City committed $2.6 million in expenditure savings as part of its multi-year capital improvement financial model. The City also assigned $2 million in expenditure budget savings for future expenses, including: 1) $503,000 for the sustainability program, 2) $227,000 for building maintenance, and 3) $200,000 to update the City's comprehensive plan. Finally, the favorable budget variance in Community Development is due to unspent loan funds, for which a substantial portion of the favorable variance was reflected as assigned General Fund balance at June 30, 2014.

Actual revenues exceeded expenditures by $10.9 million in fiscal year 2014. The comparable figure in fiscal year 2013 was $4.0 million.

Total other financing sources and uses for the period ended June 30, 2014 was $2.9 million. The other financing sources and uses category contains transfers to other funds totaling $3.2 million for fiscal year 2014. This total includes transfers to the Transit Services and U.S. Cellular Center

enterprise funds as well as to the General Capital Projects Fund. The other financing sources and uses category also includes appropriated fund balance, with a final budget of $3.4 million. The original budget adopted by City Council did not contain an appropriation of fund balance. As noted above, the largest portion of the $3.4 million appropriation relates to prior year's encumbrances. While the financial plan contemplated the use of approximately $3.4 million, the actual financial performance in the General Fund reflected an increase of $8.1 million in total fund balance.

Economic Factors

- The local labor market continues to improve. As of August 2014, Buncombe County's unadjusted unemployment rate stood at 5.4 percent, as compared to a 6.2 percent rate one year earlier. Local unemployment rates are below both the statewide rate (seven percent) and the national rate (5.7 percent).

- The estimated population as of July 2013 totaled 88,003, which represents a 5.5 percent over the 2010 Census amount.

- Fiscal year 2014 retail sales in Buncombe County totaled $3.8 billion, an increase of 5.6 percent compared to fiscal year 2013.

- Inflationary trends in the region compare favorably to national indices.

All of these factors were considered in preparing the City's budget for the 2015 fiscal year.

Budget Highlights for the Fiscal Year Ending June 30, 2015.

The City's adopted General Fund budget for fiscal year 2015 totaled $99,547,954, which represents a 3.8 percent increase compared to the fiscal year 2014 original budget. The adopted fiscal year 2015 budget was balanced with a $2.0 million appropriation from fund balance. The adopted fiscal year 2015 budget includes funding for a three percent cost of living increase for all employees. Personnel costs in the General Fund were also impacted by mid-year fiscal year 2014 staffing additions in the Development Services Department to meet increased workload levels, as well as the full cost budgeting of several positions that were frozen in fiscal year 2014. Operating costs show a net decrease of $1.6 million. Most of this decrease is due to a technical change in which the City's annual resurfacing contract was removed from the Public Works Department's operating budget and moved to the City's General Capital Projects Fund. The General Fund transfer to the Transit Services Fund is budgeted to increase by $543,000 due to several factors: including service enhancements, a slight reduction in transit grant funding, and overall cost inflation. In accordance with the City's multi-year debt service and capital improvement financial model, the General Fund debt service budget is maintained at $5.3 million. The fiscal year 2015 capital outlay budget includes the transfer of $3.3 million from the fiscal year 2014 ad valorem tax rate increase into the City's debt service and capital improvement funds, along with additional pay-go capital maintenance funding.

Business-type Activities – The fiscal year 2015 Water Resources Fund adopted budget contains the following rate changes: Single Family, Multi-Family, Small Commercial/Manufacturer: 1.5 percent increase; Large Commercial/Manufacturer (>1,000 CCF/month): 3.5 percent increase; Wholesale & Irrigation: four percent increase; Capital Improvement Fee: 1.5 percent increase for each meter size. These rate adjustments are expected to generate approximately $458,000 in additional revenue. The fiscal year 2015 adopted Water Resources Fund budget includes funding to add one GIS Technician position. Personnel and operating budgets reflect a continuation of existing programs and services. The Water Resources capital outlay budget includes $10.1 million in pay-as-you-go funding for water capital improvement projects. The Fund's debt service obligations in fiscal year 2015 total $6.1 million, which represents 18 percent of the overall Water Resources Fund budget.

In the Transit Services Fund, the adopted fiscal year 2015 budget includes funding to implement limited Sunday service and make changes to route C to address inefficiencies with that route. Both of these changes will be implemented on January 1, 2015. In addition to these service enhancements, overall operating costs for the transit system are budgeted to increase approximately $300,000 in fiscal year 2015. The fiscal year 2015 adopted budgets for all other business-type activities reflect a continuation of existing programs and services.

Requests for Information

This financial report is designed to provide a general overview of the City's finances for all those with an interest in the government's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Office of the Chief Financial Officer, City of Asheville, P.O. Box 7148, Asheville, NC 28802.

This Page Was Left Blank Intentionally

Financial Statements of the City

The financial statements of the City have been audited by certified public accountants for the fiscal year ended June 30, 2014. Copies of these financial statements containing the unqualified report of the independent certified public accountants are available in the office of the Chief Financial Officer of the City, Barbara Whitehorn, 70 Court Plaza, Asheville, North Carolina 28801, or Post Officeb-1 Box 7148, Asheville, North Carolina 28802, telephone (828) 259-5598.

The Government Finance Officers Association (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the City for its Comprehensive Annual Financial Report for the fiscal year ended June 30, 2014, and for the past 35 of 36 years. To receive this award, the highest form of recognition in governmental financial reporting, a governmental unit must publish a financial report which complies with both generally accepted accounting principles and applicable legal requirements.

The following financial statements are the basic financial statements of the City, the notes thereto and the management's discussion and analysis, lifted from the audited Comprehensive Annual Financial Report of the City for the fiscal year ended June 30, 2014.

This Page Was Left Blank Intentionally

Basic Financial Statements

The basic financial statements for the City of Asheville consist of both government-wide and fund financial statements.

This Page Was Left Blank Intentionally

Exhibit A

CITY OF ASHEVILLE
STATEMENT OF NET POSITION
June 30, 2014

	Primary Government			Component Unit
	Governmental Activities	Business-type Activities	Total	City of Asheville ABC Board
ASSETS				
Current assets:				
Cash and investments	$ 41,966,725	$ 53,572,706	$ 95,539,431	$ 3,372,638
Cash and investments - restricted	4,040,478	4,916,040	8,956,518	-
Receivables (net of allowance for uncollectibles):				
Property taxes	785,820	-	785,820	-
Due from other governments	5,957,573	1,280,574	7,238,147	-
Accounts receivable	1,096,687	5,143,623	6,240,310	3,607
Other receivables	190,952	-	190,952	-
Internal balances	479,646	(479,646)	-	-
Inventories and prepaids	473,196	758,203	1,231,399	1,871,031
Assets held for resale	427,807	-	427,807	-
Notes receivable (net of allowance for uncollectibles)	11,250,436	-	11,250,436	-
Total Current assets	66,669,320	65,191,500	131,860,820	5,247,276
Non-current assets:				
Capital assets, net:				
Assets not being depreciated	46,712,547	26,366,683	73,079,230	3,300,912
Assets being depreciated, net	112,872,960	185,738,258	298,611,218	4,230,737
Total noncurrent assets	159,585,507	212,104,941	371,690,448	7,531,649
Total assets	226,254,827	277,296,441	503,551,268	12,778,925
DEFERRED OUTFLOWS OF RESOURCES				
Charge on refunding	21,569	52,507	74,076	-
Total deferred outflows of resources	21,569	52,507	74,076	-
LIABILITIES				
Accounts payable	4,826,726	1,785,675	6,612,401	1,648,410
Due to other governments	6,435	-	6,435	390,448
Other accrued liabilities	1,567,095	251,908	1,819,003	297,601
Customer deposits	72,479	696,980	769,459	-
Accrued interest payable	282,032	1,380,500	1,662,532	-
Unearned revenue	1,474,738	195,659	1,670,397	-
Estimated claims payable:				
Due in more than one year	3,918,166	-	3,918,166	-
Non-current liabilities:				
Due within one year	7,457,142	4,726,232	12,183,374	213,829
Due in more than one year	31,032,428	74,640,802	105,673,230	2,409,261
Total liabilities	50,637,241	83,677,756	134,314,997	4,959,549
DEFERRED INFLOWS OF RESOURCES				
Prepaid taxes	6,774	-	6,774	-
Total deferred inflows of resources	6,774	-	6,774	-
NET POSITION				
Net investment in capital assets	134,533,845	138,358,333	272,892,178	4,893,233
Restricted for:				
Nonspendable:				
Perpetual maintenance	317,452	-	317,452	-
Stabilization by State Statute	14,973,310	-	14,973,310	-
Community development	676,862	-	676,862	-
Other functions	-	-	-	1,808
Working capital	-	-	-	746,597
Capital improvements	-	-	-	610,470
Unrestricted	25,130,912	55,312,859	80,443,771	1,567,268
Total net position	$ 175,632,381	$ 193,671,192	$ 369,303,573	$ 7,819,376

The notes to the financial statements are an integral part of this statement

CITY OF ASHEVILLE
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2014

		Program Revenues		
Functions/Programs	**Expenses**	**Charges for Services**	**Operating Grants and Contributions**	**Capital Grants and Contributions**
Primary government:				
Governmental activities:				
General government	$ 17,908,964	$ 8,262,495	$ 100,410	$ -
Public safety	45,205,621	1,622,188	854,384	119,762
Environmental services	6,083,114	2,650,813	10,923	-
Community development	8,681,656	3,682,070	2,441,293	722,554
Transportation	17,456,259	260,847	2,507,198	2,324,739
Culture and recreation	9,922,764	1,807,360	177,933	72,999
Interest on long-term debt	856,155	-	-	-
Total governmental activities	106,114,533	18,285,773	6,092,141	3,240,054
Business-type activities:				
Water resources	28,107,230	34,186,067	-	572,095
Parking services	3,121,035	4,384,986	-	110,161
Street Cut Utility	1,417,066	1,349,821	15,111	-
Stormwater	3,318,189	3,149,099	-	1,122,451
U.S. Cellular Center	3,635,378	2,418,127	-	1,964,941
Mass Transit	7,292,959	1,281,160	2,488,812	1,203,406
Total business-type activities	46,891,857	46,769,260	2,503,923	4,973,054
Total primary government	$ 153,006,390	$ 65,055,033	$ 8,596,064	$ 8,213,108
Component unit:				
ABC Board	$ 18,988,815	$ 19,448,310	$ -	$ -

General revenues:
- Property taxes
- Sales taxes
- Other taxes
- Grants and contributions not restricted to specific programs
- Investment earnings
- Miscellaneous

Transfers

Total general revenues and transfers

Changes in net position

Net position - beginning

Net position - ending

The notes to the financial statements are an integral part of this statement.

Net (Expense) Revenue and Changes in Net Position			
Primary Government			Component Unit
Governmental Activities	Business-Type Activities	Total	City of Asheville ABC Board
$ (9,546,059)	$ -	$ (9,546,059)	$ -
(42,609,287)	-	(42,609,287)	-
(3,421,378)	-	(3,421,378)	-
(1,835,739)	-	(1,835,739)	-
(12,363,475)	-	(12,363,475)	-
(7,864,472)	-	(7,864,472)	-
(856,155)	-	(856,155)	-
(78,496,565)	-	(78,496,565)	-
-	6,650,932	6,650,932	-
-	1,374,112	1,374,112	-
-	(52,134)	(52,134)	-
-	953,361	953,361	-
-	747,690	747,690	-
-	(2,319,581)	(2,319,581)	-
-	7,354,380	7,354,380	-
(78,496,565)	7,354,380	(71,142,185)	-
-	-	-	459,495
52,052,585	-	52,052,585	-
17,249,801	-	17,249,801	-
889,815	-	889,815	-
8,681,914	-	8,681,914	-
190,445	194,040	384,485	630
1,146,944	104,270	1,251,214	(90,980)
(2,286,129)	2,286,129	-	-
77,925,375	2,584,439	80,509,814	(90,350)
(571,190)	9,938,819	9,367,629	369,145
176,203,571	183,732,373	359,935,944	7,450,231
$ 175,632,381	$ 193,671,192	$ 369,303,573	$ 7,819,376

Exhibit C

CITY OF ASHEVILLE
BALANCE SHEET
GOVERNMENTAL FUNDS
June 30, 2014

	Major Funds			
	General Fund	General Capital Projects Fund	Non-major Governmental Funds	Total Governmental Funds
ASSETS				
Cash and investments	$ 29,005,254	$ 4,790,787	$ 1,083,831	$ 34,879,872
Cash and investments - restricted	79,979	3,951,945	8,554	4,040,478
Receivables (net of allowance for uncollectibles):				
Property taxes	785,820	-	-	785,820
Due from other governments	4,984,195	283,517	689,861	5,957,573
Accounts receivable	259,307	-	1,695	261,002
Other receivables	189,258	-	-	189,258
Inventories and prepaids	469,044	-	-	469,044
Due from other funds	579,878	-	-	579,878
Notes receivable (net of allowance for uncollectibles)	6,782,927	-	4,467,509	11,250,436
Total assets	$ 43,135,662	$ 9,026,249	$ 6,251,450	$ 58,413,361
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable	$ 1,295,456	$ 2,077,131	$ 120,575	$ 3,493,162
Other accrued liabilities	1,484,357	-	6,188	1,490,545
Due to other funds	-	-	100,233	100,233
Deposits	72,479	-	-	72,479
Unearned revenue	1,144,800	240,474	89,464	1,474,738
Total liabilities	3,997,092	2,317,605	316,460	6,631,157
DEFERRED INFLOWS OF RESOURCES				
Taxes	252,220	-	-	252,220
Notes receivable	6,782,927	-	4,467,509	11,250,436
Advances from other governments	-	246,024	473,167	719,191
Total deferred inflows of resources	7,035,147	246,024	4,940,676	12,221,847
Fund balances:				
Non-spendable:				
Inventories and prepaids	469,044	-	-	469,044
Perpetual maintenance	-	-	317,452	317,452
Restricted:				-
Stabilization by State Statute	9,425,790	5,547,520	-	14,973,310
Grant programs	-	-	676,862	676,862
Committed:				
Community and economic development	622,992	-	-	622,992
Assigned:				
Appropriated for subsequent year's budget	2,000,000	-	-	2,000,000
Capital improvements	2,635,115	915,100	-	3,550,215
Various projects	1,909,583	-	-	1,909,583
Unassigned	15,040,899	-	-	15,040,899
Total fund balances	32,103,423	6,462,620	994,314	39,560,357
Total liabilities, deferred inflows of resources and fund balances	$ 43,135,662	$ 9,026,249	$ 6,251,450	$ 58,413,361

The notes to the financial statements are an integral part of this statement.

Exhibit D

CITY OF ASHEVILLE
RECONCILIATION OF GOVERNMENTAL FUNDS
BALANCE SHEET TO THE STATEMENT OF NET POSITION
June 30, 2014

Amounts reported for governmental activities in the Statement of Net Position (Exhibit A) are different because:	$ 39,560,357
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.	159,585,507
Certain assets are not available to pay for current period expenditures and, therefore, are deferred in the funds:	
Notes receivable	12,215,073
Bond refunding charges	21,569
Certain assets held for resale are not available to pay for current period expenditures and, therefore, not reported in the funds.	427,807
Long-term liabilities are not due and payable in the current period and, therefore, are not reported in the fund statements:	
General obligation bonds	(670,000)
Installment financing contracts	(27,544,962)
Other long-term indebtedness	(783,130)
Compensated absences payable	(5,182,413)
Net pension obligation	(1,121,304)
Net OPEB obligation	(3,187,761)
Other accrual adjustments that do not require current financial resources and, therefore, are not reported in fund statements:	
Interest payable	(282,032)
The internal service fund is used by management to charge the costs of risk management to individual funds. The assets and liabilities of the internal service fund are included in governmental activities in the statement of net position.	2,593,670
Net position of governmental activities (Exhibit A)	$ 175,632,381

The notes to the financial statements are an integral part of this statement.

Exhibit E

CITY OF ASHEVILLE
STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCE
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED JUNE 30, 2014

	Major Funds			
	General Fund	General Capital Projects Fund	Non-major Governmental Funds	Total Governmental Funds
REVENUES				
Taxes:				
Ad valorem taxes	$ 52,052,585	$ -	$ -	$ 52,052,585
Other taxes	18,139,616	-	-	18,139,616
Intergovernmental	11,068,144	550,244	3,078,782	14,697,170
Licenses and permits	5,418,682	166,713	-	5,585,395
Charges for services	8,935,165	71,986	48,287	9,055,438
Investment earnings	158,368	9,432	5,000	172,800
Miscellaneous	1,651,814	28,171	336,704	2,016,689
Total revenues	97,424,374	826,546	3,468,773	101,719,693
EXPENDITURES				
Current:				
General government	13,051,223	2,613,702	106,657	15,771,582
Public safety	45,087,375	1,387,353	345,587	46,820,315
Environmental services	5,324,972	1,216,465	139	6,541,576
Community development	2,263,541	936,096	3,223,014	6,422,651
Transportation	7,376,077	3,107,349	100,856	10,584,282
Culture and recreation	8,710,768	1,144,155	9,901	9,864,824
Debt service:				
Principal	3,476,388	-	40,000	3,516,388
Interest and other charges	1,171,223	-	30,077	1,201,300
Total expenditures	86,461,567	10,405,120	3,856,231	100,722,918
Revenues over (under) expenditures	10,962,807	(9,578,574)	(387,458)	996,775
OTHER FINANCING SOURCES (USES)				
Transfers from other funds	84,376	915,128	152,501	1,152,005
Transfers to other funds	(3,236,350)	(90,587)	(16,951)	(3,343,888)
Proceeds from sale of capital assets	248,015	-	103,060	351,075
Installment purchase obligations issued	-	1,591,407	-	1,591,407
Total other financing sources (uses)	(2,903,959)	2,415,948	238,610	(249,401)
Net change in fund balances	8,058,848	(7,162,626)	(148,848)	747,374
Fund balances - beginning	24,044,575	13,625,246	1,143,162	38,812,983
Fund balances - ending	$ 32,103,423	$ 6,462,620	$ 994,314	$ 39,560,357

The notes to the financial statements are an integral part of this statement.

Exhibit F

CITY OF ASHEVILLE
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2014

Amounts reported for governmental activities in the Statement of Activities are different because:		
Net change in fund balances--total governmental funds (Exhibit E)	$	747,374
Depreciation expense is not a use of current financial resources and therefore, is not reported in the governmental fund statements.		(14,920,974)
Capital asset additions are a use of current financial resources and therefore, are not reported as expenditures in the Statement of Activities.		9,836,832
Contribution of capital assets is not a current financial resource and therefore, is not reported in the governmental fund statements.		1,812,310
Interest is paid on long-term debt when due and, therefore, not accrued in the fund statements.		23,568
Property tax revenue and other revenues recorded in the Statement of Activities that do not provide current financial resources are deferred and not reported as revenues in the fund statements:		
Change in unavailable revenues for property taxes		189,741
Change in unavailable revenues for grants		533,101
Change in unavailable revenues for notes payable		275,326
The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction has any effect on net position. The amount is the net effect of those differences in the treatment of long-term debt and related items.		
Repayment of long-term debt		3,516,388
Long-term debt issued		(1,591,407)
Amortization of refunding loss		(6,162)
Amortization of premium/discount		325,660
Adjustments to other long-term obligations that do not require current financial resources and therefore, are not reported as expenditures in the governmental fund statements:		
Compensated absences payable		(29,705)
Net pension obligation		62,242
Net OPEB obligation		(782,625)
The Internal Service Funds are used by management to charge the costs of risk management to the individual funds. The net expenses of certain activities of the Internal Service Funds are reported with governmental activities.		(562,859)
Change in net assets of governmental activities (Exhibit B)	$	(571,190)

The notes to the financial statements are an integral part of this statement.

Exhibit G

CITY OF ASHEVILLE
STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCE
BUDGET AND ACTUAL - GENERAL FUND
FOR THE YEAR ENDED JUNE 30, 2014

	Original Budget	Final Budget	Actual Amounts	Variance with Final Budget- Positive (Negative)
REVENUES				
Taxes:				
Ad valorem taxes	$ 51,867,389	$ 51,606,975	$ 52,052,585	$ 445,610
Other taxes	18,314,277	18,314,277	18,139,616	(174,661)
Intergovernmental	11,250,660	11,229,228	11,068,144	(161,084)
Licenses and permits	4,390,690	4,390,690	5,418,682	1,027,992
Charges for services	8,477,605	8,740,219	8,935,165	194,946
Investment earnings	150,000	150,000	158,368	8,368
Miscellaneous	971,363	1,135,443	1,651,814	516,371
Total revenues	95,421,984	95,566,832	97,424,374	1,857,542
EXPENDITURES				
Current:				
General government	14,782,993	16,063,210	13,051,223	3,011,987
Public safety	45,054,904	46,202,081	45,087,375	1,114,706
Environmental services	5,868,043	5,580,903	5,324,972	255,931
Community development	1,782,465	2,934,780	2,263,541	671,239
Transportation	8,222,780	10,270,935	7,376,077	2,894,858
Culture and recreation	9,376,097	9,441,296	8,710,768	730,528
Debt service:				
Principal	5,387,021	4,205,947	3,476,388	729,559
Interest and other charges	-	1,181,074	1,171,223	9,851
Total expenditures	90,474,303	95,880,226	86,461,567	9,418,659
Revenues over expenditures	4,947,681	(313,394)	10,962,807	11,276,201
OTHER FINANCING SOURCES (USES)				
Appropriated fund balance	-	3,379,477	-	(3,379,477)
Transfers from other funds	29,780	110,280	84,376	(25,904)
Transfers to other funds	(5,387,461)	(3,236,363)	(3,236,350)	13
Installment purchase obligations issued	350,000	-	-	-
Proceeds from sale of capital assets	60,000	60,000	248,015	188,015
Total other financing sources (uses)	(4,947,681)	313,394	(2,903,959)	(3,217,353)
Net change in fund balance	$ -	$ -	8,058,848	$ 8,058,848
Fund balance - beginning			24,044,575	
Fund balance - ending			$ 32,103,423	

The notes to the financial statements are an integral part of this statement.

Exhibit H

CITY OF ASHEVILLE
STATEMENT OF FUND NET POSITION
PROPRIETARY FUNDS
June 30, 2014

	Major Funds				Totals	
	Water Resources	Parking Services	Mass Transit	Non-major Enterprise Funds	Enterprise Funds	Internal Service Funds
ASSETS						
Current assets:						
Cash and investments	$ 48,496,483	$ 1,184,976	$ -	$ 3,891,247	$ 53,572,706	$ 7,086,853
Cash and investments - restricted	4,696,947	500	-	218,593	4,916,040	-
Accounts receivable (net of allowance for uncollectibles)	4,045,503	629,840	150,000	318,280	5,143,623	837,380
Due from other governments	-	-	1,015,215	265,359	1,280,574	-
Inventories and prepaids	525,537	5,250	173,657	53,759	758,203	4,152
Due from other funds	185,182	-	-	-	185,182	-
Total current assets	57,949,652	1,820,566	1,338,872	4,747,238	65,856,328	7,928,385
Capital assets:						
Assets not being depreciated	9,699,681	10,681,418	174,698	5,810,886	26,366,683	-
Assets being depreciated, net	153,417,811	12,845,003	6,897,848	12,577,596	185,738,258	-
Net capital assets	163,117,492	23,526,421	7,072,546	18,388,482	212,104,941	-
Total assets	221,067,144	25,346,987	8,411,418	23,135,720	277,961,269	7,928,385
DEFERRED OUTFLOWS OF RESOURCES						
Deferred charge on refunding	-	52,507	-	-	52,507	-
Total deferred outflows of resources	-	52,507	-	-	52,507	-
LIABILITIES						
Current liabilities:						
Accounts payable	1,142,226	58,366	248,427	336,656	1,785,675	1,333,564
Customer deposits	696,480	500	-	-	696,980	-
Interest payable	1,248,375	97,081	-	35,044	1,380,500	-
Other accrued liabilities	162,940	17,449	4,742	66,777	251,908	82,985
Due to other funds	-	-	479,646	185,182	664,828	-
Unearned revenue	168,639	-	-	27,020	195,659	-
Current portion of long-term debt	3,646,966	574,039	15,725	489,502	4,726,232	-
Total current liabilities	7,065,626	747,435	748,540	1,140,181	9,701,782	1,416,549
Non-current liabilities:						
Estimated claims payable	-	-	-	-	-	3,918,166
Long-term liabilities, less current portion	61,848,308	9,150,087	18,729	3,623,678	74,640,802	-
Total liabilities	68,913,934	9,897,522	767,269	4,763,859	84,342,584	5,334,715
NET POSITION						
Net investment in capital assets	102,517,756	13,843,062	7,072,546	14,924,969	138,358,333	-
Unrestricted	49,635,454	1,658,910	571,603	3,446,892	55,312,859	2,593,670
Total net position	$ 152,153,210	$ 15,501,972	$ 7,644,149	$ 18,371,861	$ 193,671,192	$ 2,593,670

The notes to the financial statements are an integral part of this statement.

Exhibit I

CITY OF ASHEVILLE
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
FOR THE YEAR ENDED JUNE 30, 2014

	Major Funds				Totals	
	Water Resources	Parking Services	Mass Transit	Non-major Enterprise Funds	Enterprise Funds	Internal Service Funds
OPERATING REVENUES						
Charges for services	$ 33,981,871	$ 3,906,307	$ 855,396	$ 4,799,169	$ 43,542,743	$ 13,982,593
Rents	-	25,335	-	713,794	739,129	-
Concessions	-	-	-	1,265,791	1,265,791	-
Other operating revenue	204,196	453,344	425,508	138,293	1,221,341	991,017
Total operating revenues	34,186,067	4,384,986	1,280,904	6,917,047	46,769,004	14,973,610
OPERATING EXPENSES						
Administration	1,041,580	-	402,253	2,180,806	3,624,639	1,114,585
Operations	15,879,865	2,291,107	5,438,469	4,619,326	28,228,767	14,349,439
Other operating expenses	873,086	19,456	521,215	354,528	1,768,285	-
Depreciation	7,386,136	452,911	928,991	1,091,524	9,859,562	-
Total operating expenses	25,180,667	2,763,474	7,290,928	8,246,184	43,481,253	15,464,024
Operating income (loss)	9,005,400	1,621,512	(6,010,024)	(1,329,137)	3,287,751	(490,414)
NON-OPERATING REVENUES (EXPENSES)						
Intergovernmental	-	-	2,488,812	15,111	2,503,923	-
Interest earned	176,918	3,594	132	13,396	194,040	21,801
Interest and other charges	(2,926,562)	(357,559)	(2,032)	(124,450)	(3,410,603)	-
Miscellaneous revenue (expense)	-	-	255	-	255	-
Gain (loss) on disposal of capital assets	30,922	679	54,441	18,228	104,270	-
Total non-operating revenues (expenses)	(2,718,722)	(353,286)	2,541,608	(77,715)	(608,115)	21,801
Income (loss) before transfers and capital grants and contributions	6,286,678	1,268,226	(3,468,416)	(1,406,852)	2,679,636	(468,613)
Transfers:						
Transfers from other funds	14,534	-	1,902,543	985,927	2,903,004	-
Transfers to other funds	-	(616,875)	-	-	(616,875)	(94,246)
Capital grants and contributions	572,095	110,161	1,203,406	3,087,392	4,973,054	-
Changes in net position	6,873,307	761,512	(362,467)	2,666,467	9,938,819	(562,859)
Total net position - beginning	145,279,903	14,740,460	8,006,616	15,705,394	183,732,373	3,156,529
Total net position - ending	$ 152,153,210	$ 15,501,972	$ 7,644,149	$ 18,371,861	$ 193,671,192	$ 2,593,670

The notes to the financial statements are an integral part of this statement.

Exhibit J

CITY OF ASHEVILLE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
FOR THE YEAR ENDED JUNE 30, 2014

	Major Funds				Totals	
	Water Resources	Parking Services	Mass Transit	Non-major Enterprise Funds	Enterprise Funds	Internal Service Funds
Cash flows from operating activities:						
Cash received from customers, users and others	$ 34,295,432	$ 4,410,736	$ 1,275,456	$ 7,036,470	$ 47,018,094	$ 14,504,608
Cash paid for goods and services	(9,322,918)	(1,512,277)	(6,031,082)	(3,407,340)	(20,273,617)	(14,117,729)
Cash paid to employees	(8,159,389)	(815,898)	(203,186)	(3,782,859)	(12,961,332)	(317,725)
Net cash provided by (used for) operating activities	16,813,125	2,082,561	(4,958,812)	(153,729)	13,783,145	69,154
Cash flows from non-capital financing activities:						
Receipts from operating grants	-	-	2,488,812	15,111	2,503,923	-
Transfers from other funds	14,534	-	1,902,543	985,927	2,903,004	-
Transfers to other funds	-	(616,875)	-	-	(616,875)	(94,247)
Advances received from other funds	105,432	-	479,646	-	585,078	-
Advances paid to other funds	-	-	-	(105,432)	(105,432)	-
Net cash provided by (used for) non-capital financing activities	119,966	(616,875)	4,871,001	895,606	5,269,698	(94,247)
Cash flows from capital and related financing activities:						
Receipts from capital grants or contributions	-	-	1,195,862	2,564,451	3,760,313	-
Proceeds from disposal of capital assets	61,634	679	54,441	18,228	134,982	-
Acquisition and construction of capital assets	(4,831,815)	(118,510)	(1,333,856)	(3,209,267)	(9,493,448)	-
Other receipts	-	-	-	2,663	2,663	-
Proceeds from long-term debt issued	-	-	-	218,593	218,593	-
Premiums on long-term debt issued	(98,977)	(45,318)	-	(24,509)	(168,804)	-
Principal paid on debt	(3,044,910)	(485,000)	-	(245,000)	(3,774,910)	-
Interest other charges paid on debt	(2,975,503)	(362,407)	(2,032)	(126,894)	(3,466,836)	-
Net cash used for capital and related financing activities	(10,889,571)	(1,010,556)	(85,585)	(801,735)	(12,787,447)	-
Cash flows from investing activities:						
Interest earned	176,918	3,594	132	13,396	194,040	21,801
Net increase (decrease) in cash and cash equivalents	6,220,438	458,724	(173,264)	(46,462)	6,459,436	(3,292)
Cash and cash equivalents:						
Beginning of year, July 1	46,972,992	726,752	173,264	4,156,302	52,029,310	7,090,145
End of year, June 30	$ 53,193,430	$ 1,185,476	$ -	$ 4,109,840	$ 58,488,746	$ 7,086,853

The notes to the financial statements are an integral part of this statement.

CITY OF ASHEVILLE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS (CONTINUED)
FOR THE YEAR ENDED JUNE 30, 2014

	Major Funds				Totals	
	Water Resources	Parking Services	Mass Transit	Non-major Enterprise Funds	Enterprise Funds	Internal Service Funds
Reconciliation of operating income (loss) to net cash provided by (used for) operating activities:						
Operating income (loss)	$ 9,005,400	$ 1,621,512	$ (6,010,024)	$ (1,329,137)	$ 3,287,751	$ (490,413)
Adjustments to reconcile operating income (loss) to net cash provided by (used for) operating activities:						
Depreciation	7,386,136	452,911	928,991	1,091,524	9,859,562	-
Changes in assets and liabilities:						
Decrease (increase) in accounts receivable	89,094	25,790	-	110,642	225,526	(469,002)
Decrease (increase) in inventories and prepaids	30,263	(5,250)	(22,729)	(22,803)	(20,519)	59,189
Increase (decrease) in accounts payable	228,495	(29,242)	139,578	35,966	374,797	290,073
Increase (decrease) in other accrued expenses	(47,708)	(1,857)	4,742	(16,151)	(60,974)	81,551
Increase (decrease) in unearned revenue	25,912	(40)	(146)	8,781	34,507	(1,345)
Increase (decrease) in customer deposits	(5,641)	-	(5,302)	-	(10,943)	-
Increase in estimated claims payable	-	-	-	-	-	599,101
Increase (decrease) in compensated absences	17,748	7,436	2,172	(28,549)	(1,193)	-
Increase (decrease) in OPEB obligation	83,426	11,301	3,906	(4,002)	94,631	-
Net cash provided by (used for) operating activities	$ 16,813,125	$ 2,082,561	$ (4,958,812)	$ (153,729)	$ 13,783,145	$ 69,154
Reconciliation of cash and cash equivalents:						
Cash and investments:						
Unrestricted	$ 48,496,483	$ 1,184,976	$ -	$ 3,891,247	$ 53,572,706	$ 7,086,853
Restricted	4,696,947	500	-	218,593	4,916,040	-
Total cash and cash equivalents	$ 53,193,430	$ 1,185,476	$ -	$ 4,109,840	$ 58,488,746	$ 7,086,853
Non-cash investing, capital, and financing activities:						
Donated capital assets	$ 572,095	$ 110,161	$ 7,544	$ 300,183	$ 989,983	$ -

The notes to the financial statements are an integral part of this statement.

Exhibit K

CITY OF ASHEVILLE
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY TRUST AND AGENCY FUNDS
June 30, 2014

	OPEB Trust Fund	Agency Funds
ASSETS		
Cash and investments	$ -	$ 932,143
Cash and investments held by fiscal agent:		
Cash and equivalents	44	-
Long-Term OPEB Fund	2,244,337	-
OPEB Equity Funds	2,343,539	-
Due from customers	-	1,404,311
Total assets	4,587,920	$ 2,336,454
LIABILITIES		
Due to others	-	$ 265,102
Due to other governments	-	2,071,352
Total liabilities	-	$ 2,336,454
NET POSITION		
Assets held in trust for OPEB benefits	$ 4,587,920	

The notes to the financial statements are an integral part of this statement.

Exhibit L

CITY OF ASHEVILLE
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY TRUST FUND
FOR THE YEAR ENDED JUNE 30, 2014

	OPEB Trust Fund
ADDITIONS	
Employer contributions	$ 2,557,886
Insurance recovery	73,907
Investment earnings	605,542
Total additions	3,237,335
DEDUCTIONS	
Benefits	2,236,950
Change in net position	1,000,385
Total net position - beginning	3,587,535
Total net position - ending	$ 4,587,920

The notes to the financial statements are an integral part of this statement.

CITY OF ASHEVILLE
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2014

I. Summary of Significant Accounting Policies

The basic financial statements of the City of Asheville (the "City") have been prepared in conformity with generally accepted accounting principles (GAAP) in the United States of America as applied to government units. The statements are also prepared in conformance with the Governmental Accounting Standards Board (GASB), which is the accepted standard-setting body for establishing governmental accounting and financial reporting. The City's more significant accounting policies are described below.

A. Reporting Entity

The City is a municipal corporation that is governed by an elected mayor and a six-member council. The accompanying financial statements present the City and its component units, entities for which the City is financially accountable. Blended component units, although legally separate entities, are in substance, part of the City's operations and, as such, are included in the reporting entity. Each discretely presented component unit (see the "Asheville Board of Alcoholic Control" note below for description) is reported in a separate column in the City's financial statements in order to emphasize that it is legally separate from the City.

Included within the reporting entity are:

Asheville Board of Alcoholic Control (the "ABC Board")

The Asheville Board of Alcoholic Control was organized under the provisions of House Bill No. 1124 of the North Carolina General Assembly and implemented by a citywide election held November 14, 1947. The local ABC Board may borrow money in accordance with North Carolina General Statute 18B-702(r) and the City's governing body, who appoint ABC Board members, shall in no way be held responsible for the debts of the ABC Board. The ABC Board is required by state statute to distribute its surpluses to the General Fund of the City, which represents a financial benefit to the City. Therefore, the ABC Board is reported as a discretely presented component unit. Complete financial statements for the ABC Board may be obtained from the Chief Financial Officer, Asheville Board of Alcoholic Control, Post Office Box 8834, Asheville, N.C. 28814.

Asheville Public Financing Corporation (the "APFC")

The Asheville Public Financing Corporation is a non-profit corporation chartered in 1991 with the specific purpose of assisting the City in various types of financing arrangements. The Corporation is governed by a board of directors whose three members serve for one year or until successors are elected. One of the three members is appointed by the city manager. The board of directors elects the remaining directors. The Corporation has no assets,

liabilities, revenues or expenses. All rights, title and interest to all financing contracts with the City have been assigned to various bank trustees. All financing arrangements with the City have been disclosed in the accompanying notes to basic financial statements. The assets and related long-term lease obligations are reported in the related governmental and business-type funds in the City's financial statements.

Asheville Claims Corporation (the "ACC")

The Asheville Claims Corporation is a non-profit corporation chartered in 1993. Under the provisions of a claims administration contract between the ACC and the City dated January 23, 2006, the ACC was established to administer liability losses, including auto liability, general liability, and tort claims against the City that are not covered by commercial insurance or a risk financing pool. The ACC is governed by a board of directors whose three members serve for one year or until successors are elected. One of the three members is appointed by the city manager. The board of directors elects the remaining members. The ACC has no assets, liabilities, revenues or expenses. The financial transactions of the ACC are included within the internal service fund in the City's financial statements. The ACC is currently inactive, and the City has assumed all responsibility for claims, losses, and settlements. Although the ACC still exists as of the current fiscal year-end, the entity no longer has any financial transactions.

Related Organizations

Housing Authority of the City of Asheville ("Housing Authority")

The Mayor appoints the five-member Board of the Housing Authority of the City. The City is accountable for the Housing Authority because it appoints the governing board; however, the City is not financially accountable for the Housing Authority.

Asheville City School System ("School System")

The Asheville City Council appoints the five-member Board of the Asheville City School System. The City is accountable for the School System because it appoints a majority of the governing board; however, the City is not financially accountable for the School System.

Jointly Governed Organization

Greater Asheville Regional Airport Authority

On June 28, 2012 the North Carolina General Assembly adopted legislation (S.L. 2012-121) changing the governance structure of the former, Asheville Regional Airport Authority, from a joint governmental agency, comprised of the City and Buncombe County, to an independent, state-sanctioned airport authority, the Greater Asheville Regional Airport Authority. The structure of the new authority is such that Henderson County is now a "member government," along with Asheville and Buncombe County. Each member

government has two appointments to the new board, with the seventh member to be appointed by the other six. The City will no longer have any fiscal responsibility for the Airport Authority, other than the transfer of real property on which the airport is located to the new authority, which is subject to approval and recognition of the new authority by the Federal Aviation Administration (FAA).

As of the report date, the FAA has yet to recognize the new authority and approve the transfer of real property; therefore, no provision for this transaction has been reflected in the City's financial statements.

B. Basis of Presentation

Government-wide Statements

The statement of net position and the statement of activities display information about the primary government and its component unit. These statements include the financial activities of the overall government. Eliminations have been made to minimize the double counting of internal activities. These statements distinguish between the governmental and business-type activities of the City. Governmental activities generally are financed through taxes, intergovernmental revenues, and other non-exchange transactions. Business-type activities are financed in whole or in part by fees charged to external parties.

The statement of activities presents a comparison between direct expenses and program revenues for the different business-type activities of the City and for each function of the City's governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Indirect expense allocations that have been made in the funds have been reversed for the statement of activities. Program revenues include (a) fees and charges paid by the recipients of goods or services offered by the programs and (b) grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues, including all taxes, are presented as general revenues.

Fund Financial Statements

The fund financial statements provide information about the City's funds, including the fiduciary fund. Separate statements for each fund category – *governmental, proprietary, and fiduciary* – are presented. The emphasis of fund financial statements is on major governmental and enterprise funds, each displayed in a separate column. All remaining governmental and enterprise funds are aggregated and reported as non-major funds.

Proprietary fund operating revenues, such as charges for services, result from exchange transactions associated with the principal activity of the fund. Exchange transactions are those in which each party receives and gives up essentially equal values. Non-operating revenues, such as subsidies, result from non-exchange transactions. Other non-operating revenues are ancillary activities, such as investment earnings.

The City reports the following major governmental funds:

General Fund – The General Fund is the general operating fund of the City. It is used to account for and report all financial resources not accounted for and reported in other funds. The primary revenue sources are ad valorem taxes, various other taxes and licenses and state-shared revenues.

The primary expenditures are for public safety, streets and highways, sanitation, parks and recreation, general government services, risk management and benefits, information technology and debt service for the payment of general long-term principal, interest, and related costs.

General Capital Projects Fund – The General Capital Projects Fund is used to account for and report financial resources that are restricted, committed, or assigned to be used for the acquisition and/or construction of capital facilities and other capital assets (other than those financed by proprietary funds).

The City reports the following non-major governmental funds:

Special Revenue Fund – Special revenue funds are used to account for and report proceeds of specific revenue sources that are restricted or committed to expenditures for specific purposes other than debt service or capital projects. The City has the following Special Revenue Funds: Grant Programs, Community Development, Section 108 Rehabilitation and Affordable Home Ownership.

Perpetual Care Permanent Fund – This fund is used to account for perpetual care of the City's Riverside Cemetery.

The City reports the following major proprietary funds:

Water Resources – The Water Resources Fund is an enterprise fund used to account for operations and maintenance of the City's water system that includes operation of three water treatment plants as well as the debt service for the payment of utility long-term debt principal, interest, and related costs. This fund also covers acquisition and/or construction of major utility capital facilities and infrastructure, which are accounted for in the Water Capital Projects Fund, which is combined with the Water Resources Fund (the operating fund) for financial statement purposes.

Parking Services – The Parking Services Fund is an enterprise fund used to account for the operations and maintenance of the City's public parking system that includes operation of three parking decks as well as the debt service for the payment of parking long-term debt principal, interest, and related costs. This fund also covers acquisition and/or construction of major parking capital facilities and infrastructure, which are accounted for in the Parking Capital Projects Fund, which is combined with the Parking Services Fund (the operating fund) for financial statement purposes.

Mass Transit – The Mass Transit Fund is an enterprise fund used to account for the operation and maintenance of the City's transit services which include 15 bus routes throughout the city and one to the Town of Black Mountain. This fund also covers acquisition of buses and/or maintenance of transit facilities, which are accounted for in the Mass Transit Capital Projects Fund. The Mass Transit Capital Projects Fund is combined with the Mass Transit Fund (the operating Fund) for financial statement purposes.

The City reports the following non-major enterprise funds, some of which are combined with their own individual capital project funds for financial statement purposes: Street Cut Utility, Stormwater, U.S. Cellular Center, Mass Transit and Golf Course.

Additionally the City reports the following fund types:

Internal Service Fund – Internal service funds account for the financing of goods or services provided by one department or agency to other departments or agencies of the government, on a cost reimbursement basis. The City has four internal service funds, the General Insurance Fund, the Health Fund (which includes dental and life benefits), Workers' Compensation Fund and the Property and Casualty Fund. The General Insurance Fund accounts for other insurance related items not specifically accounted for in the other three internal service funds. The Health Fund accounts for the accumulation and allocation of costs associated with insurance for employee and family medical and dental claims. The Workers' Compensation Fund accounts for the costs associated with workers' compensation claims. The Property and Casualty Fund accounts for the accumulation and allocation of costs associated with property and casualty insurance and claims for the City.

Other Post-Employment Benefit Trust Fund – The City maintains an Other Post-employment Benefit (OPEB) Fund. Pension trust funds are used to report resources that are required to be held in trust for the members and beneficiaries of defined benefit pension plans, defined contribution plans, or other postemployment benefit plans. The OPEB Fund accounts for the City's contributions for healthcare coverage provided to qualified retirees.

Agency Fund – Agency funds are custodial in nature and do not involve the measurement of operating results. Agency funds are used to account for assets the City holds on behalf of others. The City maintains two agency funds, Metropolitan Sewer District Agency Fund, which accounts for the collection of various sewer fees charged to City water customers, and the U.S. Cellular Center Agency Fund, which accounts for the segregation of the U.S. Cellular Center box office activities for various promoters.

C. Measurement Focus and Basis of Accounting

In accordance with North Carolina General Statutes, all funds of the City are maintained during the year using the modified accrual basis of accounting.

A fund is an independent fiscal and accounting entity with a self-balancing set of accounts comprised of assets, liabilities, fund equity, revenues, and expenditures or expenses, as

applicable. Fund accounting segregates funds according to their intended purpose and is used to aid management in demonstration compliance with finance related legal and contractual provisions. The minimum number of funds is maintained consistent with legal and managerial requirements. In accordance with North Carolina Statutes, all funds of the City are maintained during the year using the modified accrual basis of accounting.

Government-wide, Proprietary, and Fiduciary Fund Financial Statements

The government-wide, proprietary, and fiduciary fund (excluding agency funds) financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, while agency fund (fiduciary fund) financial statements are reported using accrual basis accounting but have no measurement focus. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Non-exchange transactions, in which the City gives (or receives) value without directly receiving (or giving) equal value in exchange, include property taxes, grants and donations. On an accrual basis property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue in the fiscal year in which all eligibility requirements imposed by the provider have been satisfied.

Amounts reported as program revenues include: 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's enterprise funds are charges to customers for sales and services. The City also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for enterprise funds include the cost of sales and services, administration expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Governmental Fund Financial Statements

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Using this method, revenues are recognized as soon as they are both measurable and available. Expenditures are recorded when the related fund liability is incurred, except for principal and interest on general long-term debt, claims and judgments, and compensated absences, which are recognized as expenditures to the extent they have matured. General capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

The City considers all revenues available if they are collected within 60 days of the end of the current fiscal period, except for property taxes. Ad valorem taxes are not accrued as revenue because the amount is not susceptible to accrual. At June 30, taxes receivable for property other than motor vehicles are materially past due and are not considered to be an available resource to finance the operations of the current year. Also, as of September 1, 2013, state law altered the procedures for the assessment and collection of property taxes on registered motor vehicles in North Carolina. Effective with this change in the law, the State of North Carolina is responsible for billing and collecting the property taxes on registered motor vehicles on behalf of all municipalities and special tax districts. Property taxes are due when motor vehicles are registered. The billed taxes are applicable to the fiscal year in which they are received. Uncollected taxes that were billed in periods prior to September 1, 2013 are shown as a receivable in these financial statements and are offset by deferred inflows of resources.

Sales taxes and certain intergovernmental revenues collected and held by the state at year-end on behalf of the City are recognized as revenue. Intergovernmental revenues and sales and services are not susceptible to accrual because, generally, they are not measurable until received in cash. Grant revenues received, which are unearned at year-end, are recorded as unearned revenues. Under the terms of the grant agreements, the City funds certain programs in combination of specific cost-reimbursement grants, categorical block grants and general revenues. Thus, when program expenditures are incurred, there are both restricted and unrestricted net positions available to finance the program. Excluding debt funding, it is the City's policy to first apply cost-reimbursement grant resources to such programs, followed by categorical block grants, and then by general revenues.

In the event that debt proceeds are included, the City will spend debt proceeds first unless there is an agreement tying specific expenditures to grant proceeds. When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, and then unrestricted resources, as they are needed.

D. Budgetary Data

The City's budgets are adopted as required by the North Carolina General Statutes. An annual budget is adopted for the General Fund, Water Resources Fund and the other non-major enterprise operating funds. Multi-year budgets are adopted for non-major governmental funds and enterprise capital projects funds. All annual appropriations lapse at the fiscal year-end. As required by state law [N. C. General Statute 159-26(d)], the City maintains encumbrance accounts, which are considered to be "budgetary accounts." Encumbrances outstanding at year-end represent the estimated amounts of the expenditures ultimately to result if unperformed contracts in progress at year-end are completed. Encumbrances outstanding at year-end do not constitute expenditures or liabilities. These encumbrances outstanding are restricted and will be charged against next year's budget. All budgets are prepared using the modified accrual basis of accounting. N.C. General Statute 159-13(a)(3) requires the budget ordinance make appropriations by department, function or project. The City has defined its annual operating funds to be functions; therefore, expenditures may not legally exceed appropriations at the fund level for all annual operating funds. Expenditures may not legally exceed appropriations at the

project level for all multi-year project funds. Amendments are required for any revisions that alter the total fund budget and must be approved by the City Council. The City internally manages expenditures on a line item and departmental basis. The Budget department must approve all of these internal budget revisions. During the year numerous budget revisions to the original budget were necessary. The budget ordinance must be adopted by July 1 of the fiscal year or the governing board must adopt an interim budget that covers that time until the annual ordinance can be adopted.

E. Assets, Liabilities, Deferred Outflows/Inflows of Recourses, and Fund Equity

Deposits and Investments

The deposits of the City and the ABC Board are secured as required by North Carolina General Statute ("G.S.") 159-31. The City may establish official depositories with any bank or savings association whose principal office is located in North Carolina. The City and the ABC Board may establish time deposits in the form of NOW and SUPERNOW accounts, money market accounts, and certificates of deposits.

G.S. 159-30(c) authorizes the City and the ABC Board to invest in obligations of the U.S. Treasury; obligations of any agency of the United States of America, provided the payment of the interest and principal of such obligations is fully guaranteed by the United States; obligations of the State of North Carolina; bonds and notes of any North Carolina local government or public authority; obligations of certain non-guaranteed federal agencies; certain high quality issues of commercial paper and bankers' acceptances; and the North Carolina Capital Management Trust (NCCMT). The City's and the ABC Board's investments are reported at fair value as determined by quoted market prices. The securities of the NCCMT- Cash Portfolio, a SEC-registered (2a-7) money market mutual fund, are valued at fair value, which is the NCCMT's share price. The NCCMT – Term Portfolio's securities are valued at fair value.

For the majority of investments, the City both intends and has the ability to hold all securities to maturity; however, due to economic conditions and when it is beneficial to the City, the City may elect to sell investments prior to maturity on the secondary market.

In accordance with state law, the City and the ABC Board have certain securities which are callable and that provide for periodic interest rate increases in specific increments until maturity. These investments are reported at fair value as determined by quoted market prices.

The City pools moneys from all funds, except unspent bond proceeds and OPEB trust funds, to facilitate disbursement and investment and maximize investment income. The City and the ABC Board consider demand deposits and investments purchased with an original maturity of three months or less, which are not limited as to use, to be cash and cash equivalents.

General Statute 159-30.1 allows the City to establish an Other Postemployment Benefit (OPEB) Trust Fund managed by the staff of the Department of the State Treasurer and operated in accordance with state laws and regulations. It is not registered with the SEC, and G.S. 159-30(g)

allows the City to make contributions to the Fund. The State Treasurer, in her discretion, may invest the proceeds in equities of certain publicly held companies and long or short term fixed income investments as detailed in G.S. 147-69.2(1-6) and (8). Funds submitted are managed in three different sub-funds: the State Treasurer's Short-Term Investment Fund (STIF) consisting of short to intermediate treasuries, agencies and corporate issues authorized by G.S. 147-69.1, the long-term investment fund (LTIF) consisting of investment grade corporate securities, treasuries, and agencies, and BlackRock's Global Ex-US Alpha Tilts Fund B and BlackRock's Russell 3000 Alpha Tilts Fund B authorized under G.S 147-69.2(b)(8).

The STIF securities are reported at cost and maintain a constant $1 per share value. Under the authority of G.S. 147-69.3, no unrealized gains or losses of the STIF are distributed to participants of the fund. The LTIF is also valued at $1 per share. The Global Ex-US Alpha Tilts Fund B is priced at $22.196 per share and the Russell 3000 Alpha Tilts Fund B is priced at $48.352 per share at June 30, 2014. The weighted average maturity of the STIF is 1.3 years and the weighted average maturity of the LTIF is 16.3 years.

Ad Valorem Taxes Receivables

According to the North Carolina General Statutes [G.S. 105-347 and G.S. 159-13(a)], ad valorem taxes, other than motor vehicles, levied on July 1 beginning of the fiscal year, are due September 1 (lien date), but interest and penalties do not accrue until the following January 6. Property taxes on certain registered motor vehicles are assessed and collected throughout the year. These taxes are based on the assessed values as of January 1, 2013. As allowed by State law, the City has established a schedule of discounts that apply to taxes that are paid prior to the due date. In the City's General Fund, ad valorem tax revenues are reported net of such discounts.

Allowances for Doubtful Accounts

All receivables that historically experience uncollectible accounts are shown net of an allowance for doubtful accounts. This amount is estimated by analyzing the percentage of receivables that were written off in prior years and the percentage of prior year receivables collected within the current fiscal year. In addition, an allowance is provided for certain loans where collectability is uncertain.

Inventories and Prepaid Items

Inventories are maintained on both a perpetual and periodic basis and valued at cost using the weighted average and first-in, first-out method respectively. Inventories consist of expendable items, including supplies held for subsequent use, items held for sale and certain materials consumed for the replacement of infrastructure. The costs thereof have been recorded at the time items were purchased. Expenditure occurs when items are issued from inventory. Inventories of the ABC Board are valued at average cost and are not in excess of market on a first-in, first-out basis.

Certain payments to vendors reflect costs applicable to future accounting periods and are reported as prepaid items or deferred outflows in both government-wide and fund financial statements and are expended/expensed as balances are used.

Restricted Assets

Certain cash balances are restricted by purpose and source. Cash balances related to customer deposits are not available for appropriations or expenditures. These balances are segregated on the Statement of Net Position and classified as restricted. Other cash balances in the major funds are restricted for unspent debt proceeds, debt service payments and unspent grant funding, and are only available for designated projects as described in the individual official statements or grant agreements and as approved by Council. Unexpended bond proceeds are classified as restricted cash because their use is completely restricted to the purpose for which the bonds were originally issued.

Notes Receivable

Notes receivable are recorded in governmental funds net of an allowance for uncollectible accounts. The balance of the notes is not considered available and is deferred in the fund financial statements.

Capital Assets

Capital assets reported in the applicable governmental or business-type activities columns in the government-wide financial statements, include land, buildings, improvements other than buildings, machinery and equipment, infrastructure, and intangibles. Land is capitalized regardless of any threshold and has an indefinite useful life. Buildings, improvements other than buildings, and infrastructure have a capitalization threshold of $50,000. To be capitalized, machinery and equipment must have a useful life in excess of two years and an initial, individual cost of $5,000. There are two sub-categories of intangibles: 1) right of ways/easements that have an indefinite useful life and must meet a $1,000 threshold to be capitalized and 2) software, which has a definite useful life and has a threshold of $100,000. Internally-generated software has a threshold of $1 million. Purchased or constructed assets are recorded at their historical cost or estimated historical cost. Donated assets are recorded at estimated fair market value at the date of the donation.

Costs incurred in repairing or maintaining an asset that does not extend the asset's useful life, increase its productivity, or add value to it are not capitalized. Capitalization of assets and improvements within a long-term project occur when any part of the project is completed and put into use. Capitalized interest incurred during the construction phase of a project is included in the value of the asset capitalized.

Three categories of capital assets are not depreciated: land, construction in progress, and most sub-classes of intangibles. Depreciable capital assets owned by the City and ABC Board are depreciated using the straight-line method over the following estimated useful lives:

City of Asheville	
Category of Capital Asset	**Useful Life in Years**
Buildings	20 – 50
Improvements Other than Buildings	10 – 20
Machinery and Equipment	5 – 20
Specialized Equipment	15 – 30
Infrastructure	20 – 50
Software (intangible)	5

Asheville Board of Alcoholic Control	
Category of Capital Asset	**Useful Life in Years**
Buildings	20 – 30
Leasehold Improvements	10 – 20
Furniture and Equipment	5 – 10
Motor Vehicles	5

Compensated Absences

The vacation policy of the City provides for the accumulation of up to a maximum of 40 days earned vacation leave, with such leave being fully vested when earned. All vacation pay is accrued when incurred in the government-wide, proprietary funds, and component unit financial statements. ABC Board employees may accumulate up to 30 days earned vacation and such leave is fully vested when earned.

The City also provides for the accumulation of compensatory time for non-exempt employees. Non-exempt general employees may accrue a balance of no more than 120 hours and sworn police officers and uniformed fire safety employees may accrue a balance of no more than 240 hours of compensatory time. Exceptions to this limit must be approved by the finance and human resources directors. The compensatory time pay for non-exempt employees is accrued when incurred in the government-wide and proprietary funds.

On an annual basis, the City also advances holiday pay for certain employees. Employees separated from the City during the year that use more holiday pay than accrued on a pro-rata basis forfeit an equal amount of other compensated absence pay. Included in the compensated absences liability calculation is the City's net liability for holiday pay as of June 30. Any unused advanced holiday pay remaining at the end of each calendar year is forfeited. Holiday pay is accrued when incurred in the government-wide and proprietary funds.

The City and the ABC Board's sick leave policy provides for an unlimited accumulation of earned sick leave. Sick leave does not vest, but any unused sick leave accumulated at the time of retirement may be used in the determination of length of service for retirement benefit purposes. Since neither of the two entities is obligated for the accumulated sick leave until it is actually taken, no liability for sick leave has been recorded.

Deferred outflows/inflows of resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, Deferred Outflows of Resources, represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The City has two items that meet this criterion, an unamortized loss on a bond defeasance, in the General and Parking Funds. In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, Deferred Inflows of Resources, represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The City has multiple items that meet the criterion for this category - prepaid Ad Valorem taxes, taxes receivable (less penalties), notes receivable, and advances from other governments.

Long-term Obligations

In the government-wide financial statements and the proprietary fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight line method of amortization. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs, except for prepaid insurance costs, are expensed in the reporting period in which they are incurred. Prepaid insurance costs are expensed over the life of the debt.

In the fund financial statements, governmental funds recognize bond premiums and discounts, as well as certain bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Certain issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt related expenditures.

Net Position/Fund Balances

Net Position

Net position in government-wide and proprietary fund financial statements are classified as net investment in capital assets, restricted and unrestricted. Restricted net position represents

constraints on resources that are either externally imposed by creditors, grantors, contributors, or laws or regulations of other governments or imposed by law through state statute.

Fund Balances

In the governmental fund financial statements, fund balance is composed of five classifications designed to disclose the hierarchy of constraints placed on how fund balance can be spent.

The governmental fund types classify fund balances as follows:

Non-spendable Fund Balance – This classification includes amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact**.**

Inventories and Prepaid Balances: Portion of fund balance that is not available for appropriation because it represents the year-end balance of inventories and prepaid balances, which are not expendable available resources.

Perpetual Maintenance: Portion of fund balance that is required to be retained in perpetuity for maintenance of the City's cemetery.

Restricted Fund Balance – This classification includes amounts that are restricted to specific purposes externally imposed by creditors or imposed by law.

Stabilization by State Statute: Portion of fund balance that is constrained by state statute G.S. 159-8(a) from appropriation.

Grant Programs: Portion of fund balance restricted for various grant programs reported in Non-major governmental funds.

Committed Fund Balance – This classification includes amounts that can only be spent for specific purposes that have been approved by the highest level of formal action (adoption of the budget ordinance and budget amendments) by City Council and does not lapse at year-end. Any changes or removal of specific purposes require the same formal action by City Council. The amounts are committed for community and economic development.

Assigned Fund Balance – This classification includes the amounts of any fund balances the City intends to use for a specific purpose that can be assigned either by any action of the governing body or by designees with authority to assign; amounts can be unassigned by the same process. Assignment calculations may be made after the end of the fiscal year during the process of preparation of the financial statements. The City may delegate to the City Manager (or his designee) the authority to assign amounts of a fund balance to promote sound financial operations of the City or to meet future obligations for various projects. The majority of the amounts are to be used for facility and infrastructure improvements.

Unassigned Fund Balance – This classification includes amounts of fund balance that are spendable and have not been restricted, committed, or assigned to specific purposes or other funds. Unassigned fund balance represents amounts of fund balance that can be appropriated.

The City has a revenue spending practice that provides guidance for programs with multiple revenue sources. The finance and management services director will use resources in the following hierarchy: bond proceeds, federal funds, state funds, local non-city funds, and lastly, city funds. For purposes of fund balance classification expenditures are to be spent from restricted fund balance first, followed in-order by committed fund balance, assigned fund balance and lastly, unassigned fund balance. The Finance and Management Services Director has the authority to deviate from this policy if it is in the best interest of the City.

The City has also adopted a minimum fund balance policy for the General Fund, which instructs management to conduct the business of the City in such a manner that unassigned fund balance is at least equal to 15 percent of General Fund operating expenditure budget. Any portion of the fund balance in excess of 15 percent of the General Fund operating budget may be appropriated by City Council through an amendment to the subsequent year's budget ordinance.

II. Deposits and Investments

A. Deposits

All deposits of the City and the ABC Board are either insured or collateralized by using one of two methods. Under the Dedicated Method, all deposits that exceed the federal depository insurance coverage level are collateralized with securities held by the City's or the ABC Board's agents in these units' names. Under the Pooling Method, which is a collateral pool, all uninsured deposits are collateralized with securities held by the State Treasurer's agent in the name of the State Treasurer. Since the State Treasurer is acting in a fiduciary capacity for the City and the ABC Board, these deposits are considered to be held by the City's and the ABC Board's agents in their names. The amount of the pledged collateral is based on an approved averaging method for non-interest bearing deposits and the actual current balance for interest-bearing deposits.

Depositories using the Pooling Method report to the State Treasurer the adequacy of their pooled collateral covering uninsured deposits. The State Treasurer does not confirm this information with the City, the ABC Board, or the escrow agent. Because of the inability to measure the exact amounts of collateral pledged for the City and the ABC Board under the Pooling Method, the potential exists for under-collateralization, and this risk may increase in periods of high cash flows. However, the State Treasurer of North Carolina enforces strict standards of financial stability for each depository that collateralizes public deposits under the Pooling Method. The City and the ABC Board have no policy regarding custodial credit risk for deposits.

At June 30, 2014, the City's deposits had a carrying amount of $23,529,694 and a bank balance of $24,491,877. Of the bank balance, $23,983,323 was covered by collateral held under the Pooling Method and $508,554 was covered by federal depository insurance. The City also had $38,553 in petty cash at year-end. The carrying amount for the ABC Board was $2,688,005 and a

bank balance of $2,727,564. Of the bank balance, $2,477,564 was covered by collateral held under the Pooling Method, and $250,000 was covered by federal depository insurance. The Board also had $11,200 in petty cash at year-end. Certificates of Deposit are purchased for investment purposes and are included in the detail schedule below. All certificates held are covered by federal depository insurance and collateral held under the pooling method.

B. Investments

The calculation of realized gains is independent of the calculation of the net increase/decrease in the fair value of investments that have been held in more than one fiscal year and sold during the current year. The current year realized gain is recognized as an increase/decrease in the fair value of the current year investments as compared to the investments as reported in the prior year. The net increase in fair value during 2014 for the City was $85,118. This amount takes into account all changes in fair value (including purchases, sales and maturities) that occurred during the year. The unrealized gain on investments held at year-end was $54,809.

As of June 30, 2014 the City had the following investments and maturities:

	Fair Value	0-6 Months	6-12 Months	1-3 Years	3+ Years
U.S. Government Securities	$ 297,353	$ 15,000	$ 15,035	$ 104,458	$162,860
U.S. Government Agencies	53,113,512	3,304,187	10,312,737	39,496,588	-
Commercial Paper	14,493,307	13,496,110	997,197	-	-
NCCMT - Cash Portfolio	1,187,930	1,187,930	-	-	-
NCCMT - Term Portfolio	267,743	267,743	5,000,000	3,000,000	-
Certificates of Deposit	12,500,000	4,500,000	-	-	-
Total	$ 81,859,845	$ 22,770,970	$ 16,324,969	$ 42,601,046	$162,860

As of June 30, 2014, the ABC Board had investments of $673,433.

Interest Rate Risk - In accordance with its investment policy, the City manages its exposure to declines in fair values by requiring purchases of securities to be laddered with staggered maturity dates and limiting all securities to a final maturity of generally no more than five years.

Credit Risk – State law limits investments in commercial paper to the top rating issued by nationally recognized statistical rating organizations (NRSROs). The City limits investments to the provisions of G.S. 159-30 and restricts the purchase of securities to the highest possible ratings whenever particular types of securities are rated. The City's investments in the NC Capital Management Trust Cash Portfolio carried a credit rating of AAAm by Standard & Poor's as of June 30, 2014. The City's investments in US Agencies (Federal Home Loan Bank, Federal Farm Credit Bank, Federal Home Loan Mortgage Corporation, Federal National Mortgage

Association) are rated AA+ by Standard & Poor's and Aaa by Moody's Investors Service as of June 30, 2014.

Custodial Credit Risk – For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The City's policy requires the use of a third party custodial agent for book entry transactions, all of which will be held in the City's name.

Concentration of Credit Risk – The City's policy limits the amount of investment in any one issuer to 25 percent by security type and institution. At June 30, 2014, approximately 19 percent of the City's total investments are in Federal Home Loan Bank securities, about 15 percent in Federal National Mortgage Association securities, about 20 percent in Federal Home Loan Mortgage Corporation securities, and about 11 percent in Federal Farm Credit Bank securities. At June 30, 2014, the City OPEB Plan had $4,587,920 invested in the State Treasurer's Local Government Other Post-Employment Benefits (OPEB) Fund pursuant to G.S. 147-69.4. The State Treasurer's OPEB Fund may invest in public equities and both long-term and short-term fixed income obligations as determined by the State Treasurer pursuant to the General Statutes. At year-end, the State Treasurer's OPEB Fund was invested as follows: State Treasurer's Long Term Investment Fund (LTIF) 49 percent and BlackRock's Global Ex-US Alpha Tilts Fund B and BlackRock's Russell 3000 Alpha Tilts Fund B 51 percent (the equities were split with 75 percent in domestic securities and 25 percent in international securities). The BlackRock Global Ex-US Alpha Tilts Fund B is priced at $22.196 per share and the BlackRock Russell 3000 Alpha Tilts Fund B is priced at $48.3524 per share at June 30, 2014.

III. Allowance for Uncollectible Accounts

Receivables presented on the Statement of Net Position, Balance Sheet Governmental Funds, and Fund Net Position Proprietary Funds, at year-end are net of the following allowances:

	Statement of Net Position		Balance Sheet Governmental Funds	Fund Net Position Proprietary/Internal Service Funds
	Governmental Activities	Business-type Activities		
General Fund:				
Receivables:				
Property Taxes Receivable	$ 419,087	$ -	$ 419,087	$ -
Due from Other Governments	1,871,995	-	1,871,995	-
Accounts Receivable	215,967	-	215,967	-
Notes Receivable	45,500	-	45,500	-
Non-major Governmental Funds:				
Notes Receivable	28,547	-	28,547	-
Major Funds:				
Water Resources	-	761,846	-	761,846
Parking Services	-	534,132	-	534,132
Non-Major Enterprise Funds	-	517,560	-	517,560
Internal Services	20,909	-	-	20,909
	$ 2,602,005	$ 1,813,538	$ 2,581,096	$ 1,834,447

The amount due from other organizations represents the amount of private donations promised to be raised by the Pack Square Conservancy for the Pack Square Project.

IV. Capital Assets

Capital asset activity for the year ended June 30, 2014 was as follows:

	Beginning Balances	Additions	Retirements	Transfers In (Out)	Ending Balances
Governmental Activities					
Capital Assets, Non-depreciable:					
Land and Improvements	$ 34,489,615	$ 1,510,090	$ (324,250)	$ -	35,675,455
Intangibles	3,334,967	455,455	-	-	3,790,422
Construction in Progress	3,453,983	4,461,365	(668,678)	-	7,246,670
Total Capital Assets, Non-depr	41,278,565	6,426,910	(992,928)	-	46,712,547
Capital Assets, Depreciable:					
Buildings and Improvements	58,256,215	327,984	-	24,638	58,608,837
Improvements other than Buildings	2,544,511	488,289	-	-	3,032,800
Machinery and Equipment	42,192,820	3,700,421	(1,781,557)	(139,819)	43,971,865
Infrastructure	231,733,852	1,687,405	-	-	233,421,257
Intangibles	569,775	-	-	-	569,775
Other Capital Assets	-	16,000	-	-	16,000
Total Capital Assets, Depreciable	335,297,173	6,220,099	(1,781,557)	(115,181)	339,620,534
Less Accumulated Depreciation for:					
Buildings and Improvements	(26,822,813)	(1,755,075)	-	(2,156)	(28,580,044)
Improvements other than Buildings	(770,680)	(155,470)	-	406,060	(520,090)
Machinery and Equipment	(29,236,197)	(2,473,560)	1,781,557	112,397	(29,815,803)
Infrastructure	(156,603,822)	(10,422,434)	-	(406,060)	(167,432,316)
Intangibles	(284,886)	(113,955)	-	-	(398,841)
Other Capital Assets	-	(480)	-	-	(480)
Total Accumulated Depreciation	(213,718,398)	(14,920,974)	1,781,557	110,241	(226,747,574)
Total Capital Assets, Depreciable, Net	121,578,775	(8,700,875)	-	(4,940)	112,872,960
Governmental Activities Capital Assets, Net	$ 162,857,340	$ (2,273,965)	$ (992,928)	$ (4,940)	$ 159,585,507

	Beginning Balance	Additions	Retirements	Transfers In (Out)	Ending Balances
Business-type Activities					
Capital Assets, Non-depreciable:					
Land and Improvements	$ 15,695,118	$ 110,161	$ (3,870)	$ -	$ 15,801,409
Intangibles	148,180	661,407	-	-	809,587
Construction in Progress	4,832,114	6,590,230	(1,666,657)	-	9,755,687
Total Capital Assets, Non-depr	20,675,412	7,361,798	(1,670,527)	-	26,366,683
Capital Assets, Depreciable:					
Buildings and Improvements	98,481,441	4,318	(55,745)	(24,638)	98,405,376
Improvements Other Than Buildings	705,403	-	-	-	705,403
Machinery and Equipment	39,853,595	1,455,972	(2,326,096)	139,819	39,123,290
Infrastructure	176,471,641	2,120,657	-	-	178,592,298
Other Capital Assets	-	16,667	-	-	16,667
Total Capital Assets, Depreciable	315,512,080	3,597,614	(2,381,841)	115,181	316,843,034
Less Accumulated Depreciation for:					
Buildings and Improvements	(41,756,157)	(2,572,063)	54,786	2,156	(44,271,278)
Improvements Other Than Buildings	(42,734)	(25,709)	-	-	(68,443)
Machinery and Equipment	(21,494,966)	(3,165,600)	2,314,065	(112,397)	(22,458,898)
Infrastructure	(60,209,967)	(4,096,134)	-	-	(64,306,101)
Other Capital Assets	-	(56)	-	-	(56)
Total Accumulated Depreciation	(123,503,824)	(9,859,562)	2,368,851	(110,241)	(131,104,776)
Total Capital Assets, Depreciable, Net	192,008,256	(6,261,948)	(12,990)	4,940	185,738,258
Business-type Activities Capital Assets, net	$ 212,683,668	$ 1,099,850	$ (1,683,517)	$ 4,940	$ 212,104,941

	Beginning Balance	Additions	Retirements	Transfers In (Out)	Ending Balance
Water Activities					
Capital Assets, Non-depreciable:					
Land and Improvements	$ 4,348,362	$ -	$ -	$ -	$ 4,348,362
Intangibles	148,180	353,680	-	-	501,860
Construction in Progress	2,427,667	4,041,729	(1,619,937)	-	4,849,459
Total Capital Assets, Non-depr	6,924,209	4,395,409	(1,619,937)	-	9,699,681
Capital Assets, Depreciable:					
Buildings and Improvements	61,236,245	-	(19,700)	-	61,216,545
Improvements other than Buildings	396,505	-	-	-	396,505
Machinery and Equipment	22,481,047	199,433	(199,582)	(23,406)	22,457,492
Infrastructure	163,626,031	2,030,451	-	-	165,656,482
Other Capital Assets	-	-	-	-	-
Total Capital Assets, Depreciable	247,739,828	2,229,884	(219,282)	(23,406)	249,727,024
Less Accumulated Depreciation for:					
Buildings and Improvements	(25,631,456)	(1,655,424)	18,741	-	(27,268,139)
Improvements other than Buildings	(32,437)	(19,531)	-	-	(51,968)
Machinery and Equipment	(13,050,497)	(1,807,120)	187,551	23,406	(14,646,660)
Infrastructure	(50,438,385)	(3,904,061)	-	-	(54,342,446)
Intangibles	-	-	-	-	-
Other Capital Assets	-	-	-	-	-
Total Accumulated Depreciation	(89,152,775)	(7,386,136)	206,292	23,406	(96,309,213)
Total Capital Assets, Depreciable, Net	158,587,053	(5,156,252)	(12,990)	-	153,417,811
Water Activities Capital Assets, Net	$ 165,511,262	$ (760,843)	$ (1,632,927)	$ -	$ 163,117,492

	Beginning Balance	Additions	Deductions	Ending Balance
Asheville ABC Board				
Capital Assets, Non-depreciable:				
Land	$ 3,004,629	$ -	$ -	$ 3,004,629
Construction in Progress	2,336	293,947	-	296,283
Total Capital Assets, Non-Depreciable	3,006,965	293,947	-	3,300,912
Capital Assets, being Depreciated:				
Buildings	5,102,026	1,429	(16,974)	5,086,481
Leasehold Improvements	230,449	6,470	(4,350)	232,569
Furniture and Equipment	1,182,860	565,012	(354,839)	1,393,033
Vehicles	234,238	18,500	(21,468)	231,270
Total Capital Assets, Depreciable	6,749,573	591,411	(397,631)	6,943,353
Less Accumulated Depreciation for:				
Buildings	(1,657,705)	(170,444)	2,345	(1,825,804)
Leasehold Improvements	(172,507)	(3,242)	1,567	(174,182)
Furniture and Equipment	(628,612)	(161,710)	274,088	(516,234)
Vehicles	(195,707)	(22,157)	21,468	(196,396)
Total Accumulated Depreciation	(2,654,531)	(357,553)	299,468	(2,712,616)
Total Capital Assets, Depreciable, Net	4,095,042	233,858	(98,163)	4,230,737
Capital Assets, Net	$ 7,102,007	$ 527,805	$ (98,163)	$ 7,531,649

During the year, the City recorded capital contributions for $2,802,293 which represents the value of water line and bus stop easements, Red Bridge on Riverside Drive, and right of ways. Capital contributions are a non-cash capital related financing activity for the statement of cash flows.

Depreciation expenses charged to the City's functions are as follows:

Governmental Activities	
General Government	$ 737,752
Public Safety	2,138,268
Transportation	10,182,085
Environmental Protection	312,683
Economic Development	7,483
Culture & Recreation	1,542,703
Total Depreciation - Governmental Activities	$ 14,920,974

Business-Type Activities	
Water Resources	$ 7,386,136
Parking Services	452,911
Mass Transit	928,991
Non-Major Enterprise Funds	1,091,524
Total Depreciation - Business Type Activities	$ 9,859,562

The City has numerous construction projects as of June 30, 2014. The amounts the City is contractually committed to spend at June 30, 2014 are the following:

Project	Spent to Date	Remaining Commitments
City Hall Renovations	$ 3,360,645	$ 483,712
Handy Park	380,861	33,117
Streets and Sidewalks	345,705	2,289,741
Parks and Recreations	161,034	4,036
Sanitation	35,836	1,710
Lake Craig/Azalea Rd	313,897	1,869,955
Total Governmental	4,597,978	4,682,271
Water-lines	1,378,692	314,720
Street Cut	287,431	126,891
U.S. Cellular Center Renovations	3,010,588	111,284
Transit Roof	152,873	52
Lake Craig/Azalea Rd	317,850	1,045,410
Total Proprietary	5,147,434	1,598,357
Total Commitments	$ 9,745,412	$ 6,280,628

Capitalized interest for Enterprise Funds for the year ended June 30, 2014 was comprised of:

Water Fund	$ 198,092
Parking Fund	1,314
Stormwater	10,238
U.S. Cellular Center	119,342
Total Capitalized Interest	$ 328,986

V. Interfund Receivables, Payables and Transfers

The composition of interfund balances as of June 30, 2014 is as follows:

Due From Other Funds	Due to General Fund	Due to Water Fund
Non-Major Governmental Funds:		
Grant Programs Special Revenue Fund	$ 76,705	$ -
Community Development Special Revenue Fund	9,523	-
Section 108 Rehabilitation Special Revenue Fund	736	-
Affordable Home Ownership Revenue Fund	13,269	-
Total Due From Non-Major Governmental Funds	100,233	-
Major Proprietary Funds:		
Mass Transit Fund	479,646	-
Non-Major Proprietary Funds:		
Street Cut Utility Fund	-	185,182
Total Due From Proprietary Funds	479,646	185,182
Total Due From Other Funds	$ 579,879	$ 185,182

The outstanding balances between funds result mainly from the time lag between the dates that (1) inter-fund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system, and (3) payments between funds are made.

Transfers are used to move unrestricted revenues to finance various programs that the government must account for in other funds in accordance with budgetary authorizations, including amounts provided as subsidies or matching funds for various grant programs.

	Transfers In						
	General Fund	General Capital Projects Fund	Non-Major Governmental Funds	Water Resources	Mass Transit	Non-Major Proprietary Funds	Transfers Out
General Fund	$ -	$ 901,382	$ 151,448	$ -	$1,197,593	$ 985,927	$3,236,350
General Capital Projects Fund	-	-	1,053	14,534	75,000	-	90,587
Non-Major Governmental Funds	3,876	-	-	-	13,075	-	16,951
Major Funds							
Parking Services	-	-	-	-	616,875	-	616,875
Mass Transit	-	-	-	-	-	-	
Non-Major Proprietary Funds	80,500	13,746	-	-	-	-	94,246
Total	$84,376	$ 915,128	$ 152,501	$ 14,534	$1,902,543	$ 985,927	$4,055,009

VI. Long-term Obligations

A. General Obligation Bonds, Limited Obligation Bonds, Revenue Bonds and Installment Financing Contracts

The City has issued general obligation bonds, revenue bonds, limited obligation bonds (LOBs), and installment financing agreements to provide funds for the acquisition and construction of major capital facilities and capital equipment related to both general and proprietary activities. All general obligation bonds are backed by the full faith, credit, and taxing power of the City. Principal and interest requirements are appropriated when due. The revenue bonds are secured by the pledge of the net revenues derived from the acquired or constructed assets of the water system. The LOBs and installment financing agreements are collateralized by the assets being financed and are not secured by the taxing power of the City. The revenue bonds and LOBs require the City to follow customary covenants including providing insurance certificates, budget data, and financial information on an annual basis. Other long-term indebtedness is further described in Note 6.F.

Long-term obligations at June 30, 2014 are comprised of the following individual issues:

Table 6.A.1

	Issue Date	Final Maturity	Interest Rate	Original Issue	Principal Balance June 30, 2014	Principal and Unamortized Balances at June 30, 2014	GO	Business
General Obligation Bonds:								
2000 Sewer lines and fire fighting equipment	12/01/2000	12/01/2020	5.00%	$ 1,970,000	$ 670,000	$ 670,000	$ 670,000	$ -
				1,970,000	670,000	670,000	670,000	-
Installment Financing Contracts and information technology):								-
2010 Installment financing (Fire trucks)	05/07/2010	05/01/2015	3.58%	1,300,000	260,000	260,000	260,000	-
2010 Installment financing (Parks & Recreation)	07/12/2010	07/12/2025	4.55%	1,100,000	843,333	843,333	843,333	-
2012 Limited Obligation Bonds	06/27/2012	04/01/2032	3.00% - 5.00%	39,160,000	32,485,000	35,970,863	20,640,000	11,845,000
2013 Installment financing (Green CIP)	06/13/2013	07/1/2023	1.44%	998,000	948,100	948,100	948,100	
2013 Installment financing (Equipment and Veh)	06/13/2013	05/1/2018	0.92%	1,150,000	1,025,625	1,025,625	1,025,625	
2014 Installment financing (Equipment and Veh)	06/30/2014	06/01/2019	1.22%	1,810,000	1,810,000	1,810,000	1,591,407	218,593
				45,518,000	37,372,058	40,857,921	25,308,465	12,063,593
Revenue Bonds:								
2005 Water System Refunding Revenue Bonds	12/06/2005	08/01/2025	4.0% - 5.0%	41,800,000	29,430,000	30,416,480	-	29,430,000
2007 Water System Revenue Bonds	11/14/2007	08/01/2032	4.0% - 5.0%	39,025,000	33,255,000	33,565,257	-	33,255,000
				80,825,000	62,685,000	63,981,737	-	62,685,000
Other Long-term Indebtedness:								
1996 NC DENR, Water Quality Revolving Fund	11/01/1996	05/01/2017	3.43%	3,000,000	450,000	450,000	-	450,000
2001 Metropolitan Sewerage District	04/22/1985	06/30/2024	5.00%	615,000	243,130	243,130	243,130	-
2003 Section 108 Loan	08/07/2003	08/01/2022	4.66% - 5.64%	800,000	540,000	540,000	540,000	-
2011 NC DENR, Drinking Water Revolving Loan	06/22/2011	05/01/2031	0.00%	198,194	168,465	168,465	-	168,465
				4,613,194	1,401,595	1,401,595	783,130	618,465
Total General Obligation Bonds, Limited Obligation Bonds, Revenue Bonds and Other Long-Term Obligations				$ 132,926,194	$ 102,128,653	$ 106,911,253	$26,761,595	$75,367,058

The preceding long-term obligations included in Table 6.A.1 are as follows:

Table 6.A.2

	Governmental Activities	Business-type Activities	Total
General Obligation Bonds	$ 670,000	$ -	$ 670,000
Installment Financing Contracts	25,308,465	12,063,593	37,372,058
Revenue Bonds	-	62,685,000	62,685,000
Other Long-term Indebtedness	783,130	618,465	1,401,595
	$ 26,761,595	$ 75,367,058	$ 102,128,653

The table in Table 6.A.1 differs from the long-term obligations in Table 6.A.2 due to the following:

	Unamortized Premium (Discount)
Limited Obligation Bonds, Series 2012	$ 3,485,863
Revenue Bonds	
2005 Water System Revenue Refunding Bonds	986,480
2007 Water System Revenue Bonds	310,257
	$ 4,782,600

B. Future Maturities of Long-Term Obligations

Annual debt service requirements to maturity, including interest, are as follows (excluding compensated absences and unfunded OPEB obligations):

	General Obligation Bonds		Limited Obligation Bonds and Installment Financings		Other Long-Term Obligations (See Note 6.F)		Total	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
Governmental Activities								
2015	$ 100,000	$ 31,000	$ 3,741,124	$ 1,015,796	$ 65,010	$ 40,364	$ 3,906,134	$ 1,087,160
2016	100,000	26,000	3,700,365	863,863	71,240	36,904	3,871,605	926,767
2017	100,000	21,000	3,645,365	735,071	76,240	33,154	3,821,605	789,225
2018	100,000	16,000	3,355,990	579,867	81,240	29,089	3,537,230	624,956
2019	100,000	11,000	1,566,115	440,478	86,240	24,709	1,752,355	476,187
2020-2024	170,000	7,750	4,806,173	1,474,313	403,160	48,942	5,379,333	1,531,005
2025-2029	-	-	2,808,333	714,087			2,808,333	714,087
2030-2033	-	-	1,685,000	149,380	-	-	1,685,000	149,380
	$ 670,000	$ 112,750	$ 25,308,465	$ 5,972,855	$ 783,130	$ 213,161	$ 26,761,595	$ 6,298,766

	Revenue Bonds		Limited Obligation Bonds and Installment Financings		Other Long-Term Obligations (See Note 6.F)		Total	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
Business-type Activities								
2015	$ 3,005,000	$ 2,920,575	$ 746,859	$ 529,808	$ 159,910	$ 15,435	$ 3,911,769	$ 3,465,818
2016	3,145,000	2,778,625	773,719	494,492	159,910	10,290	4,078,629	3,283,407
2017	3,290,000	2,630,025	768,719	464,758	159,910	5,145	4,218,629	3,099,928
2018	3,445,000	2,474,425	688,719	427,975	9,910		4,143,629	2,902,400
2019	3,605,000	2,311,475	693,719	395,192	9,910	-	4,308,629	2,706,667
2020-2024	20,745,000	8,787,394	3,246,858	1,578,537	49,549	-	24,041,407	10,365,931
2025-2029	15,840,000	3,906,069	3,225,000	843,125	49,549	-	19,114,549	4,749,194
2030-2033	9,610,000	991,000	1,920,000	176,000	19,819	-	11,549,819	1,167,000
	$ 62,685,000	$ 26,799,587	$ 12,063,593	$ 4,909,887	$ 618,465	$ 30,870	$ 75,367,058	$ 31,740,344

C. Installment Financing Contracts

1. In May 2010, the City entered into an Installment Financing Contract with RBC Bank to finance the purchase of two fire trucks. The $1.3 million loan is payable over five years with semi-annual payments of principal and interest at an interest rate of 3.58 percent.

2. In July 2010, the City entered into an Installment Financing Contract with BB&T to provide partial funding for the construction of a new Recreation Facility at Livingston Street. The $1.1 million loan is payable over 15 years with semi-annual payments of principal at an interest rate of 4.55 percent.

3. In June 2012, the City, through the Asheville Public Financing Corporation, a blended component unit, issued Limited Obligation Bonds in the amount of $39.16 million to (1) finance the 2012 Projects (as described below), (2) refinance in advance of their maturities (a) the 1997A and 1997B Certificates of Participation, the proceeds of which were used to finance and refinance improvements to various City facilities, (b) the City's obligations under a 2006 installment financing contract, the proceeds of which were used to finance two fire stations, vehicles and equipment, and (c) the City's obligations under a 2011 installment financing contract, the proceeds of which were used to finance the construction of and improvements to a parking facility and (3) finance the costs of the initial execution and delivery of the 2012 Limited Obligation Bonds. The 2012 Projects include (1) the

acquisition and construction of and improvements to certain streets, sidewalks, greenways, sewer facilities and other improvements related thereto in the City, (2) the renovation of and improvements to the City Building and the U.S. Cellular Center and (3) the acquisition and installation of vehicles and equipment for the City's general governmental purposes.

At June 30, 2014, $2,884,622 in unspent debt proceeds remain available for the 2012 Projects.

4. In June 2013, the City entered into an Installment Financing Contract with TD Bank to provide funding to improve the energy efficiency of certain capital assets of the City. The $998,000 loan is payable over ten years with semi-annual payments of principal at an interest rate of 1.44 percent. At June 30, 2014 $40,010 in unspent debt proceeds remain available for these projects.

5. In June 2013, the City entered into a second Installment Financing Contract with TD Bank to provide partial funding for the purchase of computers, vehicles and equipment. The $1.15 million loan is payable over 59 months with semi-annual payments of principal at an interest rate of 0.92 percent.

6. In June 2014, the City entered into an Installment Financing Contract with Wells Fargo Bank to provide funding for the purchase of computers, vehicles and equipment. The $1.81 million loan is payable over 59 months with semi-annual payments of principal and interest at a fixed interest rate of 1.22 percent. At June 30, 2014, $1,253,342 in unspent debt proceeds remain available for these projects.

D. General Obligations Bonds

The City has issued general obligation bonds to provide funds for the acquisition and construction of major capital facilities related to both general and proprietary activities. All general obligation bonds are backed by the full faith, credit and taxing power of the City. Principal and interest requirements are appropriated when due.

At June 30, 2014, the City had no authorized unissued bonds.

E. Revenue Bonds

In 2005, the City advance refunded $42,960,000 in Water Revenue Bonds, Series 1996 and 2001, by placing the proceeds of the refunding bonds in an irrevocable trust to provide for all future debt service payments on the old bonds. Accordingly, neither the trust account assets nor the liabilities for the defeased bonds are included in the City's financial statements. In August 2006, a payment of $30,801,533 effectively retired the Series 1996 debt. As of June 30, 2011, the outstanding balance of the defeased 2001 issue was $10,077,128. On August 1, 2011, these bonds were called and paid in full.

The City has pledged future water customer revenues, net of specified operating expenses, to repay the $41.8 million in Series 2005 Revenue Bonds. The bonds are payable solely from water customer new revenue and are payable through 2026. At June 30, 2014, the total principal and interest remaining to be paid on the bonds is $39,110,250.

The City has pledged future water customer revenues, net of specified operating expenses, to repay $39.025 million in Water System Revenue Bonds issued in December 2007. Proceeds from the bonds provided financing for the replacement of an antiquated pipe system. The bonds are payable solely from water customer new revenue and are payable through 2032. At June 30, 2014, the total principal and interest remaining to be paid on the bonds is $50,374,337.

The City issued water system revenue bonds for water system improvements pursuant to a General Trust Indenture dated as of December 1, 2005 and Series Indenture Number 2, dated as of November 1, 2007 (together the "Indentures") between the City and The Bank of New York Trust Company, N.A., as trustee. The Indentures authorize and secure all outstanding revenue bonds of the City's water system and contain several financial and operating covenants governing such matters as rates, additional bonds, reserve funds, annual budgets, maintenance of the system and insurance. The City was in compliance with all such covenants during the fiscal year ended June 30, 2014. The City has covenanted that it will establish or maintain various rates and charges sufficient to pay the current expenses and debt service of the water system.

The calculation for the rate covenant for the year ended June 30, 2014 is as follows:

Revenues	$34,186,067
Current Expenses	17,794,531
Net Revenues Available for Debt Service	$16,391,536
Senior Debt Service Coverage	
Debt service, Principal and Interest Paid	$ 5,932,625
Add: 20 percent of Senior Debt Service	1,186,525
Subordinate Debt Service:	
Debt Service, Principal and Interest Paid	491,919
Total Debt Service (Plus 20 percent)	$ 7,611,069
Rate Coverage Test	2.15

F. Other Long-Term Indebtedness

1. In 1996, the City received a $3 million loan from the NC Department of Environment and Natural Resources ('NCDENR') for capital construction to the water system. The loan bears interest at 3.43 percent and is payable in equal annual amounts of $150,000 over the next 20 years. At June 30, 2014, the outstanding balance is $450,000.

2. In 2001, the City agreed to assume 41 percent of a bond issued by Metropolitan Sewerage District of Buncombe County ("MSD"), Series 1985, for the Enka-Candler annexation in 1989. At June 30, 2014, the City has an outstanding balance of $243,130.

3. In 2003, the City borrowed $800,000 as a Section 108 Loan. This is a loan guarantee provision of the Community Development Block Grant ('CDBG') Program through the US Department of Housing and Urban Development. These loan proceeds were used to fund the City's CDBG Program for economic development for Eagle Market Street, a historically minority business district in the central business area. The loan is payable over 19 years with annual principal payments and semi-annual interest payments. At June 30, 2014, the City has an outstanding balance of $540,000.

4. In 2005, the City entered into an Agreement with NC Department of Transportation for improvements to NC 146 (Long Shoals Road) from west of SR 3501 (Clayton Road) to east of I-26 in Asheville. The City received $918,851 with scheduled repayments of $306,284 from June 2012 through June 2014. This loan bears interest at the rate of zero percent per annum. This loan was paid in full in June 2014.

5. In 2011, the City received a loan of $198,194 from the NCDENR for improvements to the North Fork Water Treatment Plant. The loan bears interest at the rate of zero percent per annum and is payable over twenty years. At June 30, 2014, the outstanding balance is $168,465.

G. Changes in Long Term Liabilities

	Beginning Balance	Additions	Retirements	Ending Balance	Current Portion of Balance
Governmental Activities					
Bonds and Notes Payable:					
Installment financing contracts	$ 27,069,667	$ 1,591,407	$ 3,352,609	$ 25,308,465	$ 3,741,124
General obligation bonds	770,000	-	100,000	670,000	100,000
Other long-term indebtedness	846,910	-	63,780	783,130	65,010
Unamortized bond premiums	2,562,160	-	325,663	2,236,497	325,660
Total Bonds and Loans Payable, net	31,248,737	1,591,407	3,842,052	28,998,092	4,231,794
Compensated absences payable	5,152,708	3,220,843	3,191,138	5,182,413	3,225,348
Net pension obligation	1,183,546	515,413	577,655	1,121,304	-
Net OPEB obligation	2,405,136	2,670,208	1,887,583	3,187,761	-
Total Governmental Activities	$39,990,127	$ 7,997,871	$ 9,498,428	$ 38,489,570	$ 7,457,142
Business-type Activities					
Bonds and Notes Payable:					
Revenue bonds	$ 65,570,000	$ -	$ 2,885,000	$ 62,685,000	$ 3,005,000
Installment financing contracts	12,575,000	218,593	730,000	12,063,593	746,859
Unamortized bond premiums	2,720,749	-	174,646	2,546,103	174,646
Other long-term indebtedness	1,084,659	-	466,194	618,465	159,910
Total Bonds and Loans Payable, net	81,950,408	218,593	4,255,840	77,913,161	4,086,415
Compensated absences payable	889,711	569,587	551,304	907,994	639,817
Net OPEB obligation	415,291	453,821	323,233	545,879	-
Total Business-type Activities	$ 83,255,410	$ 1,242,001	$ 5,130,377	$ 79,367,034	$ 4,726,232

The following table contains Debt activity for the Water Revenue Fund. The activity in the Water Revenue Fund is contained within the Business-type Activities Debt Summary (above):

	Beginning Balance	Additions	Retirements	Ending Balance	Current Portion Of Balance
Water System Activities					
Bonds and Notes Payable					
Revenue Bonds	$ 65,570,000	$ -	$ 2,885,000	$ 62,685,000	$ 3,005,000
Unamortized Bond Premiums	1,395,716	-	98,977	1,296,739	98,977
Other Long-term Indebtedness	1,084,659	-	466,194	618,465	159,910
Total Bonds and Loans Payable, Net	68,050,375	-	3,450,171	64,600,204	3,263,887
Compensated Absences Payable	541,255	347,830	330,083	559,002	383,079
Net OPEB Obligation	252,642	282,423	198,997	336,068	-
	793,897	630,253	529,080	895,070	383,079
Total Water System Activities	$ 68,844,272	$ 630,253	$ 3,979,251	$ 65,495,274	$ 3,646,966

H. Debt Margin

The City is subject to the Local Government Bond Act of North Carolina, which limits the amount of net bonded debt the City may have outstanding to eight percent of the appraised value of property subject to taxation. At June 30, 2014, such statutory limit for the City was approximately $897,467,000 providing a legal debt margin of approximately $858,641,000.

I. Component Unit Debt

The ABC Board has a $500,000 line of credit with a bank for working capital bearing interest at the rate of prime minus 0.50 percent. There have been no draws on this line.

On January 29, 2009, the ABC Board entered into a financing agreement with a commercial bank providing for the advance of $2,750,000 to finance the acquisition and construction of facilities. The agreement has a twenty year term and requires semi-annual payments including principal and interest of $100,176 beginning July 29, 2009. The loan is secured by real estate, improvements and fixtures at 145 Tunnel Road, 337 New Leicester Highway, 131 Old Charlotte Highway and 3933 Sweeten Creek Road and bears interest at 3.96 percent.

Future maturities of the debt are as follows:

2015	$	213,828
2016		218,085
2017		219,030
2018		199,515
2019		131,444
Thereafter		1,641,188
	$	2,623,090

VII. Net Assets and Fund Balance

A. Net Assets

The portion of net assets invested in capital assets, net of related debt, consists of the following:

	Governmental Activities	Business-Type Activities
Capital Assets, Net of Depreciation	$ 159,585,507	$ 212,104,941
Less: Capital Asset-related Debt	(28,998,092)	(77,913,161)
Less: Deferred Outflows	(21,569)	(52,507)
Add: Unspent Bond Proceeds	3,967,999	4,219,060
Invested in Capital Assets, Net of Related Debt	$ 134,533,845	$ 138,358,333

B. Fund Balance - General Fund

The following schedule provides management and citizens with information on the portion of fund balance that is available for appropriation in the General Fund:

Total fund balance - General Fund	$32,103,423
Less: Inventories and Prepaid Items	469,044
Less: Stabilization by State Statute	9,425,790
Funds Available for Appropriation	22,208,589
Less: Committed	622,992
Less: Assigned	6,544,698
Less: Fund Balance Policy	15,040,899
Remaining Fund Balance	$ -

The outstanding encumbrances are amounts needed to pay any commitments related to purchase orders and contracts that remain unperformed at year-end. As of year-end, the City's outstanding encumbrances were $3,052,578 and $5,510,027 in the General Fund and General Capital Projects Fund, respectively.

VIII. Risk Management

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions on behalf of employees, elected officials, public officials, and appointed members of boards and commissions; injuries to employees; and a variety of losses stemming from natural disasters and perils.

The City self-insures employee benefits, general liability and workers' compensation risks and purchases stop-loss insurance for claims that exceed certain specific and aggregate limits. The City purchases insurance for risks of loss on real and personal property assets. Revenues and expenses associated with the risk management program are recorded in the City's internal service funds.

For all of the self-insured retention (SIR) programs, the City retains the services of outside third party administrators for the professional management and adjustment of claims, including estimates for claims incurred but not reported (IBNR).

The City's SIR for liability claims is $500,000 per occurrence. It purchases excess liability insurance with limits of $15 million across all liability lines: general, public officials, law enforcement, employment practices, employee benefits, and automobile. The City also purchases insurance for real and personal property assets in the amount of $237,049,001. Coverage limits include $10 million sub-limits each for flood and earthquake. Additionally, the City purchases dam insurance with limits of $15 million for three structures.

Because the City is in an area of the State that has been mapped and designated an "A" area (an area close to a river, lake or stream) by the Federal Emergency Management Agency, the City is eligible to purchase flood insurance through the National Flood Insurance Plan (NFIP). However, due to the self-insurance coverage, the City chooses not to participate in the NFIP.

The City is also self-insured as provided under North Carolina General Statutes for Workers' Compensation and Employer Liability. The City's SIR for worker's compensation claims is $600,000 per occurrence. Excess workers' compensation insurance with statutory limits is maintained for any claims exceeding the $600,000 self-insured retention.

Revenues and expenses associated with the employee health benefits program are recorded in the Health Fund. The employee health benefits program is funded by both employee and employer contributions. Employee benefits paid through this program include health, dental, life and disability insurance. The City's health benefits are self-insured for claims below a $150,000 specific stop-loss coverage limit. Claims are covered above the specific limit through the purchase of specific stop-loss insurance.

The health program annually has several cases that exceed specific stop-loss and therefore recovers excess losses. In fiscal year 2014 and 2013, four and three cases, respectively, exceeded the $150,000 self-insured retention level. In fiscal year 2014, recoveries totaling $540,595 for healthcare claims paid over the specific stop-loss of $150,000 were credited to the health program within the Health Fund.

The following is a summary of changes in estimated claims payable at June 30:

	2014	2013
Beginning Balance	$ 3,319,065	$ 3,171,256
Add: Incurred Claims and Changes in IBNR	11,566,666	11,351,953
Less: Claim Payments	(10,967,565)	(11,204,144)
Ending balance	$ 3,918,166	$ 3,319,065

In accordance with G.S. 159-29, the City's employees that have or gain access to $100 or more at any given time of the City's funds are covered by a crime insurance policy with a $150,000 limit per occurrence. The policy provides $150,000 in coverage for employee dishonesty/forgery as well as computer and electronic funds transfer fraud coverage and $25,000 in theft coverage. The Deputy Finance Director and the Fiscal Services Manager are individually bonded for $250,000 each.

The ABC Board is exposed to various risks of loss related to torts: theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The ABC Board has commercial property, general liability, auto liability, workers' compensation and employee health coverage. The ABC Board also has liquor legal liability coverage.

IX. Pension Plan Obligations

A. North Carolina Local Governmental Employees' Retirement System

Plan Description - The City and the ABC Board contribute to the statewide Local Governmental Employees' Retirement System (LGERS), a cost-sharing multiple-employer defined benefit pension plan administered by the State of North Carolina. LGERS provides retirement and disability benefits to plan members and beneficiaries. Article 3 of G.S. Chapter 128 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. The Local Governmental Employees' Retirement System is included in the Comprehensive Annual Financial Report (CAFR) for the State of North Carolina. The state's CAFR includes financial statements and required supplementary information for LGERS. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454.

Funding Policy – Plan members are required to contribute six percent of their annual covered salary. The City and the ABC Board are required to contribute at an actuarially determined rate. For the City, the current rate for employees not engaged in law enforcement and for law enforcement officers is 7.07 percent and 7.41 percent, respectively, of annual covered payroll. For the ABC Board, the current rate for employees not engaged in law enforcement and for law enforcement is 6.74 percent and 6.77 percent, respectively, of annual covered payroll.

The contribution requirements of members and of the City and the ABC Board are established and may be amended by the North Carolina General Assembly. The City's contributions to LGERS for the years ended June 30, 2014, 2013, and 2012 were $3,568,128, $3,364,633 and $3,476,866, respectively.

The ABC Board's contributions to LGERS for the years ended June 30, 2014, 2013, and 2012 were $133,385, $111,625 and $123,859, respectively. The contributions made by the City and the ABC Board equaled the required contributions for each year.

In order to meet its statutory obligations for a death benefit under NCLGERS, the City opts to provide a death benefit through a group term life insurance program, which is provided on a non-contributory basis to all members of the retirement system after 30 days of employment. The benefit pays the designated beneficiary an amount equal to one time the annual salary based on rate of pay at the time of death. The plan also provides an accidental death and dismemberment feature of two time’s annual salary in the event of death by a covered member.

B. Law Enforcement Officers Special Separation Allowance

Plan Description - The City and the ABC Board administer a public employee retirement system (the "Separation Allowance"), a single-employer defined benefit pension plan that provides retirement benefits to the City's and the ABC Board’s qualified sworn law enforcement officers. The Separation Allowance is equal to 0.85 percent of the annual equivalent of the base rate of compensation most recently applicable to the officer for each year of creditable service.

The retirement benefits are not subject to any increases in salary or retirement allowances that may be authorized by the General Assembly. Article 12D of G.S. Chapter 143 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. Separate financial statements are not issued for the Separation Allowance Plan.

All full-time law enforcement officers of the City and the ABC Board are covered by the Separation Allowance. At December 31, 2013, the Separation Allowance's membership consisted of:

	City	ABC Board
Retirees Receiving Benefits	34	1
Active Plan Members	206	1
Total	240	2

Basis of Accounting – The City and the ABC Board have chosen to fund the Separation Allowance on a pay-as-you-go basis. For the City, pension expenditures are made from the General Fund, which is maintained on the modified accrual basis of accounting. The financial statements of the ABC Board are prepared using the accrual basis of accounting. Benefits are recognized as expenses when due and payable in accordance with the terms of the plan. Administrative expenses are recognized as incurred.

Method Used to Value Investments – No funds are set aside to pay benefits and administration costs. These expenditures are paid as they become due.

Plan Contribution – The City is required by Article 12D of G.S. Chapter 143 to provide these retirement benefits and has chosen to fund the benefit payments on a pay-as-you-go basis through appropriations made in the General Fund operating budget. The City and ABC Board's obligation to contribute to this plan is established and may be amended by the North Carolina General Assembly. There were no contributions made to the plan by employees of the City or the ABC Board. The ABC Board is required by Article 12D of G.S. Chapter 143 to provide these retirement benefits and has chosen to pay benefits and administration costs on a pay-as-you-go basis. For the current year the ABC Board paid $11,275 for benefits due to current retirees entitled to receive benefits. The ABC Board has chosen not to have an actuarial study performed because the liability is considered to be immaterial.

The annual required contribution for the current year was determined as part of the December 31, 2013 actuarial valuation using the projected unit credit actuarial cost method. The actuarial assumptions included (a) five percent investment rate of return (net of administrative expenses); (b) projected salary increases of 4.25 to 7.85 percent per year; and (c) level percent of pay on a closed basis amortization method with amortization period of 17 years remaining. Both (a) and (b) included an inflation component of three percent. The assumptions did not include post-employment benefit increases.

Annual Pension Cost and Net Pension Obligation – The City's annual pension cost and net pension obligation to the Separation Allowance for the current year were as follows:

Annual Required Contribution	$ 550,015
Interest on Net Pension Obligation	54,972
Adjustment to Annual Required Contribution	(89,574)
Annual Pension Cost	515,413
Contributions Made	(577,655)
Decrease in Net Pension Obligation	(62,242)
Net Pension Obligation Beginning of Year	1,183,546
Net Pension Obligation End of Year	$ 1,121,304

Three-Year Trend Information:

Fiscal Year Ended	Annual Pension Cost (APC)	Percentage of APC Contributed	Net Pension Obligation
June 30, 2012	$ 481,045	91.16%	$ 1,235,585
June 30, 2013	494,022	109.76%	1,183,546
June 30, 2014	515,413	111.22%	1,121,304

Funded Status and Funding Progress – As of December 31, 2013, the most recent actuarial valuation date, the plan was not fully funded. The actuarial accrued liability for benefits and the unfunded actuarial accrued liability (UAAL) was $5,354,192. The covered payroll (annual payroll of active employees covered by the plan) was $9,733,915, and the ratio of the UAAL to the covered payroll was 55.01 percent.

The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multi-year trend information about whether the actuarial value of plan assets are increasing or decreasing over time relative to the actuarial accrued liability for benefits.

C. Supplemental Retirement Income Plan

401(k) Retirement Plan – The City and the ABC Board contribute to the Supplemental Retirement Income Plan (Plan), a section 401(k) defined contribution pension plan administered by the Department of State Treasurer and a Board of Trustees. The Plan provides retirement benefits to law enforcement officers employed by the City and the ABC Board. City Council has agreed to extend this benefit to all regular full-time and regular part-time non-law enforcement employees. Article 5 of G.S. Chapter 135 assigns the authority to establish and amend benefits provisions to the North Carolina Assembly. The Supplemental Retirement Income Plan for Law Enforcement Officers is included in the Comprehensive Annual Financial Report (CAFR) for the State of North Carolina. The State's CAFR includes the pension trust fund financial statements for the Internal Revenue Code Section 401(k) plan that includes the Supplemental Retirement Income Plan for Law Enforcement Officers. That report may be obtained by writing to the office

of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454.

Funding Policy – Article 12E of G.S. Chapter 143 requires the City and the ABC Board to contribute each month an amount equal to five percent of each officer's base salary and all amounts contributed are vested immediately. In addition to the required contribution for law enforcement officers, the City makes a monthly contribution equal to five percent of non-police employees' base salary. Also, law enforcement officers and non-police employees of the City may make voluntary contributions to the Plan.

The City contribution for law enforcement officers for the year ended June 30, 2014 was $507,930 and the officers' voluntary contributions were approximately $218,410. The City's contribution for non-police personnel was $1,999,630 with the voluntary contributions of approximately $1,202,039. The ABC Board's required contribution for the years ended June 30, 2014 and 2013 were $7,378, and $5,584 respectively.

D. Firefighters Governmental Money Purchase Plan

401(a) Defined Contribution Plan – The City contributes to the Firefighters Governmental Money Purchase Plan (GMPP), a section 401(a) defined contribution pension plan administered by ICMA-RC. The GMPP provides retirement benefits to full-time employees engaged in fire protection services who collectively have chosen to not participate in benefits defined by Title II of the Social Security Act.

Funding Policy – Eligible employees who voluntarily participate in the GMPP contribute amounts equal to two percent of eligible payroll. The employer's contribution rate to the GMPP is two percent of participating employees' eligible payroll. Employees who have completed five years of service are fully vested.

The City contribution for fire protection employees for the year ended June 30, 2014 was $236,156 and the employees' voluntary contributions were $236,156.

E. Other Post-Employment Benefits (OPEB)

Healthcare Benefits

Plan Description – The City administers, under the terms of a City resolution, a single-employer defined benefit healthcare benefits (HCB) plan. The plan provides post-employment healthcare benefits to employees retiring from the City with at least five years of creditable service that are eligible to receive a benefit from the North Carolina Local Governmental Employees Retirement System and do not have other insurance available. The plan has been closed for employees who are hired after June 30, 2012. The benefits provided by the City include healthcare, prescription drugs and vision benefits. The cost of the program is shared between plan members and the City, which pays about 90 percent of the cost of coverage, with less subsidy provided for fewer years of service. Dependent coverage is provided if enrolled at

the time of the employee's retirement. In addition, if the retiree ceases to have coverage or dies, dependent coverage will terminate.

Retirees hired on or before December 31, 2006 without access to other insurance and retire based on the provisions of the NC Local Governmental Employees' Retirement System will receive 100 percent of the subsidy amount. For those retirees without access to other insurance who were hired between January 1, 2007 and June 30, 2012 and fulfill all eligibility requirements and for those who were hired on or before December 31, 2006 retiring on or after January 1, 2007 with access to other insurance through their spouses employment, the City contributes towards the total cost of each plan based on the number of years of service with the City as follows:

Years of Service with the City	Percent of Subsidy Paid by the City
25 or more	100%
20 or more but less than 25	80
15 or more but less than 20	65
10 or more but less than 15	55
5 or more but less than 10	50
Less than 5	No subsidy or not Eligible

For those who were hired on or before December 31, 2006 with access to other insurance through subsequent employment, Medicare, Medicaid, VA, Federal, State retiree benefits, etc., the retiree is eligible to enroll in retiree insurance by paying 100 percent of the premiums with no subsidy contributed by the City. For those who were hired between January 1, 2007 and June 30, 2012 with access to other insurance and five or more years of service, the retiree is eligible to enroll in retiree insurance by paying 100 percent of the premiums with no subsidy contributed by the City.

The City has elected to partially pre-pay the future overall cost of coverage for these benefits by establishing a trust agreement according to General Statutes 159-30.1(b). Investments of the OPEB Trust funds are made pursuant to a Deposit Agreement with the North Carolina Department of State Treasurer. The State Treasurer has the discretion to invest the proceeds in equities of certain publicly held companies and long or short term fixed income investments as detailed in G.S. 147-69.2(b) (1-6) and (8). At June 30, 2014, the Plan assets totaled $4,587,920. At year-end, the State Treasurer's OPEB Fund was invested as follows: State Treasurer's Long Term Investment Fund (LTIF) 49 percent and BlackRock's Global Ex-US Alpha Tilts Fund B and BlackRock's Russell 3000 Alpha Tilts Fund B 51 percent (the equities were split with 75 percent in domestic securities and 25 percent in international securities). A separate report was not issued for the Plan.

For the ABC Board, the post-employment benefits provided for eligible employees who retire from the Board consist of an allowance for law enforcement officers. Due to the relative insignificance of the liability the Board elected to accrue the entire obligations of $72,761 and $59,393 for the years ended June 30, 2014 and 2013. As of June 30, 2014 and 2013, none of this

cost was contributed which resulted in a net OPEB obligation of $72,761 and $59,393, respectively.

Membership of the City's HCB Plan consisted of the following at December 31, 2013, the date of the latest actuarial valuation:

	General Employees	Law Enforcement/Fire
Retirees and Dependents Receiving Benefits	175	-
Active Plan Members	545	398
Total	720	398

Funding Policy – The City and the ABC Board have chosen to fund the healthcare benefits on a pay-as-you-go basis, with additional amounts contributed to prefund benefits, determined annually by management and City Council. Upon reaching 65, coverage for all retirees who are eligible for Medicare will be transferred to a Medicare plan after qualifying for Medicare.

The current ARC rate is 7.22 percent of annual covered payroll. For the current year, the City contributed $2,210,816 or 5.04 percent of annual covered payroll toward actual benefit payments and deposits in the OPEB Trust. There was $347,070 of contributions made by retirees. The City's obligation to contribute to the Plan is established and may be amended by the City Council during the budget process. Determination of the amounts contributed by the City and retirees is made by the Human Resources Department, annually, upon review of current costs and trends.

Summary of Significant Accounting Policies – Post-employment expenditures are made from the Health Fund, which is maintained on the full accrual basis of accounting. These expenditures are paid as they become due. Short-term money market instruments and deposits are reported at cost or amortized cost, which approximates fair value as of June 30, 2014. Certain longer term securities are valued at estimated market value, as determined by the State Treasurer. Administration costs of the OPEB Investment Fund are determined by inter-agency agreement with the North Carolina Department of State Treasurer.

Annual OPEB Cost and Net OPEB Obligation – The City's annual OPEB cost is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement 45. The ARC represents a level of funding that, if paid on an ongoing basis is projected to cover normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years.

The following table shows the components of the City's annual OPEB cost for the year. The amount actually contributed to the plan and changes in the City's net obligation for the healthcare benefits is:

Annual Required Contribution	$ 3,170,891
Interest on Net OPEB Obligation	112,817
Adjustment to Annual Required Contribution	(159,679)
Annual OPEB Cost	3,124,029
Contributions Made	(2,210,816)
Increase in Net OPEB Obligation	913,213
Net OPEB Obligation Beginning of Year	2,820,427
Net OPEB Obligation End of Year	$ 3,733,640

The City's net OPEB obligation is comprised of $3,187,761 and $545,879 for governmental activities and business-type activities, respectively.

The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan and the net OPEB obligation for 2012-2014 are as follows:

Fiscal Year Ended	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
June 30, 2012	$ 3,124,908	137.60%	$1,849,524
June 30, 2013	3,243,919	70.10%	2,820,427
June 30, 2014	3,124,029	70.77%	3,733,640

Funded Status and Funding Progress – As of December 31, 2013, the most recent actuarial valuation date, the plan was not fully funded. The actuarial accrued liability for benefits and the unfunded actuarial accrued liability (UAAL) were $35,908,288 and $31,985,632, respectively. The covered payroll (annual payroll of active employees covered by the plan) was $43,903,456, and the ratio of the UAAL to the covered payroll was 72.9 percent. Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and healthcare trends. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multi-year trend information about whether the actuarial value of the plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial Methods and Assumptions – Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern

of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value assets, consistent with the long-term perspective of the calculations.

In the December 31, 2013 actuarial valuation, the projected unit credit actuarial cost method was used. The actuarial assumption included four percent investment rate of return (net of administrative expenses), which is the expected long-term investment returns on the employer's own investments calculated based on the funded level of the plan at the valuation date. The rate included a three percent inflation rate. The medical cost trend rate varied between 7.75 and five percent. The actuarial value of assets was determined using techniques that spread the effects of short term volatility in the market value of investments over a five year period. The UAAL is being amortized as a level dollar amount on a closed basis. The remaining amortization period at December 31, 2013 was 28 years.

X. Deferred Outflows and Inflows of Resources

Deferred outflows of resources as presented in the government-wide financial statements for governmental and business-type activities are the deferred amounts of loss on defeasance of debt for the 2012 Limited Obligation Bonds.

Deferred inflows of resources at year-end are comprised of the following:

	Unavailable Revenue	Unearned Revenue
General Fund		
Prepaid Ad Valorem Taxes	$ -	$ 6,774
Taxes Receivable (General Fund), less penalties	245,446	-
Notes Receivable	6,782,927	-
General Capital Projects		
Advances from Other Governments	246,024	-
Non-major Governmental Funds		
Notes Receivable	4,467,509	-
Advances from Other Governments	473,167	-
Total	$ 12,215,073	$ 6,774

XI. Unearned Revenues

The balance in unearned revenues at year-end is comprised of the following:

	Unearned Revenue	
General Fund		
Prepaid Privilege Licenses	$	849,762
BC 911 Communications		295,038
General Capital Projects		
Azalea Soccer		176,358
Other		64,116
Non-major Governmental Funds		
Grants		89,464
Total Governmental Activities	$	1,474,738
Water Fund		
Prepaid Water Charges	$	168,639
Non-Major Enterprise Funds		
Prepaid Stormwater Charges		27,020
Total Business-type Activities	$	195,659

XII. Commitments and Contingent Liabilities

A. Grant Revenues

The City receives amounts from federal, state, and local government agencies in the form of grants. The disbursement of funds under these programs is subject to audit in accordance with the Office of Management and Budget Circular A-133 *Audit of States, Local Governments, and Non-profit Organizations and the State Single Audit Implementation Act*. The City expects the amount, if any, of expenditures that may be disallowed by the granting agencies as a result of these audits to be immaterial.

B. Claims and Litigation

The City is a defendant in various lawsuits. Although the outcome of these lawsuits is not presently determinable, it is the opinion of the City's attorney and management that the resolution of these matters will not have a material adverse effect on the City's financial position.

XIII. Stewardship, Compliance, and Accountability

Deficit Fund Balances and Net Assets – Liabilities exceeded assets in the Grant Program Special Revenue Fund (non-major governmental fund) by $98,998. Intergovernmental revenue and program revenue are expected to be collected to eliminate the deficit in FY 2015.

XIV. Subsequent Events

On October 14, 2014, the City Council authorized the creation of three Municipal Service Districts (MSD's) to include the River Arts District MSD, the South Slope Extension MSD, and the Charlotte Street Corridor MSD in accordance with Article 23 of Chapter 160A of the N.C. General Statutes.

On June 9, 2014, Judge Manning issued a Memorandum of Decision and Order RE: Summary Judgment. In the Decision, Judge Manning ruled that HB 488 violates Article II, Section 24 of the North Carolina Constitution (prohibiting local acts relating to health and sanitation), Article I, Section 19 of the N.C. Constitution (prohibiting the taking of a proprietary asset with no rational basis), and Article I, Sections 19 and 35 of the N.C. Constitution (because the taking results in no change in use and is not a valid exercise of the legislative power to condemn). Judge Manning ruled further, if it were determined that HB 488 was a valid exercise of the sovereign power of the State of North Carolina, then the City would be entitled to just compensation for its water system. The State of North Carolina filed Notice of Appeal from Judge Manning's Memorandum of Decision and Order re: Summary Judgment to the North Carolina Court of Appeals on July 8, 2014. Allowing time for preparation of the Record on Appeal and briefing of the issues, it is anticipated the North Carolina Court of Appeals may issue a decision in the case in the first half of 2015.

This Page Was Left Blank Intentionally

Required Supplementary Information

This section consists of the following additional information required by Accounting Principles Generally Accepted in the United States of America:

- Schedule of Funding Progress for Law Enforcement Officers' Special Separation Allowance
- Schedule of Employer Required Contributions for Law Enforcement Officers' Special Separation Allowance
- Schedule of Funding Progress for other post-employment benefits
- Schedule of Employer Required Contributions for other post-employment benefits

CITY OF ASHEVILLE
LAW ENFORCEMENT OFFICERS' SPECIAL SEPARATION ALLOWANCE
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS
JUNE 30, 2014

Calendar Year	Actuarial Value of Assets	Actuarial Accrued Liability (AAL) Projected Unit Credit	Percentage Funded	Unfunded AAL (UAAL)	Annual Covered Payroll	UAAL as a Percentage of Covered Payroll
2004	$ -	3,150,445	- %	$ 3,150,445	$ 6,977,643	45.15 %
2005	-	3,213,921	-	3,213,921	7,097,123	45.28
2006	-	3,500,082	-	3,500,082	8,097,773	43.22
2007	-	3,897,517	-	3,897,517	9,360,211	41.64
2008	-	4,236,980	-	4,236,980	10,144,346	41.77
2009	-	5,494,756	-	5,494,756	10,225,237	53.74
2010	-	4,845,081	-	4,845,081	9,349,412	51.82
2011	-	4,943,409	-	4,943,409	9,721,143	50.85
2012	-	5,327,272	-	5,327,272	10,152,159	52.47
2013	-	5,354,192	-	5,354,192	9,733,915	55.01

CITY OF ASHEVILLE
LAW ENFORCEMENT OFFICERS' SPECIAL SEPARATION ALLOWANCE
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF EMPLOYER REQUIRED CONTRIBUTIONS
JUNE 30, 2014

Fiscal Year Ended June 30,	Annual Required Contribution	Actual Amount Contributed	Percentage Contributed
2005	$ 291,233	$ 202,534	69.54 %
2006	330,544	249,148	75.38
2007	324,789	253,747	78.13
2008	351,948	295,051	83.83
2009	393,335	339,459	86.30
2010	434,291	424,186	97.67
2011	529,664	435,945	82.31
2012	481,045	438,501	91.16
2013	494,022	542,263	109.76
2014	515,413	573,232	111.22

NOTES TO THE ABOVE SCHEDULE:

The information presented in the required supplementary schedules was determined as part of the actuarial valuations at the dates indicated. Additional information as of the dates actuarial valuation follows:

Valuation date	12/31/2013
Actuarial cost method	Projected unit credit
Amortization method	Level dollar closed
Remaining amortization period	17 Years
Asset valuation method	Market value
Actuarial assumptions:	
Investment rate of return	5.00%
Projected salary increases	4.25% to 7.85%
Includes inflation at	3.00%
Cost of living adjustments	N/A

CITY OF ASHEVILLE
OTHER POST EMPLOYMENT BENEFITS
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS
JUNE 30, 2014

Calendar Year	Actuarial Value of Assets	Actuarial Accrued Liability (AAL) Projected Unit Credit	Percentage Funded	Unfunded AAL (UAAL)	Annual Covered Payroll	UAAL as a % of Covered Payroll
12/31/2005	$ -	$ 28,379,372	- %	$ 28,379,372	$ 35,060,422	80.9 %
12/31/2006	-	31,094,852	-	31,094,852	38,836,633	80.1
12/31/2009	-	33,846,854	-	33,846,854	50,164,033	67.5
12/31/2011	3,025,866	30,839,032	9.8	27,813,166	48,532,503	57.3
12/31/2012	3,271,564	31,909,734	10.3	28,638,170	46,139,737	62.1
12/31/2013	3,922,656	35,908,288	10.9	31,985,632	43,903,456	72.9

CITY OF ASHEVILLE
OTHER POST EMPLOYMENT BENEFITS
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF EMPLOYER REQUIRED CONTRIBUTIONS
JUNE 30, 2014

Fiscal Year Ended June 30,	Annual Required Contribution	Actual Amount Contributed	Percentage Contributed
2009	$ 2,839,721	$ 1,300,677	45.80 %
2010	2,995,947	2,209,348	73.74
2011	2,995,947	2,316,990	77.34
2012	3,108,295	4,301,250	138.38
2013	3,272,783	2,273,016	69.45
2014	3,170,891	2,210,816	69.72

NOTES TO THE ABOVE SCHEDULE:
The information presented in the required supplementary schedules was determined as part of the actuarial valuation follows:

Valuation date	12/31/2013
Actuarial cost method	Projected unit credit
Amortization method	Level Dollar Amount, closed
Remaining amortization period	28 Years
Asset valuation method	Market value of Assets
Actuarial assumptions:	
Investment rate of return*	4.00%
Medical cost trend	5.00% - 7.75%
Year of ultimate trend rate	2019
*Includes inflation at	3.00%

This Page Was Left Blank Intentionally

APPENDIX C

DEFINITION OF CERTAIN TERMS AND SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE

This page intentionally left blank.

APPENDIX C

DEFINITION OF CERTAIN TERMS AND SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE

In addition to summaries of the provisions of the General Indenture and the Series Indenture contained elsewhere in this Official Statement, the following is a summary of certain other provisions of the General Indenture and the Series Indenture. This summary does not purport to be complete and is qualified in its entirety by express reference to the General Indenture and the Series Indenture.

DEFINITIONS OF CERTAIN TERMS

"Account" or "Fund" means one of the special funds or accounts created and established under the Indenture.

"Accountant" means a firm of independent certified public accountants as may be selected by the City and not unacceptable to the Trustee.

"Act" means The State and Local Government Revenue Bond Act, General Statutes of North Carolina Section 159-80 *et seq.*, as the same may hereafter be amended.

"Annual Budget" means the annual budget concerning the operation of the Water System for each Fiscal Year.

"Authenticating Agent" means with respect to any given Series of Bonds, the Registrar or any other entity appointed in the related Series Indenture to act as an authenticating agent for such Series of Bonds or a portion thereof.

"Authorized Denomination" means $5,000 or any integral multiple thereof.

"Bonds" means the 2005 Bonds, the 2007 Bonds, the 2015 Bonds and any Additional Bonds issued pursuant to the General Indenture.

"Bond Counsel" means an attorney or firm of attorneys of nationally recognized standing in the field of law relating to municipal, state and public agency financing, selected by the City and not unacceptable to the Trustee.

"Business Day" means any day other than (a) a day on which banking institutions in New York, New York, or in the State or in the cities in which the Trustee or the Paying Agent have their respective principal offices are authorized to close or (b) a day on which the New York Stock Exchange is closed.

"Certificate" means (i) a signed document either attesting to or acknowledging the circumstances, representations or other matters therein stated or set forth or setting forth matters to be determined under the Indenture or (ii) the report of an accountant as to audit or other procedures called for by the Indenture.

"City" means the City of Asheville, North Carolina.

"City Representative" means the City Manager or Chief Financial Officer of the City and, in the case of any act to be performed or duty to be discharged, any other member, officer or employee of the City then authorized to perform such act or discharge such duty.

"Co-Trustee" means any entity meeting the qualifications of a Trustee that is appointed as Co-Trustee pursuant to the Indenture.

"Code" means the Internal Revenue Code of 1986, as amended. Each reference to a section of the Code in the Indenture will be deemed to include the United States Treasury Regulations proposed or in effect with respect thereto.

"Construction Fund" means the Fund so designated and established under the Indenture.

"Consulting Engineer" means the City's engineer or a firm of engineers or utilities consultants with recognized expertise for advising governmental entities with respect to the construction, maintenance and use of the Water System from time to time employed by the City and not unacceptable to the Trustee.

"Costs of Construction" means the costs reasonably incurred in connection with the Water System or any portion thereof, including but not limited to the costs of (1) acquisition of all property, real or personal, tangible or intangible, and all interests in connection therewith including all rights-of-way and easements therefor, (2) physical construction, installation and testing, including the costs of labor, services, materials, supplies and utility services used in connection therewith, (3) architectural, engineering, legal, financial advisory and other professional services, (4) premiums for insurance policies taken out and maintained during construction, to the extent not paid for by a contractor for construction and installation, (5) any taxes, assessments or other charges which become due during construction, (6) expenses incurred by the City or on its behalf with its approval in seeking to enforce any remedy against any contractor or sub-contractor in respect of any default under a contract relating to construction, (7) Costs of Issuance, (8) interest on the Bonds during the construction of any portion of the Water System or for such other period as permitted by law, (9) miscellaneous expenses incidental thereto and (10) reimbursements of such Cost of Construction properly incurred prior to the issuance of the Bonds.

"Costs of Issuance" means all items of expense, directly or indirectly payable by or reimbursable to the City, related to the authorization, sale and issuance of Bonds.

"County" means the County of Buncombe, North Carolina, a political subdivision and body corporate and politic of the State.

"Current Expenses" means the current expenses of operation, maintenance and current repair of the Water System, as calculated in accordance with generally accepted accounting principles except as otherwise provided in the Indenture, and includes, without limiting the generality of the foregoing: insurance premiums; any Rebate Deposit; fees and expenses of the Trustee and any Paying Agent; fees and expenses of any entity providing credit support or liquidity for any Series of the Bonds; administrative and engineering expenses of the City relating solely to the Water System; labor; executive compensation; the cost of materials and supplies used for current operations; and charges for the accumulation of appropriate reserves for current expenses not annually recurrent, but which are such as may reasonably be expected to be incurred as determined by the City in accordance with generally accepted accounting principles except as otherwise provided in the Indenture. *"Current Expenses"* will not include (i) any allowance for depreciation or replacements of capital assets of the Water System, (ii) moneys payable as Interest or interest on General Obligation Indebtedness, Subordinate Indebtedness or Other Indebtedness and (iii) moneys deposited or transferred to the Reserve Fund under the applicable Series Indenture.

"Debt Service Fund" means the Fund so designated and established by the Indenture.

"Derivative Agreement" means an interest rate swap, collar, floor, forward, option, put, call or other agreement however denominated, relating to the Bonds and entered into for the purpose of lowering borrowing costs or reducing borrowing risks.

"*Escrow Agent*" means The Bank of New York Mellon Trust Company, N.A. and its successors and assigns.

"*Escrow Agreement*" means the Escrow Agreement between the City and the Escrow Agent dated as of June 1, 2015.

"*Escrow Fund*" means the Escrow Fund created in the Escrow Agreement comprised of the 2005 Bonds Account which is to be applied to the payment of the Refunded 2005 Bonds as provided therein and the 2007 Bonds Account which is to be applied to the payment of the Refunded 2007 Bonds as provided therein.

"Event of Default" means any of the events of default specified in the Indenture together with any other events specified as such in a Series Indenture.

"Federal Securities" means (a) direct obligations of the United States of America for the payment of which the full faith and credit of the United States of America is pledged; (b) obligations issued by any agency controlled or supervised by and acting as an instrumentality of the United States of America, the payment of the principal of and interest on which is fully guaranteed as full faith and credit obligations of the United States of America (including any securities described in (a) or (b) issued or held in the name of the Trustee in book entry form on the books of the Department of Treasury of the United States of America), which obligations, in either case, are held in the name of the Trustee and are not subject to redemption or purchase prior to maturity at the option of anyone other than the Owner; (c) any bonds or other obligations of the State or of any agency, instrumentality or local governmental unit of the State which are (i) not callable prior to maturity or (ii) as to which irrevocable instructions have been given to the trustee or escrow agent of such bonds or other obligations by the obligor to give due notice of redemption and to call such bonds for redemption on the date or dates specified, and which are rated by Moody's, if the Bonds are rated by Moody's, and S&P, if the Bonds are rated by S&P within the highest rating category and which are secured as to principal, redemption premium, if any, and interest by a fund consisting only of cash or bonds or other obligations of the character described in clause (a) or (b) hereof which fund may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate; (d) the interest only portions of obligations issued by the Resolution Funding Corporation; or (e) direct evidences of ownership of proportionate interests in future interest and principal payments on specified obligations described in (a) held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor on the underlying obligations described in (a), and which underlying obligations are not available to satisfy any claim of the custodian or any person claiming through the custodian or to whom the custodian may be obligated.

"Finance Officer" means the Chief Financial Officer of the City or any successor to his functions.

"Financial Consultant" means an independent person or firm with recognized expertise for advising governmental entities with respect to financial forecasting and analysis of water systems from time to time employed by the City and not unacceptable to the Trustee.

"Fiscal Year" means a twelve-month period commencing on the first day of July of any year, or such other twelve-month period adopted as the Fiscal Year of the City.

"General Indenture" or *"Indenture"* means the General Trust Indenture dated as of December 1, 2005, between the City and the Trustee, and any amendments or supplements thereto.

"General Obligation Indebtedness" means (i) general obligation indebtedness incurred by the City as of the date of the General Indenture which is payable from Net Revenues and the proceeds of which were used to provide for capital costs of the Water System, (ii) general obligation indebtedness incurred by the City after the date of the General Indenture which is payable from Net Revenues (including such general obligation indebtedness which is secured by Net Revenues) and the proceeds of which in each case are used to provide for capital costs of the Water System and (iii) general obligation indebtedness of another governmental unit which is payable from Net Revenues as a result of the City having assumed such general obligation indebtedness or having otherwise agreed to pay in connection with acquisition of assets for the Water System.

"Independent Insurance Consultant" means a person or firm, appointed by the City and not unacceptable to the Trustee, qualified to survey risks and to recommend insurance coverage for facilities such as the Water System and having a favorable reputation for skill and experience in such surveys and such recommendations, which insurance consultant, in the case of an individual, must not be an officer or employee of the City and, in the case of a firm, must not have a partner, director, member, officer or employee who is an officer or employee of the City.

"Interest" means (i) the amount designated as interest on any Bond and (ii) payments due from the City under a Derivative Agreement other than for termination thereof.

"Interest Payment Date" means, with respect to the 2015 Bonds, each August 1 and February 1, beginning August 1, 2015.

"Investment Securities" means, to the extent permitted by law, (i) Federal Securities; (ii) obligations of the Federal Land Bank; (iii) obligations of the Federal Home Loan Bank; (iv) obligations of the Federal Intermediate Credit Bank; (v) obligations of the Central Bank for Cooperatives; (vi) obligations of the Federal Home Loan Mortgage Corporation; (vii) obligations of Federal National Mortgage Association, (viii) repurchase agreements of any national or state bank located within the State which have deposits insured by the Federal Deposit Insurance Corporation (including the repurchase agreements of any bank acting as a depository, custodian or trustee for any proceeds of the Bonds) to the extent permitted by Section 159-30 of the General Statutes of North Carolina; (ix) certificates of deposit of national or state banks located within the State which have deposits insured by the Federal Deposit Insurance Corporation (including the certificates of deposit of any bank acting as a depository, custodian or trustee for any proceeds of the Bonds); provided, however, that the portion of such certificates of deposit in excess of the amount insured by the Federal Deposit Insurance Corporation, if any, shall be secured by deposit with the Federal Reserve Bank of Charlotte, North Carolina, or with any national or state bank located within the State with a long-term rating of "A" or higher by Moody's, if the Bonds are rated by Moody's, and "A" or higher by S&P, if the Bonds are rated by S&P, of any of the obligations included in (i), (ii), (iii), (iv), (v) or (vi) above; (x) any bonds or other obligations of the State or any agency, instrumentality or local governmental unit of the State which are rated "A" or better by Moody's, if the

Bonds are rated by Moody's, and S&P, if the Bonds are rated by S&P; (xi) shares of a tax exempt Money Market Fund; (xii) the State Treasurer's Short-Term Investment Fund; and (xiii) any other investments permitted under Section 159-30 of the General Statutes of North Carolina, as it may hereafter be amended, for the investment of public funds which meet the requirements for the "A" rating category of Moody's, if the Bonds are rated by Moody's, and of S&P, if the Bonds are rated by S&P.

"LGC" means the North Carolina Local Government Commission or its designated agent.

"Mail" means first-class United States mail, postage prepaid.

"Moody's" means Moody's Investors Service, a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, and, if such corporation for any reason no longer performs the functions of a securities rating agency, *"Moody's"* will be deemed to refer to any other nationally recognized rating agency designated by the City Manager of the City by notice to the Trustee.

"Net Revenues" means the excess of Revenues over Current Expenses.

"Other Indebtedness" means capital leases, installment financing agreements or other contracts used to provide capital improvements to the Water System, the payments under which are payable from Net Revenues after payment of the principal of and Interest on the Bonds and the principal of and interest on General Obligation Indebtedness and Subordinate Indebtedness.

"Outstanding" means all Bonds which have been authenticated and delivered by the Trustee under the Indenture, except:

(a) Bonds canceled after purchase in the open market or because of payment (it being understood that a payment to an Owner of the purchase price of a Bond, as prescribed in the related Series Indenture, is not payment of a Bond) at maturity or redemption prior to maturity or on acceleration;

(b) Bonds deemed paid under the Indenture;

(c) Bonds for the payment of the principal of and interest on which Federal Securities have been set aside; and

(d) Bonds in lieu of which other Bonds have been authenticated under the Indenture.

"Owner" means any person in whose name any Outstanding Bond is registered on the books of the Registrar.

"Paying Agent" means any entity appointed in a Series Indenture to act as a paying agent for a Series of Bonds.

"Person" means any individual, corporation, partnership, joint venture, association, joint-stock company, trust, unincorporated organization, or government or any agency or political subdivision thereof.

"Principal and Interest Requirements on the Bonds" means, with respect to any particular Fiscal Year, an amount equal to the sum of (i) all interest payable on the Bonds during such Fiscal Year, excluding any capitalized interest, plus (ii) any Principal Installments of the Bonds during such Fiscal Year.

(a) For purposes of computing *"Principal and Interest Requirements on the Bonds,"* the rate of interest used to determine (i) above will be a rate per annum equal to (1) with respect to Bonds which bear interest at a fixed rate, the rate of interest borne or to be borne by such Bonds, and (2) with respect to Bonds which bear interest at a variable or periodically determined rate of interest, the average of all the interest rates in effect on the Bonds (or as certified by a financial institution or investment banking firm acceptable to the Finance Officer which would have been in effect on the Bonds had such Bonds been Outstanding) during the immediately preceding twelve-month period. If the City has entered into a Derivative Agreement under which it will receive payments calculated on a notional amount equal to the principal amount of a Series of the Bonds and will make payments calculated on the same notional amount, the interest used to calculate (1) above will be the amount to be paid by the City, and the amount to be received will be deducted; payments on a variable or periodic basis under such an agreement will be calculated in accordance with clause (2) above.

(b) For purposes of computing *"Principal and Interest Requirements on the Bonds,"* the method used to determine (ii) above will be the actual planned Principal Installments, unless any such Principal Installment is at least 25% greater than any Principal Installment of such Bonds in any prior year in which case the Principal Installments of such series of Bonds will, in each year, be: (1) for Bonds with a term in excess of one year, the result derived by dividing (A) the outstanding principal amount of such Bonds by (B) the number of full years in the remaining term of such Bonds, and (2) for notes or other obligations with a term of less than one year which are issued in anticipation of the issuance of Bonds described in (1) above, result derived by dividing (A) the outstanding principal amount of such notes or other obligations by (B) the number of full years expected to be in the term of the Take Out Obligation as certified to the Trustee by the Finance Officer.

"Principal and Interest Requirements for General Obligation Indebtedness" means, with respect to any particular Fiscal Year, an amount equal to the sum of (i) all interest payable on the General Obligation Indebtedness during such Fiscal Year, excluding any capitalized interest, plus (ii) any principal on the General Obligation Indebtedness due during such Fiscal Year. Principal and interest for purposes of this definition will be computed in the manner in which the principal of and interest on the Bonds is calculated under the definition of *"Principal and Interest Requirements on the Bonds."*

"Principal and Interest Requirements for Other Indebtedness" means, with respect to any particular Fiscal Year, an amount equal to the sum of all payment obligations with respect to Other Indebtedness during such Fiscal Year. If the payment obligation under any Other Indebtedness is stated in terms of principal and interest, such principal and interest will be computed for purposes of this definition in the manner in which the principal of and interest on the Bonds is calculated under the definition of *"Principal and Interest Requirements on the Bonds."*

"Principal and Interest Requirements for Subordinate Indebtedness" means, with respect to any particular Fiscal Year, an amount equal to the sum of (i) all interest payable on Subordinate Indebtedness due during such Fiscal Year, excluding any capitalized interest, plus (ii) any principal of the Subordinate Indebtedness during such Fiscal Year. Principal and interest for purposes of this definition will be computed in the manner in which the principal of and interest on the Bonds is calculated under the definition of *"Principal and Interest Requirements on the Bonds."*

"Principal Installment" means, as of any date of calculation, (i) the aggregate principal amount of Outstanding Bonds due on a certain future date, reduced by the aggregate principal amount of such Bonds

which would be retired by reason of the payment when due and application in accordance with the Indenture of Sinking Fund Payments payable before such future date, plus (ii) any Sinking Fund Payments due on such certain future date, together with the aggregate amount of the premiums, if any, applicable on such Sinking Fund Payments.

"Principal Payment Date" means any date upon which a Principal Installment is due and payable.

"Rebate Deposit" means the amount required to be deposited into the Rebate Fund as a result of the computation made under the Indenture.

"Rebate Fund" means the Fund so designated and established under the Indenture.

"Record Date" means the fifteenth day of the month next preceding the Interest Payment Date.

"Redemption Date" means the date on which 2015 Bonds have been called for redemption or are to be redeemed pursuant to the Series Indenture.

"Redemption Price" means, with respect to any 2015 Bond, the principal amount thereof plus the applicable premium, if any, payable on redemption thereof plus accrued interest to the Redemption Date.

"*Refunded 2005 Bonds*" means the 2005 Bonds maturing on and after August 1, 2016.

"*Refunded 2007 Bonds*" means the 2007 Bonds maturing on and after August 1, 2018.

"Registrar" means any entity appointed in a Series Indenture to act as the Registrar for a Series of Bonds or a portion thereof.

"Reserve Fund" means the Fund so designated and established under the Indenture.

"Revenue Fund" means the Fund so designated and established under the Indenture.

"Revenues" means all rates, fees (including any tap or impact fees), rentals, assessments or other charges or other income received by the City in connection with the ownership, management and operation of the Water System, and all parts thereof, including amounts received from the investment or deposit of moneys in any Fund or Account (but not including amounts received from interest or other investment income earned in the Construction Fund and the Rebate Fund and, during the construction period, the Reserve Fund), all as calculated in accordance with generally accepted accounting principles except as otherwise provided in the Indenture, but shall not include (i) net proceeds of insurance or condemnation awards or other extraordinary items, (ii) any amounts collected by the City representing sales or use taxes which may be required by law or agreement to be paid to the State or a governmental unit thereof or (iii) refundable deposits made by customers of the Water System.

"S&P" means Standard & Poor's, a Division of The McGraw-Hill Companies, Inc., a corporation organized and existing under the laws of the State of New York, its successors and their assigns, and, if such corporation for any reason no longer performs the functions of a securities rating agency, "S&P" will be deemed to refer to any other nationally recognized securities rating agency designated by the City Manager of the City by notice to the Trustee.

"Series of Bonds" or "Series" means any series of Bonds issued under a Series Indenture.

"Series Indenture" means Series Indenture, Number 3, dated as of June 1, 2015, or, as applicable, any indenture or other document supplementing the General Indenture, executed by the City and effective in accordance with the General Indenture, providing for the issuance of a Series of Bonds.

"Sinking Fund Payment" means, as of any particular date of calculation, the amount required to be paid by the City on a certain future date for the retirement of Outstanding Bonds which mature after said future date, but does not include any amount payable by the City by reason of the maturity of a Bond or by call for redemption at the election of the City.

"State" means the State of North Carolina.

"Subordinate Indebtedness" means debt incurred by the City, the payment of the principal and interest on which is secured by Net Revenues after payment of the principal of and Interest on the Bonds and the proceeds of which are used to provide for capital costs of the Water System.

"Supplemental Indenture" means any indenture supplemental to the Indenture delivered under the Indenture amending or supplementing the Indenture.

"Surplus Account" means the account so designated and established under the Indenture.

"Trustee" means the Trustee with respect to the Bonds and any other person at any time substituted in its place as provided in the Indenture.

"Trust Estate" means all property and rights conveyed by the City under the Granting Clauses of the Indenture.

"*2005 Bonds*" means the City's $41,800,000 Water System Refunding Revenue Bonds, Series 2005.

"*2007 Bonds*" means the City's $39,025,000 Water System Revenue Bonds, Series 2007.

"2015 Bonds" means the Bonds to be issued pursuant to the General Indenture and Series Indenture.

"*2015 Cost of Issuance Account*" means the account by that name in the Construction Fund created under Series Indenture for the 2015 Bonds.

"Water Major Capital Improvements Fund" means the Fund so designated and established under the Indenture.

"Water Operations Fund" means the Fund so designated and established by the Indenture.

"Water System" means the water system owned by the City providing water services within the jurisdiction of the City and its surrounding areas, including any and all additions, modifications, replacements and parts thereof.

FUNDS AND ACCOUNTS

Under the Indenture, the City has established the following special funds:

(1) Revenue Fund;

(2) Debt Service Fund;

(3) Water Operations Fund;

(4) Water Major Capital Improvements Fund;

(5) Construction Fund;

(6) Rebate Fund;

(7) Reserve Fund; and

(8) Surplus Account.

The Trustee or the City may also create such other Funds or Accounts as either deems necessary or desirable in the administration of the Indenture. The Debt Service Fund, the Construction Fund, the Reserve Fund and the Rebate Fund will be held by the Trustee, but the Debt Service Fund and the Construction Fund may be held by another financial institution having trust powers with the approval of the City and the North Carolina Local Government Commission. The Revenue Fund, the Water Operations Fund, the Water Major Capital Improvements Fund and the Surplus Account will be held by the City.

Construction Fund. The City will establish a 2015 Cost of Issuance Account within the Construction Fund to keep the proceeds of the 2015 Bonds so deposited separate from the proceeds of any other series of Bonds issued under the General Indenture. The Trustee shall disburse money in the 2015 Cost of Issuance Account to pay the Costs of Issuance of the 2015 Bonds.

Revenue Fund. See **"CERTAIN PROVISION OF THE GENERAL INDENTURE—Revenues"** in the Official Statement.

Debt Service Fund. The Trustee will disburse amounts deposited in the Debt Service Fund as follows:

(1) on each Interest Payment Date, to the Persons entitled thereto, Interest due on such date.

(2) subject to the provisions of the Indenture requiring the application thereof to the payment or redemption of any particular Bond, on each Principal Payment Date, to the Owners, the amounts required for the payment of the Principal Installments due on such date.

(3) on each Redemption Date, to the Owners, the amount required for redemption of Bonds called for redemption.

If on any Interest Payment Date or Principal Payment Date, there is a deficiency in the Debt Service Fund, the amount of such deficiency will be made up from the following Funds and in the order or priority set forth below:

(1) Revenue Fund;

(2) Surplus Account;

(3) Water Major Capital Improvements Fund;

(4) the account of the Reserve Fund securing a Series of Bonds to pay the principal of and interest on such Series of Bonds, to the extent such deficiency is attributable to the Series of Bonds secured by that account of the Reserve Fund; and

(5) Construction Fund.

Rebate Fund. The Trustee will pay from the Rebate Fund amounts required to be paid to the United States at the times and in the amounts required by the Indenture and the Code.

Water Major Capital Improvements Fund. The Water Major Capital Improvements Fund will be applied for the following purposes:

(1) paying the cost of extensions, additions and capital improvements to, or the renewal and replacement of capital assets of, or purchasing and installing new equipment for, the Water System, or paying any extraordinary maintenance and repair or any expenses which are not Current Expenses;

(2) transfer to the Debt Service Fund to make up any deficiency therein in accordance with the order of priorities established in the Indenture; and

(3) repaying Subordinate Indebtedness or Other Indebtedness.

Reserve Fund. The 2015 Bonds will not be secured by the Reserve Fund.

Surplus Account. Moneys held in the Surplus Account will be applied in the following order of priority: (1) first, to pay a termination payment under a Derivative Agreement; (2) second, to pay Current Expenses; (3) third, to pay for any other purpose related to the Water System from time to time authorized by the City; and (4) fourth, to pay for any lawful purpose of the City (subject to certain limitations as described in the Official Statement).

INVESTMENTS

The Trustee will invest moneys held in the Debt Service Fund, the Construction Fund, the Reserve Fund and the Rebate Fund, at the written direction of the City, in Investment Securities. The City will invest all Funds and Accounts held by it pursuant thereto in such Investment Securities as it determines in its sole discretion. The proceeds of any remarketing of a Series of the Bonds will be held uninvested or will be invested in Federal Securities maturing not later than the earlier of 30 days or the date needed for payment. The City will invest, and as to the Debt Service Fund, the Reserve Fund, the Construction Fund and the Rebate Fund, will direct the Trustee to invest all moneys held under the Indenture under the investment instructions as provided in connection with a Series of Bonds.

The Trustee will deposit earnings from investment of moneys in the Rebate Fund immediately on receipt thereof into the Rebate Fund and from investment of moneys in the Construction Fund immediately on receipt thereof into the Construction Fund. Each Series Indenture will establish the disposition of earnings from the investment of moneys in the Reserve Fund. All earnings from the investment of moneys held in any other Fund and Account under the Indenture will be credited to the Revenue Fund.

COVENANTS OF THE CITY

Annual Budgets. The City will approve an Annual Budget covering the fiscal operations of the Water System for the following Fiscal Year and will file the same with the Trustee. Such budget need not necessarily be the budget prepared by the City for budgeting purposes. The Annual Budget will set forth for such Fiscal Year the estimated Revenues, the Principal and Interest Requirements on the Bonds, the Principal and Interest Requirements for Subordinate Indebtedness, the Principal and Interest Requirements for General Obligation Indebtedness and the Principal and Interest Requirements on Other Indebtedness, due and payable or estimated to become due and payable during such Fiscal Year, and estimated Current Expenses in at least quarterly allotments, each of the Water System. The City may at any time adopt and file with the Trustee an amended Annual Budget regarding the Water System in the manner provided in the Indenture for the adoption of the Annual Budget. Copies of the Annual Budget for the Water System as then amended and in effect will be made available by the Trustee at normal business hours in the Trustee's principal corporate trust office for inspection by any Owner. If the City does not approve an Annual Budget for a Fiscal Year on or before the first day of such Fiscal Year, the Annual Budget of the Water System for the preceding Fiscal Year will be deemed to have been adopted and be in effect for such Fiscal Year until the Annual Budget of the Water System for such Fiscal Year has been adopted as provided above; provided, however, that the water rates for such Fiscal Year, when using the Annual Budget for the preceding Fiscal Year, will be adjusted by the City so that the water rates are sufficient to meet the rate covenant contained in the Indenture. The City will not expend for Current Expenses in any Fiscal Year sums in excess of the reasonable or necessary amount thereof.

Issuance of Additional Bonds. See **"CERTAIN PROVISION OF THE GENERAL INDENTURE—Issuance of Additional Bonds"** in the Official Statement.

Rate Covenant. Before the commencement of each Fiscal Year, the City will fix, establish or maintain or cause to be fixed, established and maintained such rates and charges for the provision of services of the Water System, and revise or cause to be revised the same, as necessary, as will produce Revenues at least equal in such Fiscal Year to the total of (i) the Current Expenses budgeted for such Fiscal Year, as may be amended from time to time, plus (ii) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds to become due during that Fiscal Year plus (iii) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness to become due in such Fiscal Year plus (iv) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Year plus (v) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Year plus (vi) 100% of (1.00 times) the amount required to reimburse the provider of a Qualified Reserve Fund Substitute for any amounts owing thereunder; but no less than an amount sufficient to produce Revenues in such Fiscal Year at least equal to 100% of (1.00 times) the amount necessary to make the deposits required by the Indenture.

If the City fails to meet the rate covenant set forth above, the City, will, as promptly as possible, take all action necessary to increase Revenues and decrease expenses which will result in producing Revenues necessary to meet such rate covenant in the following Fiscal Year, including promptly retaining a Financial Consultant to make recommendations as to a revision of rates, fees and charges and possible

reductions in expenses which will result in producing the required Revenues necessary to meet such rate covenant in the following Fiscal Year. The City, will give written notification to the Trustee and the North Carolina Local Government Commission upon retaining a Financial Consultant to make such recommendations.

If the City fails to meet the rate covenant set forth above and the Revenues continue to be insufficient to meet the rate covenant by the end of the Fiscal Year beginning on the July 1 twelve months after the beginning of the Fiscal Year during which the City failed to meet such rate covenant, the Trustee may in its sole discretion take possession of any moneys in the Revenue Fund and administer the application thereof or a majority of the registered Owners of the Bonds may instruct the Trustee to require that an Event of Default under the Indenture be deemed to have occurred and require the Trustee to take possession of any moneys in the Revenue Fund under the Indenture. If the Trustee does so, it may disburse money in the Revenue Fund in such manner as it may determine. If the City fails to meet the rate covenant set forth above and the Revenues continue to be insufficient to meet the rate covenant by the end of the second Fiscal Year beginning on the July 1 twenty-four months after the beginning of the Fiscal Year during which the City failed to meet such rate covenant, the Trustee shall take possession of any moneys in the Revenue Fund and administer the application thereof. The Trustee shall relinquish possession of the Revenue Fund only upon the delivery of a written Certificate of the Financial Consultant, retained by the City, or an Accountant certifying the City's compliance with the rate covenant.

Construction; Maintenance of System. The City will complete or cause to be completed the additions, extensions and improvements of the Water System provided for in the Indenture in accordance with plans and specifications approved by a Consulting Engineer and in an economical and efficient manner with all practicable dispatch and thereafter will maintain or cause to be maintained the Water System in good condition and will continuously operate or cause to be operated the same in an efficient manner and at a reasonable cost as a municipal revenue-producing enterprise.

Insurance; Condemnation. The City will carry or cause to be carried such insurance with a reputable insurance carrier or carriers, such as is maintained or carried by similar municipal systems as the Water System, including, public liability insurance against loss or damage by fire, explosion, hurricane, flood, cyclone, occupancy or other hazards and risks, and said property loss and damage insurance will at all times be in an amount sufficient to indemnify in amounts sufficient to repair the Water System for loss, but not less than the principal amount of the Bonds Outstanding, to the extent that such insurance is obtainable.

The City will deposit the proceeds of any insurance or condemnation, with respect to the Water System, in excess of $100,000 in any given Fiscal Year (i) in the Water Major Capital Improvements Fund, to rebuild or replace the Water System or portion thereof giving rise to the referenced proceeds unless a Consulting Engineer certifies in writing to the Trustee that such rebuilding or replacement is not necessary to maintain the Water System or (ii) to the extent the proceeds are not fully expended under clause (i), in the Debt Service Fund, to redeem or pay Bonds under a Series Indenture.

The City may provide for and maintain the insurance required under the Indenture partially or wholly by means of a self-insurance fund maintained by the City. Reserves for a self-insurance fund will be determined by using actuarial principles and the portion allocable to the Water System will be payable from Revenues as a Current Expense. Any self-insurance fund will be reviewed annually by the City's risk manager or an Independent Insurance Consultant. The Trustee may rely on a letter of the City's risk manager or an Independent Insurance Consultant (dated as of the first day of the fiscal year) as to the adequacy of any self-insurance fund as measured against standards in the industry for the risks being assumed.

Adding to or Removing from the System. The Water System may be sold, mortgaged, leased or otherwise disposed of, in whole or in part, or the obligations of the City with respect to all of the Outstanding Bonds assigned, to another political subdivision or public agency in the State authorized by law to own and operate such systems only (i) if there is filed with the Trustee (A) a report prepared by a Financial Consultant showing that there is no material adverse effect on the ability of the Water System to produce Revenues to satisfy the rate covenant described under the caption "**COVENANTS OF THE CITY--*Rate Covenant***" above, (B) written evidence from any rating agency then rating the Bonds that such disposition will not adversely affect its rating then in effect on the Bonds, (C) an opinion of Bond Counsel that such disposition will not adversely affect the federal or state income tax treatment of interest on the Bonds and (ii) for a disposition in whole, if such political subdivision or public agency assumes all of the obligations of the City under the Indenture.

Any part of the Water System constructed on behalf of or with funds provided by a governmental unit other than the City may be sold, leased or otherwise disposed of to that governmental unit, if the Trustee receives a certificate from the Financial Consultant which states that the projected Revenues of the Water System as it will exist after the proposed disposition for each of the two Fiscal Years subsequent to the year in which the disposition is expected to be completed are equal to the sum of the Current Expenses projected for such period plus 120% of (1.20 times) the Principal and Interest Requirements on the Bonds for such Fiscal Year plus 100% of (1.00 times) the maximum Principal and Interest Requirements for Subordinate Indebtedness in any Fiscal Year plus 100% of (1.00 times) the maximum Principal and Interest Requirements for General Obligation Indebtedness due in any Fiscal Year plus 100% of (1.00 times) the maximum Principal and Interest Requirements for Other Indebtedness due in any Fiscal Year.

Any part of the Water System may be sold, mortgaged, leased or otherwise disposed of to a private utility only as a whole or substantially as a whole, and only if (i) the net proceeds to be realized will be sufficient, together with other moneys available therefor, to discharge the lien of the Indenture as to all Series of Bonds or portion thereof related thereto and such proceeds are deposited in a separate segregated account for such purpose and (ii) the Trustee has received an opinion of Bond Counsel to the effect that such disposition will not adversely affect the federal and state income tax treatment of the interest on the Bonds.

The City has reserved the right to sell, lease or otherwise dispose of any of the property comprising a part of the Water System hereafter determined in the manner provided in the Indenture to be no longer necessary, useful or profitable in the operation thereof. Before any such sale, lease or other disposition of such property, a City Representative will make a finding in writing determining that such property comprising a part of the Water System is no longer necessary, useful or profitable in the operation thereof, and such finding will be approved by resolution of the City if the amount to be received therefor is in excess of 1/10th of 1% of the total assets of the Water System net of accumulated depreciation. All proceeds derived from the sale, lease or other disposition of any property comprising a part of the Water System as provided above, will be deposited in the Water Major Capital Improvements Fund.

The City will give notice to Moody's, if any Series of the Bonds are then rated by Moody's, and to S&P, if any Series of the Bonds are then rated by S&P, of a change in the composition of the Water System as described above.

Liens or Charges. The City may create or permit to be created a lien on the Water System in order to secure the issuance of Other Indebtedness as long as the Finance Officer certifies at the time of the creation of the lien that (i) loss of the property secured by the lien will not materially adversely affect the ability of the City to meet its financial obligations under the Indenture, including the ability of the City to

meet its rate covenant described under the caption "**COVENANTS OF THE CITY--*Rate Covenant*"** above and (ii) the current value of all parts of the Water System subject to a lien securing Other Indebtedness, including property which may be added to the Water System as a result of issuance of the proposed Other Indebtedness, does not exceed 20% of the current value of the Water System's tangible assets. The City will not otherwise create or permit to be created any lien or charge on the Water System. The City will pay or cause to be discharged or make provisions to satisfy and discharge, within 60 days after the same accrues, all claims and demands for labor, materials, supplies or other items which, if unpaid, might by law become a lien on the Water System or the Revenues on a parity with the lien of the Bonds, except for the liens permitted by the Indenture. The City need not pay or cause to be discharged or make provision for any lien or charge as long as the validity thereof is being contested in good faith by appropriate legal proceedings.

Issuance of Subordinate Indebtedness. The City may issue Subordinate Indebtedness if:

(a) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available, adjusted in the manner provided in the Indenture, were at least equal to (1) 120% of (1.20 times) the maximum Principal and Interest Requirements on the Bonds, (2) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness in that Fiscal Year, including the Subordinate Indebtedness to be issued,(3) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness in that Fiscal Year and (4) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in that Fiscal Year; or

(b) (1) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available were at least equal to (A) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds for such Fiscal Year, (B) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness in such Fiscal Year, excluding the Subordinate Indebtedness to be issued, (C) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness in such Fiscal Year and (D) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in such Fiscal Year; and

(2) the Net Revenues, as projected by a report of a Financial Consultant filed with the Trustee, for the first two Fiscal Years following (I) the date capitalized interest, if any, provided from the proceeds of the proposed Subordinate Indebtedness is expended in the case of the acquisition of assets for or construction of improvements to the Water System or (II) the date the proposed Subordinate Indebtedness is incurred in any other case, are at least equal to (A) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds for such Fiscal Years, (B) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness, including the Subordinate Indebtedness to be issued, to become due in such Fiscal Years, (C) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Years and (D) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Years; and

(3) no Event of Default under the Indenture or under the agreement securing the Subordinate Indebtedness has occurred and is continuing.

Consulting Engineer. The City will cause the Consulting Engineer to (i) inspect the Water System at least once annually and (ii) within 30 days after such inspection, submit to the City a report setting forth whether the Water System has been maintained in good repair, working order and condition and its recommendations as to the following:

(a) the proper maintenance, repair and operation of the Water System during the ensuing 12 months and an estimate of the amount of money necessary for such purposes;

(b) the additions, extensions, betterments, renewals and replacements which should be made during the ensuing 12 months and an estimate of the amount of money necessary for such purposes;

(c) the amount that should be deposited during the Fiscal Year in the Water Major Capital Improvements Fund in addition to the requirements therefore in the Annual Budget; and

(d) any necessary or advisable revisions of the rates, fees and charges referred to under the caption "**COVENANTS OF THE CITY -- *Rate Covenant***" above.

SUPPLEMENTAL INDENTURES

Effective On Filing With the Trustee. For any one or more of the following purposes and at any time or from time to time, a Supplemental Indenture of the City may be executed and delivered, which, on the filing with the Trustee of a copy thereof certified by a City Representative and execution by the Trustee, will be fully effective in accordance with its terms:

(a) to close the Indenture against, or provide limitations and restrictions in addition to the limitations and restrictions contained in the Indenture on, the delivery of Bonds or the issuance of other evidences of indebtedness;

(b) to add to the covenants and agreements of and the limitations and restrictions on the City in the Indenture other covenants and agreements or limitations and restrictions to be observed by the City which are not contrary to or inconsistent with the Indenture as theretofore in effect;

(c) to surrender any right, power or privilege reserved to or conferred on the City by the terms of the Indenture, but only if the surrender of such right, power or privilege is not contrary to or inconsistent with the covenants and agreements of the City contained in the Indenture;

(d) to confirm, as further assurance, any pledge under, and the subjection to any lien or pledge created or to be created by, the Indenture of the Trust Estate, including the Net Revenues or any other revenues or assets;

(e) to modify any of the provisions of the Indenture in any respect whatsoever, but only if (i) such modification will be, and be expressed to be, effective only after all Bonds Outstanding at the date of the adoption of such Supplemental Indenture cease to be Outstanding and (ii) such Supplemental Indenture will be specifically referred to in the text of all Bonds delivered after the date of the adoption of such Supplemental Indenture and of Bonds issued in exchange therefor or in place thereof;

(f) to provide for the delivery of a Qualified Reserve Fund Substitute; and

(g) to include additional facilities, property or equipment within the definition of *"Water System"* and the revenues therefrom within the definition of *"Revenues"*;

provided that any changes do not, in the opinion of Bond Counsel, adversely affect the interests of the owners of the Bonds.

Effective On Consent of Trustee. For any one or more of the following purposes and at any time or from time to time, a Supplemental Indenture may be executed and delivered, which, on (i) the filing with the Trustee of a copy thereof certified by a City Representative, and (ii) the filing with the Trustee and the City of an instrument in writing, made by the Trustee consenting thereto, will be fully effective in accordance with its terms:

(i) to cure any ambiguity, supply any omission or cure or correct any defect or inconsistent provision in the Indenture; or

(ii) to insert such provisions clarifying matters or questions arising under the Indenture as are necessary or desirable and are not contrary to or inconsistent with the Indenture as theretofore in effect.

(iii) to effectuate such changes in the Indenture which do not adversely affect the interests of the Owners.

Any such Supplemental Indenture may also contain one or more of the purposes specified under the caption **"SUPPLEMENTAL INDENTURES--*Effective On Filing With the Trustee*"** and, in that event, the consent of the Trustee required by the Indenture will be applicable only to those provisions of such Supplemental Indenture as contain one or more of the purposes set forth in (i), (ii) and (iii) above.

Supplemental Indentures Effective On Consent of Owners. Exclusive of Supplemental Indentures covered above, the written consent of the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding, will be required for the execution by the City and the Trustee of any indenture or indentures supplemental thereto; provided, however, that without the consent of the Owners of all the Bonds Outstanding nothing contained in the Indenture will permit, or be construed as permitting:

(a) a change in the terms of redemption or maturity of the principal amount of or the interest on any Outstanding Bond, or a reduction in the principal amount of or premium payable on any redemption of any outstanding Bond or the rate of interest thereon;

(b) the deprivation of the Owner of any Bond Outstanding of the lien created by Indenture (other than as originally permitted by the Indenture);

(c) a privilege or priority of any Bond over any other Bond; or

(d) a reduction in the aggregate principal amount of the Bonds required for consent to such Supplemental Indenture.

If at any time the City requests the Trustee to enter into a Supplemental Indenture for any of the purposes described above, the Trustee will, on being satisfactorily indemnified with respect to expenses, cause notice of the proposed execution of such Supplemental Indenture to be given by mail to the Owners of the Bonds Outstanding at the address shown on the registration books maintained by the Registrar. Such notice will briefly set forth the nature of the proposed Supplemental Indenture and will state that copies thereof are on file at the principal corporate trust office of the Trustee for inspection by all Owners. If, within 60 days (or such longer period prescribed by the City) following the giving of such notice, the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding (and in the case of Supplemental Indentures involving (a) through (d) above, the Owners of all of the Bonds Outstanding) at the time of the execution of any such Supplemental Indenture have consented to and approved the

execution thereof as provided in the Indenture, no Owner will have any right to object to any of the terms and provisions contained therein, or in the operation thereof, or in any manner to question the propriety of the execution thereof, or to enjoin or restrain the Trustee or the City from executing the same or from taking any action pursuant to the provisions thereof.

CONSENT TO AMENDMENTS BY INITIAL PURCHASER, UNDERWRITER OR REMARKETING AGENT

Notwithstanding anything in the General Indenture or the Series Indenture to the contrary, (1) any initial purchaser, underwriter or remarketing agent holding any 2015 Bonds or another Series of the Bonds issued after the issuance of the 2015 Bonds may, regardless of its intent to sell or distribute such Bonds in the future, consent as the Owner of such Bonds to any amendment or supplemental indenture as required or permitted by the Series Indenture, including any amendment or supplemental indenture that adversely affects the interests of other Owners, and (2) any such holder providing its consent under this Section is not entitled to receive, nor is the City required to provide, any prior notice or other documentation regarding such amendment or supplemental indenture.

DEFAULT AND REMEDIES

Events of Default. If any of the following events occur, an "Event of Default" under the Indenture is deemed to have occurred:

(a) a failure to pay the principal of or premium, if any, on any Bond when the same becomes due and payable, whether at the stated maturity thereof or on proceedings for redemption including sinking fund redemptions;

(b) a failure to pay any installment of Interest when the same becomes due and payable;

(c) a failure by the City to observe and perform any covenant, condition, agreement or provision (other than as described in subsections (a) and (b) above) contained in the Bonds or in the Indenture on the part of the City to be observed or performed, which failure continues for a period of 30 days after written notice, specifying such failure and requesting that it be remedied, has been given to the City by the Trustee, which may give such notice in its discretion and must give such notice at the written request of Owners of not less than 25% of the principal amount of the Bonds, unless the Trustee, or the Trustee and Owners of a principal amount of Bonds not less than the principal amount of Bonds the Owners of which requested such notice, as the case may be, agrees in writing to an extension of such period prior to its expiration; and

(d) a bankruptcy, insolvency or reorganization proceeding or similar litigation is instituted by the City, or a receiver, custodian or similar officer is appointed for the City or any of its property, and such proceedings or appointments are not vacated or fully stayed within 90 days after the institution or occurrence thereof.

Remedies on Default. On the occurrence and continuance of an Event of Default, the Trustee may, or if required by a majority of the registered Owners of the Bonds, must, declare the Bonds to be immediately due and payable, whereupon they will, without further action, become due and payable, anything in the Indenture or in the Bonds to the contrary notwithstanding.

The provisions of the preceding paragraph are subject to the condition that if, after the principal of any of the Bonds has been so declared to be due and payable, and before any judgment or decree for the payment of the moneys due has been obtained or entered as hereinafter provided, the City causes to be

deposited with the Trustee a sum sufficient to pay all matured installments of the principal of and interest on all Bonds which will have become due otherwise than by reason of such declaration (with interest on such overdue installments of interest, at the rate per annum borne by the respective Bonds) and such amount as is sufficient to cover reasonable compensation and reimbursement of expenses payable to the Trustee, and all Events of Default under the Indenture other than nonpayment of the principal of the Bonds which have become due by said declaration have been remedied, then, in every such case, such Event of Default will be deemed waived and such declaration and its consequences rescinded and annulled, and the Trustee will promptly give written notice of such waiver, rescission or annulment to the City and will give notice thereof by Mail to all Owners; but no such waiver, rescission and annulment will extend to or affect any subsequent Event of Default or impair any right or remedy consequent thereon.

On the occurrence and continuance of any Event of Default, the Trustee in its discretion may, and on the written direction of registered owners of not less than a majority in principal amount of the Bonds and receipt of indemnity to its satisfaction, must, in its own name and as the trustee of an express trust:

(i) by mandamus, or other suit, action or proceeding at law or in equity, enforce all rights of the Owners, and require the City to carry out any agreements with or for the benefit of the Owners and to perform its duties under the Indenture;

(ii) take whatever action at law or in equity may appear necessary or desirable to enforce its rights against the City.

On the occurrence and continuance of any Event of Default, the Trustee may, or if required by a majority of the registered Owners of the Bonds or the provisions of the Indenture, must, take possession of any moneys in the Revenue Fund, the Water Operations Fund, the Water Major Capital Improvements Fund and the Surplus Account and administer the application thereof.

No right or remedy is intended to be exclusive of any other rights or remedies, but each and every such right or remedy will be cumulative and in addition to any other remedy given under the Indenture or now or hereafter existing at law or in equity or by statute. If any Event of Default has occurred and if requested by the Owners of a majority in aggregate principal amount of Bonds and indemnified as provided in the Indenture, the Trustee will be obligated to exercise such one or more of the rights and powers conferred by the Indenture as the Trustee, being advised by counsel, deems most expedient in the interests of the Owners.

Priority of Payments After Default. If, on the happening and continuance of any Event of Default, the funds held by the Trustee are insufficient for the payment of the principal or Redemption Price then due of and interest then due on the Bonds, such funds (other than funds held for the payment of particular Bonds which have theretofore become due at maturity or by redemption) and any other amounts received or collected by the Trustee acting under the Indenture, after making provision for the payment of any expenses necessary in the opinion of the Trustee to protect the interest of the Owners and for the payment of the charges and expenses and liabilities incurred and advances made by the Trustee in the performance of its duties under the Indenture, will be applied, subject to the restrictions contained under the caption ***"*DEFAULT AND REMEDIES--*Subordination of Claims for Interest"***, as follows and no payments will be made with respect to Subordinate Indebtedness, General Obligation Indebtedness or Other Indebtedness:

Unless the principal of all of the Bonds has become or has been declared due and payable:

FIRST: To the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amounts available are not

sufficient to pay in full any installment, then to the payment thereof ratably, according to the amounts due on such installment, to the persons entitled thereto, without any discrimination or preference;

SECOND: To the payment to the persons entitled thereto of the unpaid principal or Redemption Price of any Bonds which have become due and, if the amounts available are not sufficient to pay in full all the Bonds due, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date, to the persons entitled thereto, without any discrimination or preference; and

THIRD: To be held for the payment to the persons entitled thereto, as the same become due, of the principal or Redemption Price of and interest on the Bonds which thereafter become due and, if the amounts available are not sufficient to pay in full all the Bonds due on any date, together with such interest, payment will be made ratably according to the amount of principal due on such date to the persons entitled thereto, without any discrimination or preference.

If the principal of all of the Bonds has become or has been declared due and payable, to the payment of the principal and interest then due and unpaid on the Bonds without preference or priority of principal over interest or of interest over principal, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, ratably, according to the amounts due respectively for principal and interest, to the persons entitled thereto without any discrimination or preference except as to any difference in the respective rates of interest specified in the Bonds.

Whenever moneys are to be applied by the Trustee pursuant to the provisions described above, such moneys will be applied by the Trustee at such times, and from time to time, as the Trustee in its sole discretion determines, having due regard to the amount of moneys available for such application and the likelihood of additional money becoming available for such application in the future. The setting aside of such moneys in trust for the proper purpose, will constitute proper application by the Trustee, and the Trustee will incur no liability whatsoever to the City, to any Owner or to any other person for any delay in applying such moneys, so long as the Trustee acts with reasonable diligence, having due regard for the circumstances, and ultimately applies the same in accordance with such provisions of the Indenture. Whenever the Trustee will exercise discretion in applying such moneys, it will fix the date (which must be an Interest Payment Date unless the Trustee deems another date more suitable) on which such application is to be made. The Trustee will not be required to make payment to any Owner unless its Bond is presented to the Trustee for appropriate endorsement or for cancellation if fully paid.

Owners' Right to Direct Proceedings. Anything in the Indenture to the contrary notwithstanding, the Owners of a majority in aggregate principal amount of the Bonds will have the right, at any time, to the extent permitted by law, by instruments in writing executed and delivered to the Trustee, to direct the time, method and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of the Indenture, or for the appointment of a receiver, and any other proceedings under the Indenture; provided that such direction may not be otherwise than in accordance with the provisions of the Indenture. The Trustee will not be required to act on any direction given to it as described above until the indemnity described in the Indenture is furnished to it by such Owners.

Limitation on Rights of Owners. No Owner will have any right to institute any suit, action, mandamus or other proceeding in equity or at law under the Indenture, for the protection or enforcement of any right under the Indenture unless such Owner has given to the Trustee written notice of the Event of Default or breach of duty on account of which such suit, action or proceeding is to be taken, and unless the Owners of not less than 25% in principal amount of the Bonds have made written request of the Trustee

after the right to exercise such powers or right of action, as the case may be, has accrued, and has afforded the Trustee a reasonable opportunity either to proceed to exercise the powers granted in the Indenture or granted under the law or to institute such action, suit or proceeding in its name and unless, also, there has been offered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred therein or thereby, and the Trustee has refused or neglected to comply with such request within a reasonable time. Such notification, request and offer of indemnity have been declared in every such case, at the option of the Trustee, to be conditions precedent to the execution of the powers under the Indenture or for any other remedy under the Indenture or by law. It is understood and intended that no one or more Owners will have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture, or to enforce any right under the Indenture or under law with respect to the Bonds or the Indenture, except in the manner provided in the Indenture, and that all proceedings at law or in equity must be instituted, had and maintained in the manner provided in the Indenture and for the benefit of all Owners.

Each Owner by its acceptance of a Bond will be deemed to have agreed that any court in its discretion may require, in any suit for the enforcement of any right or remedy under the Indenture or any Series Indenture or in any suit against the Trustee for any action taken or omitted by it as Trustee, the filing by any party litigant in such suit of an undertaking to pay the reasonable costs of such suit, and that such court may in its discretion assess reasonable costs, including reasonable pre-trial, trial and appellate attorneys' fees, against any party litigant in any such suit, having due regard to the merits and good faith of the claims or defenses made by such party litigant. The provisions of this paragraph will not apply to any suit instituted by the Trustee, to any suit instituted by Owners of at least 25% in principal amount of the Bonds, or to any suit instituted by any Owner for the enforcement of the payment of any Bond on or after the respective due date thereof expressed in such Bond.

Subordination of Claims for Interest. No claim for interest appertaining to any of the Bonds which in any way at or after maturity has been transferred or pledged separate and apart from the Bond to which it appertains will, unless accompanied by such Bond, be entitled, in case of an Event of Default under the Indenture, to any benefit by or from the Indenture, except after the prior payment in full of the principal of all of the Bonds then due and of all claims for interest then due not so transferred or pledged.

DEFEASANCE

If the City pays or causes to be paid or is deemed to have paid to the Owner of any Bond the principal of and interest due and payable, and thereafter to become due and payable on such Bond, or any portion of such Bond in any integral multiple of the Authorized Denomination thereof, such Bond or portion thereof will cease to be entitled to any lien, benefit or security under the Indenture. If the City pays or causes to be paid the principal of, premium, if any, and interest due and payable on all Outstanding Bonds, pays or causes to be paid all other sums payable by the City, including all fees, expenses and other amounts payable to the Trustee and any Paying Agent and all amounts owing to the provider of a Qualified Reserve Fund Substitute, then the right, title and interest of the Trustee in and to the Trust Estate will thereupon cease, terminate and become void.

Any Bond will be deemed to be paid within the meaning and for all purposes of the Indenture when (a) payment of the principal of such Bond plus interest thereon to the due date thereof (whether such due date is by reason of maturity or upon redemption as provided in the Indenture) either (i) has been made or caused to be made in accordance with the terms thereof, or (ii) has been provided for by irrevocably depositing with the Trustee in trust and irrevocably set aside exclusively for such payment, (1) moneys, sufficient to make such payment or (2) non-callable Federal Securities maturing as to principal and interest in such amount and at such time as will insure the availability of sufficient moneys to make such payment,

and (b) all necessary and proper fees, compensation and expenses of the Trustee and any Paying Agent pertaining to the Bonds with respect to which such deposit is made have been paid or the payment thereof provided for to the satisfaction of the Trustee. At such times as a Bond is deemed to be paid under the Indenture, as aforesaid, such Bond will no longer be secured by or entitled to the benefits of the Indenture, except for the purposes of any such payment from such moneys or Federal Securities.

Notwithstanding the foregoing paragraph, no deposit under clause (a)(ii) of the immediately preceding paragraph will be deemed a payment of such Bonds as aforesaid until (a) proper notice of redemption of such Bonds has been previously given in accordance with the applicable Series Indenture, or if said Bonds are not to be redeemed within the next 35 days, until the City has given the Trustee, in form satisfactory to the Trustee, irrevocable instructions to notify, as soon as practicable, the Owners of such Bonds in accordance with the applicable Series Indenture, that the deposit required by (a)(ii) above has been made with the Trustee and that said Bonds are deemed to have been paid in accordance with the Indenture and stating the maturity or redemption date on which moneys are to be available for the payment of the principal of said Bonds plus interest thereon to the due date thereof, or (b) the maturity of such Bonds.

BONDS NOT DELIVERED FOR PAYMENT

If any Bond is not presented for payment when the principal thereof becomes due, either at maturity, or at the date fixed for redemption thereof, or otherwise, or if any interest check is not cashed, if funds sufficient to pay such Bond have been made available by the City to the Trustee or any Paying Agent for the benefit of the Owner thereof, all liability of the City to the Owner thereof for the payment of such Bond will forthwith cease, terminate and be completely discharged, and it will then be the duty of the Trustee and any Paying Agent to hold such funds in trust, uninvested and without liability for interest thereon, for the benefit of the Owner of such Bond who will thereafter be restricted exclusively to such funds for any claim of whatever nature on his part under the Indenture or on, or with respect to, said Bond. Any money that is so set aside or transferred and that remains unclaimed by the Owners for a period of five and one-half years after such payment has become due and payable will be treated as abandoned property under N.C.G.S. § 116B-53, and the Trustee or Paying Agent will report and remit this property to the Escheat Fund according to the requirements of N.C.G.S. § 116B *et seq.* Thereafter, the Owners may look only to the Escheat Fund for payment and then only to the extent of the amounts so received without any interest thereon, and the City and the Trustee or Paying Agent will have no responsibility with respect to such money.

This page intentionally left blank.

APPENDIX D

THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION

This page intentionally left blank.

APPENDIX D

THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION

The Local Government Commission (the "Commission") is composed of nine members: the State Treasurer, the Secretary of State, the State Auditor, the Secretary of Revenue and five others by appointment (three by the Governor, one by the General Assembly upon recommendation of the President Pro Tempore of the Senate and one by the General Assembly upon recommendation of the Speaker of the House of Representatives). The State Treasurer serves as Chairman and selects the Secretary of the Commission, who heads the administrative staff serving the Commission.

A major function of the Commission is the approval, sale and delivery of substantially all North Carolina local government bonds and notes. A second key function is monitoring certain fiscal and accounting standards prescribed for units of local government by The Local Government Budget and Fiscal Control Act. In addition, the Commission furnishes, upon request, on-site assistance to units of local government concerning existing financial and accounting systems as well as aid in establishing new systems. Further, educational programs and materials are provided for local officials concerning finance and cash management.

Before any unit of local government can incur bonded indebtedness, the proposed bond issue must be approved by the Commission. In determining whether to give such approval the Commission may consider, among other things, the unit's debt management procedures and policies, its compliance with The Local Government Budget and Fiscal Control Act and its ability to service the proposed debt. All general obligation issues are customarily sold on the basis of formal sealed bids submitted at the Commission's offices in Raleigh and are subsequently delivered to the successful bidder by the Commission. The Commission maintains records for all units of local government of principal and interest payments coming due on bonded indebtedness in the current and future years and monitors the payment by the units of local government of debt service through a system of monthly reports.

As a part of its role in assisting and monitoring the fiscal programs of units of local government, the Commission attempts to ensure that the units of local government follow generally accepted accounting principles, systems and practices. The Commission's staff also counsels the units of local government in treasury and cash management, budget preparation and investment policies and procedures. Educational programs, in the form of seminars or classes, are also provided by the Commission in order to accomplish these tasks. The monitoring of the financial systems of units of local government is accomplished through the examination and analysis of the annual audited financial statements and other required reports. The Local Government Budget and Fiscal Control Act requires each unit of local government to have its accounts audited annually by a certified public accountant or by an accountant certified by the Commission as qualified to audit local government accounts. A written contract must be submitted to the Secretary of the Commission for his approval prior to the commencement of the audit.

The Commission has the statutory authority to impound the books and records of any unit of local government and assume full control of all its financial affairs (a) when the unit defaults on any debt service payment or, in the opinion of the Commission, will default on a future debt service payment if the financial policies and practices of the unit are not improved or (b) when the unit persists, after notice and warning from the Commission, in willfully or negligently failing or refusing to comply with the provisions of The Local Government Finance Act. When the Commission takes action under this authority, the Commission is vested with all of the powers of the governing board of the unit of local government as to the levy of taxes, expenditure of money, adoption of budgets and all other financial powers conferred upon such governing board by law.

In addition, if a unit of local government fails to pay any installment of principal or interest on its outstanding debt on or before its due date and remains in default for 90 days, the Commission may take such action as it deems advisable to investigate the unit's fiscal affairs, consult with its governing board and negotiate with its creditors in order to assist the unit in working out a plan for refinancing, adjusting or compromising such debt. When a plan is developed that the Commission finds to be fair and equitable and reasonably within the ability of the unit of local government to meet, the Commission will enter an order finding that the plan is fair, equitable and within the ability of the unit to meet and will advise the unit to take the necessary steps to implement such plan. If the governing board of the unit declines or refuses to do so within 90 days after receiving the Commission's advice, the Commission may enter an order directing the unit to implement such plan and may apply for a court order to enforce such order. When a refinancing plan has been put into effect, the Commission has the authority (a) to require any periodic financial reports on the unit's financial affairs that the Secretary deems necessary and (b) to approve or reject the unit's annual budget ordinance. The governing board of the unit of local government must also obtain the approval of the Secretary of the Commission before adopting any annual budget ordinance. The power and authority granted to the Commission as described in this paragraph will continue with respect to a defaulting unit of local government until the Commission is satisfied that the unit has performed or will perform the duties required of it in the refinancing plan and until agreements made with the unit's creditors have been performed in accordance with such plan.

APPENDIX E

PROPOSED FORM OF OPINION OF BOND COUNSEL

This page intentionally left blank.

APPENDIX E

PROPOSED FORM OF OPINION OF BOND COUNSEL

[Letterhead of Parker Poe Adams & Bernstein LLP]

June 11, 2015

City of Asheville, North Carolina
Asheville, North Carolina

The Bank of New York Mellon Trust Company, N.A.
Jacksonville, Florida

$50,625,000
City of Asheville, North Carolina
Water System Revenue Refunding Bonds, Series 2015

Ladies and Gentlemen:

We have acted as bond counsel in connection with the issuance and delivery by the City of Asheville, North Carolina (the *"City"*) of $50,625,000 aggregate principal amount of its Water System Revenue Refunding Bonds, Series 2015 (the *"2015 Bonds"*). The City is a municipal corporation of the State of North Carolina (the *"State"*) and is empowered to issue the 2015 Bonds pursuant to The State and Local Government Revenue Bond Act, General Statutes of North Carolina Section 159-80 *et seq.*, as amended (the *"Act"*), subject to the approval of the North Carolina Local Government Commission.

The 2015 Bonds are issuable only as fully registered bonds and will be numbered, will bear interest payable at the rates and at the times, and will be subject to redemption, all as provided in the General Trust Indenture dated as of December 1, 2005 (the *"General Indenture"*), between the City and The Bank of New York Mellon Trust Company, N.A., as trustee (the *"Trustee"*), as amended, and the provisions of Series Indenture, Number 3 dated as of June 1, 2015 (the *"Third Series Indenture"*) between the City and the Trustee.

The 2015 Bonds are being issued (1) to refund the City's Water System Refunding Revenue Bonds, Series 2005 maturing on and after August 1, 2016 and Water System Revenue Bonds, Series 2007 maturing on and after August 1, 2018 and (2) to pay the costs of issuing the 2015 Bonds. In connection with the issuance of the 2015 Bonds, we have examined the following: (a) the Act; (b) executed copies of the General Indenture and the Third Series Indenture and (c) such other laws, documents, instruments, proceedings and opinions as we have deemed relevant in rendering this opinion. We have also examined a specimen 2015 Bond.

From such examination, we are of the opinion that, under existing law:

1. The City is a municipal corporation of the State. Pursuant to the Act, the City is empowered to issue the 2015 Bonds for the purposes set forth in the General Indenture and to execute, deliver and perform its obligations under the General Indenture and the Third Series Indenture.

2. The General Indenture and the Third Series Indenture have been duly authorized, executed and delivered by the City, and, assuming due authorization and execution by the Trustee, are valid, binding and enforceable obligations, respectively, of the City. All right, title and interest of the City in and to the Trust Estate (as defined in the General Indenture) have been validly pledged and assigned to the Trustee, and the General Indenture creates a valid security interest in the Trust Estate.

3. The 2015 Bonds have been duly authorized, executed and issued in accordance with applicable law, including the Act, and represent valid, binding and enforceable special obligations of the City. The 2015 Bonds are entitled to the benefits and security of the General Indenture and the Third Series Indenture for the payment thereof in accordance with the terms of the General Indenture and the Third Series Indenture.

4. The principal of and interest on the 2015 Bonds are special obligations payable by the City solely from the sources described in the General Indenture and the Third Series Indenture. The principal of and interest on the 2015 Bonds are not payable from the general funds of the City, nor do they constitute a legal or equitable pledge, charge, lien or encumbrance upon any of its property or upon any of its income, receipts or revenues, except the funds which are pledged under the General Indenture and the Third Series Indenture. Neither the credit nor the taxing power of the State or the City are pledged for the payment of the principal of or interest on the 2015 Bonds, and no owner of the 2015 Bonds has the right to compel the exercise of the taxing power by the State or the City or the forfeiture of any of its property in connection with any default thereon.

5. Interest on the 2015 Bonds is excludable from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations; however, such interest is taken into account in determining adjusted current earnings for the purpose of computing the federal alternative minimum tax imposed on certain corporations. The opinion set forth in the preceding sentence is subject to the condition that the City complies with all requirements of the Internal Revenue Code of 1986, as amended, that must be satisfied subsequent to the issuance of the 2015 Bonds in order that the interest on the 2015 Bonds be, or continue to be, excludable from gross income for federal income tax purposes. The City has covenanted to comply with all such requirements. Failure to comply with certain of such requirements may cause the interest on the 2015 Bonds to be included in gross income for federal income tax purposes retroactively to the date of issuance of the 2015 Bonds. We express no opinion regarding other federal tax consequences arising with respect to the 2015 Bonds.

6. Interest on the 2015 Bonds is exempt from all State income taxation.

It is to be understood that the rights of the owners of the 2015 Bonds and the enforceability of the 2015 Bonds, the General Indenture and the Third Series Indenture may be limited by bankruptcy, insolvency, fraudulent conveyance, reorganization, moratorium, liquidation, readjustment of debt and other similar laws affecting creditors' rights and remedies generally, and by general principles of equity, whether such principles are considered in a proceeding at law or in equity.

Our services as Bond Counsel in connection with the issuance of the 2015 Bonds have been limited to rendering the opinions expressed above based on our review of such proceedings and documents as we deem necessary to approve the validity of the 2015 Bonds and the tax-exempt status of interest thereon. In rendering the foregoing opinions, we have assumed the accuracy and truthfulness of all public records and of all certifications, documents and other proceedings examined by us that have been executed or certified by public officials acting within the scope of their official capacities and have not verified the accuracy or truthfulness thereof. We have also assumed the genuineness of the signatures appearing upon such public records and certifications, documents and other proceedings.

We express no opinion herein with regard to the accuracy, completeness or sufficiency of any Preliminary Official Statement or Official Statement relating to the 2015 Bonds. We express no opinion relating thereto or as to the financial resources of the City, or the ability of the City to make the payments required under the General Indenture or the Third Series Indenture, that may have been relied on by anyone in making the decision to purchase 2015 Bonds.

Respectfully submitted,

PARKER POE ADAMS & BERNSTEIN LLP

This page intentionally left blank.

APPENDIX F

BOOK-ENTRY-ONLY SYSTEM

This page intentionally left blank.

APPENDIX F

BOOK-ENTRY SYSTEM

Beneficial ownership interests in the 2015 Bonds will be available only in book-entry form. Beneficial owners of the 2015 Bonds (the "Beneficial Owners") will not receive physical certificates representing their interests in the 2015 Bonds purchased. So long as DTC or its nominee is the registered owner of the 2015 Bonds, references in this Official Statement to the Owners of the 2015 Bonds shall mean DTC or its nominee and shall not mean the Beneficial Owners. The Indenture contains provisions applicable to periods when DTC or its nominee is not the registered owner.

The following description of DTC, of procedures and record keeping on beneficial ownership interests in the 2015 Bonds, payment of interest and other payments with respect to the 2015 Bonds to DTC participants or to Beneficial Owners, confirmation and transfer of beneficial ownership interests in the 2015 Bonds and of other transactions by and between DTC, DTC Participants and Beneficial Owners is based on information furnished by DTC.

DTC will act as securities depository for the 2015 Bonds. The 2015 Bonds will be registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate in the aggregate principal amount of each maturity of the 2015 Bonds will be issued and deposited with DTC.

DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934, as amended. DTC holds and provides asset servicing for issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from countries that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of certificated 2015 Bonds. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC, in turn, is owned by a number of Direct Participants of DTC and Members of the National Securities Clearing Corporation, Fixed Income Clearing Corporation and Emerging Markets Clearing Corporation (NSCC, FICC and EMCC, also subsidiaries of DTCC), as well as by the New York Stock Exchange, Inc., the American Stock Exchange LLC, and the National Association of Securities Dealers, Inc. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (the "Indirect Participants" and collectively with the Direct Participants, the "Participants"). DTC has the following Standard & Poor's rating: AA+. The DTC rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of 2015 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the 2015 Bonds on DTC's records. The ownership interest of each Beneficial Owner is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchases. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as

periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of beneficial ownership interests in the 2015 Bonds are' to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in 2015 Bonds, unless the use of the book-entry system for the 2015 Bonds is discontinued.

To facilitate subsequent transfers, all 2015 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other name as may be requested by an authorized representative of DTC. The deposit of 2015 Bonds with DTC and their registration in the name of Cede & Co. or such other nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the 2015 Bonds. DTC's records reflect only the identity of the Direct Participants to whose accounts such 2015 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

Prepayment notices shall be sent to DTC. If less than all of the 2015 Bonds are being prepaid, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in the 2015 Bonds to be prepaid.

Neither DTC nor Cede & Co. (nor such other DTC nominee) will consent or vote with respect to the 2015 Bonds unless authorized by a Direct Participant in accordance with DTC's procedures. Under its usual procedures, DTC mails an omnibus proxy to the Trustee as soon as possible after the record date. The omnibus proxy assigns Cede & Co.'s consenting and voting rights to those Direct Participants to whose accounts the 2015 Bonds are credited on the record date.

BECAUSE DTC IS TREATED AS THE OWNER OF THE 2015 Bonds FOR SUBSTANTIALLY ALL PURPOSES UNDER THE INDENTURE, BENEFICIAL OWNERS MAY HAVE A RESTRICTED ABILITY TO INFLUENCE IN A TIMELY FASHION REMEDIAL ACTION OR THE GIVING OR WITHHOLDING OF REQUESTED CONSENTS OR OTHER DIRECTIONS. IN ADDITION, BECAUSE THE IDENTITY OF BENEFICIAL OWNERS IS UNKNOWN TO THE CITY, TO DTC OR TO THE TRUSTEE, IT MAY BE DIFFICULT TO TRANSMIT INFORMATION OF POTENTIAL INTEREST TO BENEFICIAL OWNERS IN AN EFFECTIVE AND TIMELY MANNER. BENEFICIAL OWNERS SHOULD MAKE APPROPRIATE ARRANGEMENTS WITH THEIR BROKER OR DEALER REGARDING DISTRIBUTION OF INFORMATION REGARDING THE 2015 Bonds THAT MAY BE TRANSMITTED BY OR THROUGH DTC.

Payments of principal, interest and any prepayment premiums with respect to the 2015 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Trustee, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC (nor its nominee), the Trustee or the City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, if any, and interest to

Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the Trustee's responsibility, disbursement of such payments to Direct Participants is DTC's responsibility, and disbursement of such payments to the Beneficial Owners shall be the responsibility of Direct and Indirect Participants. THE CITY CAN GIVE NO ASSURANCE THAT DIRECT AND INDIRECT PARTICIPANTS WILL PROMPTLY TRANSFER PAYMENTS TO BENEFICIAL OWNERS.

If (a) DTC determines not to continue to act as securities depository for the 2015 Bonds or (b) the Trustee and the City determine to discontinue the book entry system in accordance with DTC's rules and the City fails to identify another qualified securities depository to replace DTC, the City will deliver fully registered definitive 2015 Bonds in accordance with the DTC rules and procedures.

THE CITY AND THE TRUSTEE HAVE NO RESPONSIBILITY OR OBLIGATION TO THE PARTICIPANTS OR THE BENEFICIAL OWNERS WITH RESPECT TO (1) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC OR ANY PARTICIPANT, OR THE MAINTENANCE OF ANY RECORDS; (2) THE PAYMENT BY DTC OR ANY PARTICIPANT OF ANY AMOUNT DUE TO ANY BENEFICIAL OWNER IN RESPECT OF THE 2015 Bonds, OR THE SENDING OF ANY TRANSACTION STATEMENTS; (3) THE DELIVERY OR TIMELINESS OF DELIVERY BY DTC OR ANY PARTICIPANT OF ANY NOTICE TO ANY BENEFICIAL OWNER WHICH IS REQUIRED OR PERMITTED UNDER THE INDENTURE TO BE GIVEN TO OWNERS; (4) THE SELECTION OF THE BENEFICIAL OWNERS TO RECEIVE PAYMENTS UPON ANY PARTIAL PREPAYMENT OF THE 2015 Bonds; OR (5) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC OR ITS NOMINEE AS THE REGISTERED OWNER OF THE 2015 Bonds, INCLUDING ANY ACTION TAKEN PURSUANT TO AN OMNIBUS PROXY.

The information in this Official Statement concerning DTC and DTC's book-entry system has been obtained from sources the City believes to be reliable, but the City takes no responsibility for the accuracy thereof.

CITY OF ASHEVILLE
NORTH CAROLINA